

UNITED STATES
SECURITIES AND EXCHANGE COMMISSION
WASHINGTON, DC 20549

FORM 10-Q

(Mark One)

☒ **QUARTERLY REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the quarterly period ended March 31, 2025

OR

☐ **TRANSITION REPORT PURSUANT TO SECTION 13 OR 15(d) OF THE SECURITIES EXCHANGE ACT OF 1934**

For the transition period from _____ to _____

Commission file number: 001-31826

CENTENE CORPORATION

(Exact name of registrant as specified in its charter)

Delaware

(State or other jurisdiction of
incorporation or organization)

7700 Forsyth Boulevard

St. Louis, Missouri

(Address of principal executive offices)

42-1406317

(I.R.S. Employer
Identification Number)

63105

(Zip Code)

Registrant's telephone number, including area code: (314) 725-4477

Securities registered pursuant to Section 12(b) of the Act:

Title of Each Class	Trading Symbol(s)	Name of Each Exchange on Which Registered
Common Stock \$0.001 Par Value	CNC	New York Stock Exchange

Indicate by check mark whether the registrant: (1) has filed all reports required to be filed by Section 13 or 15(d) of the Securities Exchange Act of 1934 during the preceding 12 months (or for such shorter period that the registrant was required to file such reports), and (2) has been subject to such filing requirements for the past 90 days ☒ Yes ☐ No

Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted pursuant to Rule 405 of Regulation S-T (232.405 of this chapter) during the preceding 12 months (or for such shorter period that the registrant was required to submit such files) ☒ Yes ☐ No

Indicate by check mark whether the registrant is a large accelerated filer, an accelerated filer, a non-accelerated filer, a smaller reporting company, or an emerging growth company. See the definitions of "large accelerated filer", "accelerated filer", "smaller reporting company", and "emerging growth company" in Rule 12b-2 of the Exchange Act.

Large accelerated filer	☒	Accelerated filer	☐
Non-accelerated filer	☐	Smaller reporting company	☐
		Emerging growth company	☐

If an emerging growth company, indicate by check mark if the registrant has elected not to use the extended transition period for complying with any new or revised financial accounting standards provided pursuant to Section 13(a) of the Exchange Act. ☐

Indicate by check mark whether the registrant is a shell company (as defined in Rule 12b-2 of the Exchange Act). Yes ☐ No ☒

As of April 23, 2025, the registrant had 497,603 thousand shares of common stock outstanding.

CENTENE CORPORATION
QUARTERLY REPORT ON FORM 10-Q
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CAUTIONARY STATEMENT ON FORWARD-LOOKING STATEMENTS

All statements, other than statements of current or historical fact, contained in this filing are forward-looking statements. Without limiting the foregoing, forward-looking statements often use words such as "believe," "anticipate," "plan," "expect," "estimate," "intend," "seek," "target," "goal," "may," "will," "would," "could," "should," "can," "continue," and other similar words or expressions (and the negative thereof). Centene Corporation and its subsidiaries (Centene, the Company, our or we) intends such forward-looking statements to be covered by the safe-harbor provisions for forward-looking statements contained in the Private Securities Litigation Reform Act of 1995, and we are including this statement for purposes of complying with these safe-harbor provisions. In particular, these statements include, without limitation, statements about our expected future operating or financial performance, changes in laws and regulations (including but not limited to, renewal and modification of the enhanced advance premium tax credits associated with the Marketplace product), market opportunity, competition, expected contract start dates and terms, expected activities in connection with completed and future acquisitions and dispositions, our investments, and the adequacy of our available cash resources. These statements may be found in the various sections of this filing, such as Part I, Item 2. "Management's Discussion and Analysis of Financial Condition and Results of Operations," Part II, Item 1. "Legal Proceedings," and Part II, Item 1A. "Risk Factors."

These forward-looking statements reflect our current views with respect to future events and are based on numerous assumptions and assessments made by us in light of our experience and perception of historical trends, current conditions, business strategies, operating environments, future developments, and other factors we believe appropriate. By their nature, forward-looking statements involve known and unknown risks and uncertainties and are subject to change because they relate to events and depend on circumstances that will occur in the future, including economic, regulatory, competitive, and other factors that may cause our or our industry's actual results, levels of activity, performance, or achievements to be materially different from any future results, levels of activity, performance, or achievements expressed or implied by these forward-looking statements. These statements are not guarantees of future performance and are subject to risks, uncertainties, and assumptions.

All forward-looking statements included in this filing are based on information available to us on the date of this filing. Except as may be otherwise required by law, we undertake no obligation to update or revise the forward-looking statements included in this filing, whether as a result of new information, future events, or otherwise, after the date of this filing. You should not place undue reliance on any forward-looking statements, as actual results may differ materially from projections, estimates, or other forward-looking statements due to a variety of important factors, variables, and events including, but not limited to:

- our ability to design and price products that are competitive and/or actuarially sound including but not limited to any impacts resulting from Medicaid redeterminations;
- our ability to maintain or achieve improvement in the Centers for Medicare and Medicaid Services (CMS) Star ratings and maintain or achieve improvement in other quality scores in each case that could impact revenue and future growth;
- our ability to accurately predict and effectively manage health benefits and other operating expenses and reserves, including fluctuations in medical utilization rates;
- competition, including for providers, broker distribution networks, contract reprocurements and organic growth;
- our ability to adequately anticipate demand and timely provide for operational resources to maintain service level requirements in compliance with the terms of our contracts and state and federal regulations;
- our ability to manage our information systems effectively;
- disruption, unexpected costs, or similar risks from business transactions, including acquisitions, divestitures, and changes in our relationships with third-party vendors;
- impairments to real estate, investments, goodwill and intangible assets;
- changes in senior management, loss of one or more key personnel or an inability to attract, hire, integrate and retain skilled personnel;
- membership and revenue declines or unexpected trends;
- rate cuts, insufficient rate changes or other payment reductions or delays by governmental payors and other risks and uncertainties affecting our government businesses;
- changes in healthcare practices, new technologies, and advances in medicine;
- our ability to effectively and ethically use artificial intelligence and machine learning in compliance with applicable laws;
- unanticipated increased healthcare costs, including due to inflation and tariffs;
- changes in macroeconomic conditions, including inflation, interest rates and volatility in the financial markets;
- the effect of social, economic, and political conditions, geopolitical events and state and U.S. policies, including the amount and terms of state and federal funding for government-sponsored healthcare programs, including as a result of changes in U.S. presidential administrations or Congress;

- changes in federal or state laws or regulations, including changes with respect to income tax reform or government healthcare programs as well as changes with respect to the Patient Protection and Affordable Care Act and the Health Care and Education Affordability Reconciliation Act (collectively referred to as the ACA) and any regulations enacted thereunder, including the timing and terms of renewal or modification of the enhanced advance premium tax credits or program integrity initiatives that could have the effect of reducing membership or profitability of our products;
- negative public perception of the Company and the managed care industry;
- uncertainty concerning government shutdowns, debt ceilings or funding;
- tax matters;
- disasters, climate-related incidents, acts of war or aggression or major epidemics;
- changes in expected contract start dates and terms;
- changes in provider, broker, vendor, state, federal and other contracts and delays in the timing of regulatory approval of contracts, including due to protests and our ability to timely comply with any such changes to our contractual requirements or manage any unexpected delays in regulatory approval of contracts;
- the expiration, suspension, or termination of our contracts with federal or state governments (including, but not limited to, Medicaid, Medicare or other customers);
- the difficulty of predicting the timing or outcome of legal or regulatory audits, investigations, proceedings or matters including, but not limited to, our ability to resolve claims and/or allegations made by states with regard to past practices on acceptable terms, or at all, or whether additional claims, reviews or investigations will be brought by states, the federal government or shareholder litigants, or government investigations;
- challenges to our contract awards;
- cyber-attacks or other data security incidents or our failure to comply with applicable privacy, data or security laws and regulations;
- the exertion of management's time and our resources, and other expenses incurred and business changes required in connection with complying with the terms of our contracts and the undertakings in connection with any regulatory, governmental, or third party consents or approvals for acquisitions or dispositions;
- any changes in expected closing dates, estimated purchase price, or accretion for acquisitions or dispositions;
- losses in our investment portfolio;
- restrictions and limitations in connection with our indebtedness;
- a downgrade of our corporate family rating, issuer rating or credit rating of our indebtedness; and
- the availability of debt and equity financing on terms that are favorable to us.

This list of important factors is not intended to be exhaustive. We discuss certain of these matters more fully, as well as certain other factors that may affect our business operations, financial condition, and results of operations, in our filings with the Securities and Exchange Commission (SEC), including our annual report on Form 10-K, other quarterly reports on Form 10-Q and current reports on Form 8-K. Due to these important factors and risks, we cannot give assurances with respect to our future performance, including without limitation our ability to maintain adequate premium levels or our ability to control our future medical and selling, general and administrative costs.

Non-GAAP Financial Presentation

The Company is providing certain non-GAAP financial measures in this report as the Company believes that these figures are helpful in allowing investors to more accurately assess the ongoing nature of the Company's operations and measure the Company's performance more consistently across periods. The Company uses the presented non-GAAP financial measures internally in evaluating the Company's performance and for planning purposes, by allowing management to focus on period-to-period changes in the Company's core business operations, and in determining employee incentive compensation. Therefore, the Company believes that this information is meaningful in addition to the information contained in the GAAP presentation of financial information. The Company strongly encourages investors to review its consolidated financial statements and publicly filed reports in their entirety and cautions investors that the non-GAAP financial measures used by the Company may differ from similar measures used by other companies, even when similar terms are used to identify such measures. The presentation of non-GAAP financial measures is not intended to be considered in isolation or as a substitute for the financial information prepared and presented in accordance with GAAP.

Specifically, the Company believes the presentation of non-GAAP financial measures that excludes amortization of acquired intangible assets, acquisition and divestiture related expenses, as well as other items, allows investors to develop a more meaningful understanding of the Company's core performance over time.

The tables below provide reconciliations of non-GAAP items (\$ in millions, except per share data):

	Three Months Ended March 31,	
	2025	2024
GAAP net earnings attributable to Centene	\$ 1,311	\$ 1,163
Amortization of acquired intangible assets	173	173
Acquisition and divestiture related expenses	—	61
Other adjustments ⁽¹⁾	3	(99)
Income tax effects of adjustments ⁽²⁾	(42)	(81)
Adjusted net earnings	<u>\$ 1,445</u>	<u>\$ 1,217</u>
GAAP diluted earnings per share (EPS) attributable to Centene	\$ 2.63	\$ 2.16
Amortization of acquired intangible assets	0.35	0.32
Acquisition and divestiture related expenses	—	0.11
Other adjustments ⁽¹⁾	0.01	(0.18)
Income tax effects of adjustments ⁽²⁾	(0.09)	(0.15)
Adjusted diluted EPS	<u>\$ 2.90</u>	<u>\$ 2.26</u>

⁽¹⁾ Other adjustments include the following pre-tax items:

2025:

- (a) A reduction to the previously reported gain on the sale of Magellan Rx of \$10 million or \$0.02 per share (\$0.02 after-tax) and a net gain on real estate transactions of \$7 million, or \$0.01 per share (\$0.01 after-tax).

2024:

- (a) Net gain on the previously reported divestiture of Magellan Specialty Health due to the achievement of contingent consideration and finalization of working capital adjustments of \$81 million, or \$0.15 per share (\$0.11 after-tax), net gain on the sale of property of \$24 million, or \$0.04 per share (\$0.03 after-tax), Health Net Federal Services asset impairment due to the 2024 final ruling on the TRICARE Managed Care Support Contract of \$14 million, or \$0.03 per share (\$0.02 after-tax), gain on the previously reported divestiture of Circle Health Group of \$10 million, or \$0.02 per share (\$0.10 after-tax), severance costs due to a restructuring of \$9 million, or \$0.01 per share (\$0.01 after-tax) and gain on the previously reported divestiture of HealthSmart due to the finalization of working capital adjustments of \$7 million, or \$0.01 per share (\$0.01 after-tax).

⁽²⁾ The income tax effects of adjustments are based on the effective income tax rates applicable to each adjustment.

	Three Months Ended March 31,	
	2025	2024
GAAP selling, general and administrative expenses	\$ 3,353	\$ 3,218
Less:		
Acquisition and divestiture related expenses	—	61
Restructuring costs	—	9
Adjusted selling, general and administrative expenses	\$ 3,353	\$ 3,148

PART I
FINANCIAL INFORMATION

Item 1. Financial Statements.

CENTENE CORPORATION AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In millions, except shares in thousands and per share data in dollars)

	<u>March 31, 2025</u>	<u>December 31, 2024</u>
	<u>(Unaudited)</u>	
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 14,815	\$ 14,063
Premium and trade receivables	22,436	19,713
Short-term investments	2,472	2,622
Other current assets	1,565	1,601
Total current assets	41,288	37,999
Long-term investments	18,268	17,429
Restricted deposits	1,409	1,390
Property, software and equipment, net	2,044	2,067
Goodwill	17,558	17,558
Intangible assets, net	5,236	5,409
Other long-term assets	1,241	593
Total assets	<u>\$ 87,044</u>	<u>\$ 82,445</u>
LIABILITIES, REDEEMABLE NONCONTROLLING INTERESTS AND STOCKHOLDERS' EQUITY		
Current liabilities:		
Medical claims liability	\$ 19,911	\$ 18,308
Accounts payable and accrued expenses	13,948	13,174
Return of premium payable	2,403	2,008
Unearned revenue	869	661
Current portion of long-term debt	12	110
Total current liabilities	37,143	34,261
Long-term debt	18,308	18,423
Deferred tax liability	708	684
Other long-term liabilities	2,866	2,567
Total liabilities	59,025	55,935
Commitments and contingencies		
Redeemable noncontrolling interests	12	10
Stockholders' equity:		
Preferred stock, \$0.001 par value; authorized 10,000 shares; no shares issued or outstanding at March 31, 2025 and December 31, 2024	—	—
Common stock, \$0.001 par value; authorized 800,000 shares; 622,511 issued and 497,518 outstanding at March 31, 2025, and 620,195 issued and 495,907 outstanding at December 31, 2024	1	1
Additional paid-in capital	20,631	20,562
Accumulated other comprehensive (loss)	(337)	(504)
Retained earnings	16,659	15,348
Treasury stock, at cost (124,993 and 124,288 shares, respectively)	(9,038)	(8,997)
Total Centene stockholders' equity	27,916	26,410
Nonredeemable noncontrolling interest	91	90
Total stockholders' equity	28,007	26,500
Total liabilities, redeemable noncontrolling interests and stockholders' equity	<u>\$ 87,044</u>	<u>\$ 82,445</u>

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CENTENE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(In millions, except shares in thousands and per share data in dollars)
(Unaudited)

	Three Months Ended March 31,	
	2025	2024
Revenues:		
Premium	\$ 41,712	\$ 35,529
Service	777	808
Premium and service revenues	42,489	36,337
Premium tax	4,131	4,070
Total revenues	46,620	40,407
Expenses:		
Medical costs	36,503	30,932
Cost of services	698	669
Selling, general and administrative expenses	3,353	3,218
Depreciation expense	142	135
Amortization of acquired intangible assets	173	173
Premium tax expense	4,217	4,161
Impairment	—	13
Total operating expenses	45,086	39,301
Earnings from operations	1,534	1,106
Other income (expense):		
Investment and other income	382	545
Interest expense	(170)	(178)
Earnings before income tax	1,746	1,473
Income tax expense	432	315
Net earnings	1,314	1,158
(Earnings) loss attributable to noncontrolling interests	(3)	5
Net earnings attributable to Centene Corporation	\$ 1,311	\$ 1,163
Net earnings per common share attributable to Centene Corporation:		
Basic earnings per common share	\$ 2.64	\$ 2.17
Diluted earnings per common share	\$ 2.63	\$ 2.16
Weighted average number of common shares outstanding:		
Basic	496,214	535,109
Diluted	498,180	538,060

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CENTENE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE EARNINGS (LOSS)
(In millions, unaudited)

	Three Months Ended March 31,	
	2025	2024
Net earnings	\$ 1,314	\$ 1,158
Change in unrealized gain (loss) on investments	216	(81)
Change in unrealized gain (loss) on investments, tax effect	(50)	15
Change in unrealized gain (loss) on investments, net of tax	166	(66)
Reclassification adjustment, net of tax	1	88
Other comprehensive earnings	167	22
Comprehensive earnings	1,481	1,180
Comprehensive (earnings) loss attributable to noncontrolling interests	(3)	5
Comprehensive earnings attributable to Centene Corporation	\$ 1,478	\$ 1,185

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CENTENE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(In millions, except shares in thousands and per share data in dollars)
(Unaudited)

Three Months Ended March 31, 2025

	Centene Stockholders' Equity								
	Common Stock		Additional Paid-in Capital	Accumulated Other Comprehensive Earnings (Loss)	Retained Earnings	Treasury Stock		Noncontrolling Interest	Total
	\$0.001 Par Value Shares	Amt				\$0.001 Par Value Shares	Amt		
Balance, December 31, 2024	620,195	\$ 1	\$ 20,562	\$ (504)	\$ 15,348	124,288	\$ (8,997)	\$ 90	\$ 26,500
Comprehensive Earnings:									
Net earnings	—	—	—	—	1,311	—	—	1	1,312
Other comprehensive earnings, net of \$50 tax	—	—	—	167	—	—	—	—	167
Common stock issued for employee benefit plans	2,316	—	10	—	—	—	—	—	10
Common stock repurchases	—	—	—	—	—	705	(41)	—	(41)
Stock compensation expense	—	—	59	—	—	—	—	—	59
Balance, March 31, 2025	622,511	\$ 1	\$ 20,631	\$ (337)	\$ 16,659	124,993	\$ (9,038)	\$ 91	\$ 28,007

Three Months Ended March 31, 2024

	Centene Stockholders' Equity								
	Common Stock		Additional Paid-in Capital	Accumulated Other Comprehensive Earnings (Loss)	Retained Earnings	Treasury Stock		Noncontrolling Interest	Total
	\$0.001 Par Value Shares	Amt				\$0.001 Par Value Shares	Amt		
Balance, December 31, 2023	615,291	\$ 1	\$ 20,304	\$ (652)	\$ 12,043	80,807	\$ (5,856)	\$ 97	\$ 25,937
Comprehensive Earnings:									
Net earnings (loss)	—	—	—	—	1,163	—	—	(4)	1,159
Other comprehensive earnings, net of \$(12) tax	—	—	—	22	—	—	—	—	22
Common stock issued for employee benefit plans	3,882	—	14	—	—	—	—	—	14
Common stock repurchases	—	—	—	—	—	1,983	(151)	—	(151)
Stock compensation expense	—	—	70	—	—	—	—	—	70
Divestiture of non-controlling interest	—	—	—	—	—	—	—	(3)	(3)
Balance, March 31, 2024	619,173	\$ 1	\$ 20,388	\$ (630)	\$ 13,206	82,790	\$ (6,007)	\$ 90	\$ 27,048

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CENTENE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In millions, unaudited)

	Three Months Ended March 31,	
	2025	2024
Cash flows from operating activities:		
Net earnings	\$ 1,314	\$ 1,158
Adjustments to reconcile net earnings to net cash provided by (used in) operating activities		
Depreciation and amortization	314	308
Stock compensation expense	59	70
Impairment	—	13
Deferred income taxes	(27)	104
(Gain) loss on divestitures, net	10	(98)
Other adjustments, net	5	(2)
Changes in assets and liabilities		
Premium and trade receivables	(2,684)	(1,211)
Other assets	(669)	(474)
Medical claims liabilities	1,603	108
Unearned revenue	208	(34)
Accounts payable and accrued expenses	563	(1,411)
Other long-term liabilities	814	1,013
Net cash provided by (used in) operating activities	1,510	(456)
Cash flows from investing activities:		
Capital expenditures	(135)	(151)
Purchases of investments	(1,630)	(1,317)
Sales and maturities of investments	1,236	1,441
Divestiture proceeds, net of divested cash	—	879
Net cash (used in) provided by investing activities	(529)	852
Cash flows from financing activities:		
Proceeds from long-term debt	750	350
Payments and repurchases of long-term debt	(958)	(187)
Common stock repurchases	(41)	(151)
Proceeds from common stock issuances	10	14
Other financing activities, net	(11)	(3)
Net cash (used in) provided by financing activities	(250)	23
Effect of exchange rate changes on cash, cash equivalents and restricted cash	—	6
Net increase in cash, cash equivalents and restricted cash and cash equivalents	731	425
Cash, cash equivalents and restricted cash and cash equivalents, beginning of period	14,156	17,452
Cash, cash equivalents and restricted cash and cash equivalents, end of period	\$ 14,887	\$ 17,877
Supplemental disclosures of cash flow information:		
Interest paid	\$ 129	\$ 155
Income taxes paid, net	\$ 7	\$ 13
The following table provides a reconciliation of cash, cash equivalents and restricted cash and cash equivalents reported within the Consolidated Balance Sheets to the totals above:		
	March 31,	
	2025	2024
Cash and cash equivalents	\$ 14,815	\$ 17,585
Restricted cash and cash equivalents, included in restricted deposits	72	292
Total cash, cash equivalents and restricted cash and cash equivalents	\$ 14,887	\$ 17,877

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CENTENE CORPORATION AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
(Unaudited)

1. Organization and Operations

Basis of Presentation

The accompanying interim financial statements have been prepared under the presumption that users of the interim financial information have either read or have access to the audited financial statements included in the Annual Report on Form 10-K for the fiscal year ended December 31, 2024. The unaudited interim financial statements herein have been prepared pursuant to the rules and regulations of the Securities and Exchange Commission (SEC). Accordingly, footnote disclosures that would substantially duplicate the disclosures contained in the December 31, 2024 audited financial statements have been omitted from these interim financial statements, where appropriate. In the opinion of management, these financial statements reflect all adjustments, consisting only of normal recurring adjustments, which are necessary for a fair presentation of the results of the interim periods presented.

Certain 2024 amounts in the consolidated financial statements and notes to the consolidated financial statements have been reclassified to conform to the 2025 presentation. These reclassifications have no effect on net earnings or stockholders' equity as previously reported.

Recent Accounting Guidance Not Yet Adopted

In November 2024, the Financial Accounting Standards Board issued Accounting Standards Update 2024-03 - Income Statement - Reporting Comprehensive Income: Disaggregation of Income Statement Expenses which expands disclosures about specific expense categories presented on the face of the Statement of Operations. The new standard is effective for annual periods beginning after December 15, 2026, and interim periods beginning after December 15, 2027. The Company is currently evaluating the effect of the new disclosure requirements.

2. Short-term and Long-term Investments, Restricted Deposits

Short-term and long-term investments and restricted deposits by investment type consist of the following (\$ in millions):

	March 31, 2025				December 31, 2024			
	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Debt securities:								
U.S. Treasury securities and obligations of U.S. government corporations and agencies	\$ 571	\$ 3	\$ (2)	\$ 572	\$ 593	\$ 2	\$ (4)	\$ 591
Corporate securities	11,350	82	(275)	11,157	10,820	47	(360)	10,507
Restricted certificates of deposit	4	—	—	4	4	—	—	4
Restricted cash equivalents	72	—	—	72	93	—	—	93
Short-term time deposits	193	—	—	193	425	—	—	425
Municipal securities	4,187	14	(125)	4,076	4,174	7	(151)	4,030
Asset-backed securities	1,955	18	(15)	1,958	1,820	13	(21)	1,812
Residential mortgage-backed securities	1,841	7	(99)	1,749	1,807	1	(129)	1,679
Commercial mortgage-backed securities	1,330	6	(50)	1,286	1,298	3	(62)	1,239
Equity securities	13	—	—	13	14	—	—	14
Private equity investments	878	—	—	878	851	—	—	851
Life insurance contracts	191	—	—	191	196	—	—	196
Total	<u>\$ 22,585</u>	<u>\$ 130</u>	<u>\$ (566)</u>	<u>\$ 22,149</u>	<u>\$ 22,095</u>	<u>\$ 73</u>	<u>\$ (727)</u>	<u>\$ 21,441</u>

The Company's investments are debt securities classified as available-for-sale with the exception of equity securities, certain private equity investments and life insurance contracts. Private equity investments include direct investments in private equity securities as well as private equity funds. The Company's investment policies are designed to provide liquidity, preserve capital and maximize total return on invested assets with a focus on high credit quality securities. The Company limits the size of investment in any single issuer other than U.S. treasury securities and obligations of U.S. government corporations and agencies. As of March 31, 2025, 99% of the Company's investments in rated securities carry an investment grade rating by nationally recognized statistical rating organizations. At March 31, 2025, the Company held certificates of deposit, equity securities, private equity investments and life insurance contracts, which did not carry a credit rating. Accrued interest income on available-for-sale debt securities was \$183 million and \$178 million at March 31, 2025 and December 31, 2024, respectively, and is included in other current assets in the Consolidated Balance Sheets.

The Company's residential mortgage-backed securities are primarily issued by the Federal National Mortgage Association, Government National Mortgage Association or Federal Home Loan Mortgage Corporation, which carry implicit or explicit guarantees of the U.S. government. The Company's commercial mortgage-backed securities are primarily senior tranches with a weighted average rating of AA+ and a weighted average duration of 3 years at March 31, 2025.

The fair value of available-for-sale debt securities with gross unrealized losses by investment type and length of time that individual securities have been in a continuous unrealized loss position were as follows (\$ in millions):

	March 31, 2025				December 31, 2024			
	Less Than 12 Months		12 Months or More		Less Than 12 Months		12 Months or More	
	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value
U.S. Treasury securities and obligations of U.S. government corporations and agencies	\$ —	\$ 83	\$ (2)	\$ 99	\$ (1)	\$ 60	\$ (3)	\$ 144
Corporate securities	(17)	1,783	(258)	4,443	(41)	2,621	(319)	4,782
Municipal securities	(9)	790	(116)	2,075	(16)	1,217	(135)	2,073
Asset-backed securities	(1)	258	(14)	286	(4)	301	(17)	331
Residential mortgage-backed securities	(6)	426	(93)	729	(18)	786	(111)	738
Commercial mortgage-backed securities	(2)	248	(48)	624	(4)	210	(58)	666
Total	<u>\$ (35)</u>	<u>\$ 3,588</u>	<u>\$ (531)</u>	<u>\$ 8,256</u>	<u>\$ (84)</u>	<u>\$ 5,195</u>	<u>\$ (643)</u>	<u>\$ 8,734</u>

As of March 31, 2025, the gross unrealized losses were generated from 4,683 positions out of a total of 6,741 positions. The change in fair value of available-for-sale debt securities is primarily a result of movement in interest rates subsequent to the purchase of the security.

For each security in an unrealized loss position, the Company assesses whether it intends to sell the security or if it is more likely than not the Company will be required to sell the security before recovery of the amortized cost basis for reasons such as liquidity, contractual or regulatory purposes. If the security meets this criterion, the decline in fair value is recorded in earnings. The Company does not intend to sell these securities prior to maturity and it is not likely that the Company will be required to sell these securities prior to maturity; therefore, the Company did not record an impairment for these securities.

In addition, the Company monitors available-for-sale debt securities for credit losses. Certain investments have experienced a decline in fair value due to changes in credit quality, market interest rates and/or general economic conditions. The Company recognizes an allowance when evidence demonstrates that the decline in fair value is credit related. Evidence of a credit-related loss may include rating agency actions, adverse conditions specifically related to the security or failure of the issuer of the security to make scheduled payments.

The contractual maturities of short-term and long-term debt securities and restricted deposits are as follows (\$ in millions):

	March 31, 2025				December 31, 2024			
	Investments		Restricted Deposits		Investments		Restricted Deposits	
	Amortized Cost	Fair Value	Amortized Cost	Fair Value	Amortized Cost	Fair Value	Amortized Cost	Fair Value
One year or less	\$ 2,249	\$ 2,231	\$ 463	\$ 463	\$ 2,383	\$ 2,365	\$ 477	\$ 475
One year through five years	8,132	7,958	594	578	7,799	7,563	610	593
Five years through ten years	4,413	4,324	284	281	4,343	4,172	301	291
Greater than ten years	155	152	87	87	165	160	31	31
Asset-backed securities	5,126	4,993	—	—	4,925	4,730	—	—
Total	<u>\$ 20,075</u>	<u>\$ 19,658</u>	<u>\$ 1,428</u>	<u>\$ 1,409</u>	<u>\$ 19,615</u>	<u>\$ 18,990</u>	<u>\$ 1,419</u>	<u>\$ 1,390</u>

Actual maturities may differ from contractual maturities due to call or prepayment options. Equity securities, private equity investments and life insurance contracts are excluded from the table above because they do not have a contractual maturity. The Company has an option to redeem substantially all of the securities included in the greater than ten years category listed above at amortized cost.

3. Fair Value Measurements

Assets and liabilities recorded at fair value in the Consolidated Balance Sheets are categorized based upon observable or unobservable inputs used to estimate fair value. Level inputs are as follows:

Level Input:	Input Definition:
Level I	Inputs are unadjusted, quoted prices for identical assets or liabilities in active markets at the measurement date.
Level II	Inputs other than quoted prices included in Level I that are observable for the asset or liability through corroboration with market data at the measurement date.
Level III	Unobservable inputs that reflect management's best estimate of what market participants would use in pricing the asset or liability at the measurement date.

The following table summarizes fair value measurements by level at March 31, 2025, for assets and liabilities measured at fair value on a recurring basis (\$ in millions):

	Level I	Level II	Level III	Total
Assets				
Cash and cash equivalents	\$ 14,815	\$ —	\$ —	\$ 14,815
Investments:				
U.S. Treasury securities and obligations of U.S. government corporations and agencies	\$ 66	\$ —	\$ —	\$ 66
Corporate securities	—	11,155	—	11,155
Municipal securities	—	3,251	—	3,251
Short-term time deposits	—	193	—	193
Asset-backed securities	—	1,958	—	1,958
Residential mortgage-backed securities	—	1,749	—	1,749
Commercial mortgage-backed securities	—	1,286	—	1,286
Equity securities	12	1	—	13
Total investments	\$ 78	\$ 19,593	\$ —	\$ 19,671
Restricted deposits:				
Cash and cash equivalents	\$ 72	\$ —	\$ —	\$ 72
U.S. Treasury securities and obligations of U.S. government corporations and agencies	506	—	—	506
Corporate securities	—	2	—	2
Certificates of deposit	—	4	—	4
Municipal securities	—	825	—	825
Total restricted deposits	\$ 578	\$ 831	\$ —	\$ 1,409
Total assets at fair value	\$ 15,471	\$ 20,424	\$ —	\$ 35,895

The following table summarizes fair value measurements by level at December 31, 2024, for assets and liabilities measured at fair value on a recurring basis (\$ in millions):

	Level I	Level II	Level III	Total
Assets				
Cash and cash equivalents	\$ 14,063	\$ —	\$ —	\$ 14,063
Investments:				
U.S. Treasury securities and obligations of U.S. government corporations and agencies	\$ 58	\$ —	\$ —	\$ 58
Corporate securities	—	10,505	—	10,505
Municipal securities	—	3,272	—	3,272
Short-term time deposits	—	425	—	425
Asset-backed securities	—	1,812	—	1,812
Residential mortgage-backed securities	—	1,679	—	1,679
Commercial mortgage-backed securities	—	1,239	—	1,239
Equity securities	13	1	—	14
Total investments	\$ 71	\$ 18,933	\$ —	\$ 19,004
Restricted deposits:				
Cash and cash equivalents	\$ 93	\$ —	\$ —	\$ 93
U.S. Treasury securities and obligations of U.S. government corporations and agencies	533	—	—	533
Corporate securities	—	2	—	2
Certificates of deposit	—	4	—	4
Municipal securities	—	758	—	758
Total restricted deposits	\$ 626	\$ 764	\$ —	\$ 1,390
Total assets at fair value	\$ 14,760	\$ 19,697	\$ —	\$ 34,457

The Company utilizes matrix-pricing services to estimate fair value for securities which are not actively traded on the measurement date. The Company designates these securities as Level II fair value measurements. In addition, the aggregate carrying amount of the Company's private equity investments and life insurance contracts, which approximates fair value, was \$1,069 million and \$1,047 million as of March 31, 2025 and December 31, 2024, respectively.

4. Medical Claims Liability

The following table summarizes the change in medical claims liability for the three months ended March 31, 2025 (\$ in millions):

	Medicaid	Medicare	Commercial	Other	Consolidated Total
Balance, January 1, 2025	\$ 10,299	\$ 3,358	\$ 4,463	\$ 188	\$ 18,308
Less: Reinsurance recoverable	18	—	47	—	65
Balance, January 1, 2025, net	10,281	3,358	4,416	188	18,243
Incurred related to:					
Current year	21,419	7,553	7,972	514	37,458
Prior years	(576)	(176)	(365)	(16)	(1,133)
Total incurred	20,843	7,377	7,607	498	36,325
Paid related to:					
Current year	12,996	5,243	4,731	359	23,329
Prior years	6,849	1,923	2,648	150	11,570
Total paid	19,845	7,166	7,379	509	34,899
Plus: Premium deficiency reserve	—	178	—	—	178
Balance, March 31, 2025, net	11,279	3,747	4,644	177	19,847
Plus: Reinsurance recoverable	18	—	46	—	64
Balance, March 31, 2025	<u>\$ 11,297</u>	<u>\$ 3,747</u>	<u>\$ 4,690</u>	<u>\$ 177</u>	<u>\$ 19,911</u>

The following table summarizes the change in medical claims liability for the three months ended March 31, 2024 (\$ in millions):

	Medicaid	Medicare	Commercial	Other	Consolidated Total
Balance, January 1, 2024	\$ 10,814	\$ 3,612	\$ 3,460	\$ 114	\$ 18,000
Less: Reinsurance recoverable	5	—	44	—	49
Balance, January 1, 2024, net	10,809	3,612	3,416	114	17,951
Incurred related to:					
Current year	20,179	5,495	5,884	373	31,931
Prior years	(684)	(156)	(204)	(5)	(1,049)
Total incurred	19,495	5,339	5,680	368	30,882
Paid related to:					
Current year	12,823	3,266	3,339	258	19,686
Prior years	6,993	2,050	1,973	108	11,124
Total paid	19,816	5,316	5,312	366	30,810
Plus: Premium deficiency reserve	—	50	—	—	50
Balance, March 31, 2024, net	10,488	3,685	3,784	116	18,073
Plus: Reinsurance recoverable	4	—	32	—	36
Balance, March 31, 2024	<u>\$ 10,492</u>	<u>\$ 3,685</u>	<u>\$ 3,816</u>	<u>\$ 116</u>	<u>\$ 18,109</u>

Reinsurance recoverables related to medical claims are included in premium and trade receivables. Changes in estimates of incurred claims for prior years are primarily attributable to reserving under moderately adverse conditions. Additionally, as a result of development within "Incurred related to: Prior years," the Company recorded \$34 million and \$54 million as a reduction to premium revenue in the three months ended March 31, 2025 and 2024, respectively, for minimum medical loss ratio (MLR) and other return of premium programs.

Incurred but not reported (IBNR) plus expected development on reported claims as of March 31, 2025 was \$13,389 million. Total IBNR plus expected development on reported claims represents estimates for claims incurred but not reported, development on reported claims and estimates for the costs necessary to process unpaid claims at the end of each period. The Company estimates its liability using actuarial methods that are commonly used by health insurance actuaries and meet Actuarial Standards of Practice. These actuarial methods consider factors such as historical data for payment patterns, cost trends, product mix, seasonality, utilization of healthcare services and other relevant factors.

The Company reviews actual and anticipated experience compared to the assumptions used to establish medical costs. The Company establishes premium deficiency reserves if actual and anticipated experience indicates that existing policy liabilities together with the present value of future gross premiums will not be sufficient to cover the present value of future benefits, settlement and maintenance costs. For purposes of determining premium deficiencies, contracts are grouped in a manner consistent with the method of acquiring, servicing and measuring the profitability of such contracts and expected investment income is excluded. In December 2024, the Company recorded a premium deficiency reserve of \$92 million related to the 2025 Medicare Advantage contract year. In the first quarter of 2025, the premium deficiency reserve was increased to \$270 million due to the intra-year flow of seasonality, including anticipated impacts of the Inflation Reduction Act to the Part D benefit within the Company's Medicare Advantage business. In December 2023, the Company recorded a premium deficiency reserve of \$250 million related to the 2024 Medicare Advantage contract year, which was increased to \$300 million in the first quarter of 2024 due to the intra-year flow of seasonality.

5. Affordable Care Act

The Affordable Care Act established risk spreading premium stabilization programs as well as a minimum annual MLR and cost sharing reductions.

The Company's net receivables (payables) for each of the programs are as follows (\$ in millions):

	March 31, 2025	December 31, 2024
Risk adjustment receivable	\$ 2,088	\$ 1,434
Risk adjustment payable	(2,263)	(1,605)
Minimum medical loss ratio	(821)	(688)
Cost sharing reduction receivable	18	305
Cost sharing reduction payable	(79)	(74)

6. Debt

Debt consists of the following (\$ in millions):

	March 31, 2025	December 31, 2024
\$2,500 million 4.25% Senior Notes due December 15, 2027	\$ 2,398	\$ 2,398
\$2,300 million 2.45% Senior Notes due July 15, 2028	2,302	2,302
\$3,500 million 4.625% Senior Notes due December 15, 2029	3,277	3,277
\$2,000 million 3.375% Senior Notes due February 15, 2030	2,000	2,000
\$2,200 million 3.00% Senior Notes due October 15, 2030	2,200	2,200
\$2,200 million 2.50% Senior Notes due March 1, 2031	2,200	2,200
\$1,300 million 2.625% Senior Notes due August 1, 2031	1,300	1,300
Total senior notes	15,677	15,677
Term Loan Facility	2,000	2,006
Revolving Credit Agreement	750	950
Debt issuance costs	(107)	(100)
Total debt	18,320	18,533
Less: current portion	(12)	(110)
Long-term debt	\$ 18,308	\$ 18,423

Revolving Credit Facility and Term Loan Credit Facility

On March 5, 2025, the Company entered into a new Credit Agreement (New Credit Agreement) and terminated all outstanding commitments and repaid all outstanding obligations under the Fourth Amended and Restated Credit Agreement, dated as of August 16, 2021 (as amended).

The New Credit Agreement provides for (i) a revolving credit facility in the principal amount of \$4,000 million (the Revolving Credit Facility) and (ii) a term loan facility in the principal amount of \$2,000 million (the Term Loan Facility). The maturity date for the New Credit Agreement is March 5, 2030. Loans under the Revolving Credit Facility may be denominated in U.S. dollars, Euros, Sterling, Swiss Francs, Yen, Australian dollars and Canadian dollars and each other currency which has been approved under the terms of the New Credit Agreement.

Borrowings under the New Credit Agreement will bear interest at a fluctuating rate per annum equal to a benchmark rate applicable to the currency composing such borrowing plus an applicable margin. The applicable margin is in each case based on the rating of Centene's corporate debt obligations by S&P and Moody's.

The Company is subject to a financial covenant under the New Credit Agreement, tested quarterly, whereby the debt-to-capital ratio may not exceed 0.60 to 1.00, with a step-up, upon the Company's election, following the consummation of a material acquisition, to 0.65 to 1.00 during certain specified periods.

7. Stockholders' Equity

The Company's Board of Directors has authorized a stock repurchase program of the Company's common stock from time to time on the open market or through privately negotiated transactions. The Company is authorized to repurchase up to \$10,000 million, inclusive of past authorizations. As of March 31, 2025, the Company had a remaining amount of \$2,230 million available under the stock repurchase program.

The following represents the Company's share repurchase activity (\$ in millions, shares in thousands):

	Three Months Ended March 31,			
	2025		2024	
	Shares	Cost	Shares	Cost
Share buybacks	—	\$ —	681	\$ 51
Income tax withholding	705	41	1,302	100
Total share repurchases	705	\$ 41	1,983	\$ 151

Shares repurchased for income tax withholding are shares withheld in connection with employee stock plans to meet applicable tax withholding requirements. These shares are typically included in the Company's treasury stock.

8. Earnings Per Share

The following table sets forth the calculation of basic and diluted net earnings per common share (\$ in millions, except per share data in dollars and shares in thousands):

	Three Months Ended March 31,	
	2025	2024
Earnings attributable to Centene Corporation	\$ 1,311	\$ 1,163
Shares used in computing per share amounts:		
Weighted average number of common shares outstanding	496,214	535,109
Common stock equivalents (as determined by applying the treasury stock method)	1,966	2,951
Weighted average number of common shares and potential dilutive common shares outstanding	498,180	538,060
Net earnings per common share attributable to Centene Corporation:		
Basic earnings per common share	\$ 2.64	\$ 2.17
Diluted earnings per common share	\$ 2.63	\$ 2.16

The calculation of diluted earnings per common share for the three months ended March 31, 2025 and 2024 excludes 2,380 thousand shares and 684 thousand shares, respectively, related to anti-dilutive stock options, restricted stock and restricted stock units.

9. Segment Information

The Company operates in four segments: (1) a Medicaid segment, (2) a Medicare segment, (3) a Commercial segment and (4) an Other segment. The Medicaid, Medicare and Commercial segments primarily represent the government-sponsored or subsidized programs under which the Company offers managed healthcare services. The Other segment includes the Company's pharmacy operations, vision and dental services, clinical healthcare, behavioral health, and corporate management company, among others.

Factors used in determining the reportable business segments include the nature of operating activities, the existence of separate senior management teams and the type of information presented to the Company's chief operating decision-maker (CODM) to evaluate all results of operations. The Company's CODM is its Chief Executive Officer. The Company's CODM focuses primarily on each segment's ability to generate sufficient revenues and manage expenses associated with health benefits and cost of services (including estimated costs incurred). As such, the CODM measures operating performance at the segment level based on gross margin, including evaluation of budget to actual variances, to determine the allocation of financial and capital resources for each segment. The Company does not report total assets by segment since this is not a metric used by the Company's CODM to allocate resources or evaluate segment performance.

Segment information for the three months ended March 31, 2025, is as follows (\$ in millions):

	Medicaid	Medicare	Commercial	Other/Eliminations	Consolidated Total
Premium	\$ 22,275	\$ 8,759	\$ 10,148	\$ 530	\$ 41,712
Service	24	—	1	752	777
Premium and service revenues	22,299	8,759	10,149	1,282	42,489
Premium tax	4,131	—	—	—	4,131
Total external revenues	26,430	8,759	10,149	1,282	46,620
Internal revenues	—	—	—	4,164	4,164
Eliminations	—	—	—	(4,164)	(4,164)
Total revenues	\$ 26,430	\$ 8,759	\$ 10,149	\$ 1,282	\$ 46,620
Medical costs	\$ 20,843	\$ 7,555	\$ 7,607	\$ 498	\$ 36,503
Cost of services	24	—	—	674	698
Other operating expenses ⁽¹⁾					7,885
Other income (expense) ⁽²⁾					212
Earnings before income tax expense					\$ 1,746
Segment gross margin ⁽³⁾	\$ 1,432	\$ 1,204	\$ 2,542	\$ 110	\$ 5,288

⁽¹⁾ Other operating expenses include selling, general and administrative expenses, depreciation, amortization, premium tax expense and impairment.

⁽²⁾ Other income (expense) includes investment and other income, debt extinguishment and interest expense.

⁽³⁾ Segment gross margin represents premium and service revenues less medical costs and cost of services.

Segment information for the three months ended March 31, 2024, is as follows (\$ in millions):

	Medicaid	Medicare	Commercial	Other/Eliminations	Consolidated Total
Premium	\$ 21,438	\$ 5,935	\$ 7,750	\$ 406	\$ 35,529
Service	22	—	1	785	808
Premium and service revenues	21,460	5,935	7,751	1,191	36,337
Premium tax	4,070	—	—	—	4,070
Total external revenues	25,530	5,935	7,751	1,191	40,407
Internal revenues	—	—	—	4,080	4,080
Eliminations	—	—	—	(4,080)	(4,080)
Total revenues	\$ 25,530	\$ 5,935	\$ 7,751	\$ 1,191	\$ 40,407
Medical costs	\$ 19,495	\$ 5,389	\$ 5,680	\$ 368	\$ 30,932
Cost of services	21	—	—	648	669
Other operating expenses ⁽¹⁾					7,700
Other income (expense) ⁽²⁾					367
Earnings before income tax expense					\$ 1,473
Segment gross margin ⁽³⁾	\$ 1,944	\$ 546	\$ 2,071	\$ 175	\$ 4,736

⁽¹⁾ Other operating expenses include selling, general and administrative expenses, depreciation, amortization, premium tax expense and impairment.

⁽²⁾ Other income (expense) includes investment and other income, debt extinguishment and interest expense.

⁽³⁾ Segment gross margin represents premium and service revenues less medical costs and cost of services.

10. Contingencies

The Company is routinely subjected to legal and regulatory proceedings in the normal course of business. These matters can include, without limitation:

- periodic compliance and other reviews and investigations by various federal and state regulatory agencies with respect to requirements applicable to the Company's business, including, without limitation, those related to payment of out-of-network claims, compliance with the Centers for Medicare and Medicaid Services Medicare and Marketplace regulations, including risk adjustment and broker compensation, compliance with the False Claims Act, the calculation of minimum MLR and rebates related thereto, submissions to state agencies related to payments or state false claims acts, pre-authorization penalties, timely review of grievances and appeals, timely and accurate payment of claims, provider directory accuracy, cybersecurity issues, including those related to the Company's or the Company's third-party vendors' information systems, and the Health Insurance Portability and Accountability Act of 1996 (HIPAA) and other federal and state fraud, waste and abuse laws;
- litigation arising out of general business activities, such as tax matters, disputes related to healthcare benefits coverage or reimbursement, putative securities class actions, and medical malpractice, privacy, real estate, intellectual property, vendor disputes and employment-related claims; and
- disputes regarding reinsurance arrangements, claims arising out of the acquisition or divestiture of various assets, class actions and claims relating to the performance of contractual and non-contractual obligations to providers, members, employer groups, vendors and others, including, but not limited to, the alleged failure to properly pay claims and challenges to the manner in which the Company processes claims, claims related to network adequacy and claims alleging that the Company has engaged in unfair business practices.

Among other things, these matters may result in awards of damages, fines or penalties, which could be substantial, and/or could require changes to the Company's business. The Company intends to vigorously defend itself against legal and regulatory proceedings to which it is currently a party; however, these proceedings are subject to many uncertainties. In some of the cases pending against the Company, substantial non-economic or punitive damages are being sought.

The Company records reserves and accrues costs for certain legal proceedings and regulatory matters to the extent that it determines an unfavorable outcome is probable and the amount of the loss can be reasonably estimated. While such reserves and accrued costs reflect the Company's best estimate of the probable loss for such matters, the recorded amounts may differ materially from the actual amount of any such losses. In some cases, no estimate of the possible loss or range of loss in excess of amounts accrued, if any, can be made because of the inherently unpredictable nature of legal and regulatory proceedings, which may be exacerbated by various factors, including but not limited to, they may involve indeterminate claims for monetary damages or may involve fines, penalties or punitive damages; present novel legal theories or legal uncertainties; involve disputed facts; represent a shift in regulatory policy; involve a large number of parties, claimants or regulatory bodies; are in the early stages of the proceedings; involve a number of separate proceedings and/or a wide range of potential outcomes; or result in a change of business practices.

As of the date of this report, amounts accrued for legal proceedings and regulatory matters were not material. The Company believes that the ultimate outcome of any of the regulatory and legal proceedings that are currently pending against it should not have a material adverse effect on financial condition, results of operations, cash flow or liquidity. However, it is possible that in a particular quarter or annual period the Company's financial condition, results of operations, cash flow and/or liquidity could be materially adversely affected by an ultimate unfavorable resolution of or development in legal and/or regulatory proceedings.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

The following discussion of our financial condition and results of operations should be read in conjunction with our consolidated financial statements and the related notes included elsewhere in this filing. The discussion contains forward-looking statements that involve known and unknown risks and uncertainties.

EXECUTIVE OVERVIEW**General**

We are a leading healthcare enterprise that is committed to helping people live healthier lives. The Company takes a local approach – with local brands and local teams – to provide fully integrated, high-quality and cost-effective services to government-sponsored and commercial healthcare programs, focusing on under-insured and uninsured individuals. Centene offers affordable and high-quality products to more than 1 in 15 individuals across the nation, including Medicaid and Medicare members (including Medicare Prescription Drug Plans) as well as individuals and families served by the Health Insurance Marketplace.

Our results of operations depend on our ability to manage expenses associated with health benefits (including estimated costs incurred) and selling, general and administrative (SG&A) costs. We measure operating performance based upon two key ratios. The health benefits ratio (HBR) represents medical costs as a percentage of premium revenues, excluding premium tax revenues that are separately billed, and reflects the direct relationship between the premiums received and the medical services provided. The SG&A expense ratio represents SG&A costs as a percentage of premium and service revenues, excluding premium taxes separately billed.

Regulatory Trends and Uncertainties

The United States government, policymakers and healthcare experts continue to discuss and debate various elements of the United States healthcare model. We remain focused on the promise of delivering access to high-quality, affordable healthcare to all of our members and believe we are well positioned to meet the needs of the changing healthcare landscape.

The American Rescue Plan Act (ARPA), enacted in March 2021, initially enhanced eligibility for the premium tax credit for enrollees in the Health Insurance Marketplace. The enhanced eligibility extended by the Inflation Reduction Act (IRA), enacted in August 2022, expires at the end of 2025. We continue to advocate for legislation and regulations aimed at leveraging Medicaid and the Health Insurance Marketplace to maintain health insurance coverage and affordability for consumers.

The IRA significantly changes Medicare Prescription Drug Plans (PDPs) in 2025, most notably by eliminating the coverage gap and capping members' annual out-of-pocket costs at \$2,000 in order to provide more predictable and affordable prescription drug coverage for Medicare beneficiaries. The IRA changes effective for 2025 result in a meaningful shift in cost-sharing responsibilities between members, drug companies, Centers for Medicare and Medicaid Services (CMS), and PDPs and have resulted in a significant increase in our premiums in consideration for our PDPs' responsibility for a larger portion of total Part D benefit costs. To help mitigate significant premium impacts and address these changes, CMS introduced the Medicare Part D Premium Stabilization Demonstration program. This program began in calendar year 2025 and was intended by CMS to exist for three years. The parameters of the program are expected to be different each year. CMS believes the demonstration will provide plans greater flexibility to manage costs and assist in stabilizing beneficiary premiums. We continue to advocate for policies that promote cost-effective, high-quality care for our PDP enrolled members.

The COVID-19 pandemic impacted our business as it relates to Medicaid eligibility changes. From the onset of the public health emergency (PHE) through March 2023, our Medicaid membership increased by 3.6 million members (excluding new states North Carolina and Delaware and various state product expansions or managed care organization changes). Since March 31, 2023, redeterminations are the primary driver of our Medicaid membership decline. While some states may still be concluding the redetermination process for certain populations of members, we anticipate that any remaining reductions will be limited as the majority of states have substantially completed their unwinding processes as of December 2024. We continue to work with our state partners to match rates to acuity post-redeterminations.

In addition, the CMS calendar year 2025 Medicare and Part D policy rule and finalized regulations will require beneficiaries dually enrolled in Medicare and a Medicaid Managed Care Plan to receive integrated care through the Medicaid company's Medicare Advantage Dual Eligible Special Needs Plans (D-SNPs) beginning in 2030, with certain restrictions beginning in 2027. However, some states have already moved or are planning to exclusively align dual-eligible enrollment under an aligned D-SNP before this timeframe. We believe we are well positioned given our overlapping Medicaid and Medicare Advantage footprints and are committed to navigating evolving regulations.

We also closely monitor state legislation across our markets and are advocating for coverage expansions for Medicaid populations, postpartum (now in effect for 48 states, the District of Columbia and the U.S. Virgin Islands), foster care children, among others, as well as mitigating adverse legislation addressing pharmacy, prior authorization and other issues. The Consolidated Appropriations Act, 2023 outlined key coverage expansion provisions, which went into effect in January 2024, requiring states to provide 12 months of continuous coverage for children under Medicaid and the Children's Health Insurance Program (CHIP).

We have four decades of experience, spanning seven presidents from both sides of the aisle, in delivering high-quality healthcare services on behalf of states and the federal government to under-insured and uninsured families and commercial organizations. This expertise has allowed us to deliver cost-effective services to our government partners and our members. With trends in the personalization of healthcare technology, we continue the use of data and analytics to improve the provider and member experience. We continue to believe we have both the capacity and capability to successfully navigate industry changes to the benefit of our members, customers, providers and shareholders.

First Quarter 2025 Highlights

Our financial performance for the first quarter of 2025 is summarized as follows:

- Managed care membership of 27.9 million, a decrease of 479 thousand members, or (2)% year-over-year.
- Total revenues of \$46.6 billion, representing 15% growth year-over-year.
- Premium and service revenues of \$42.5 billion, representing 17% growth year-over-year.
- HBR of 87.5%, compared to 87.1% for the first quarter of 2024.
- SG&A expense ratio of 7.9%, compared to 8.9% for the first quarter of 2024.
- Adjusted SG&A expense ratio of 7.9%, compared to 8.7% for the first quarter of 2024.
- Operating cash flows provided cash of \$1.5 billion in the first quarter of 2025.
- Diluted earnings per share (EPS) of \$2.63, compared to \$2.16 for the first quarter of 2024.
- Adjusted diluted EPS of \$2.90, compared to \$2.26 for the first quarter of 2024.

A reconciliation from GAAP diluted EPS to adjusted diluted EPS is highlighted below, and additional detail is provided above under the heading "*Non-GAAP Financial Presentation*".

We reference an adjusted SG&A expense ratio, defined as adjusted SG&A expenses, which excludes acquisition and divestiture related expenses and other items, divided by premium and service revenues. A reconciliation from GAAP SG&A to adjusted SG&A and additional detail is provided above under the heading "*Non-GAAP Financial Presentation*." We also reference effective tax rate on adjusted earnings, defined as GAAP income tax expense (benefit) excluding the income tax effects of adjustments to net earnings divided by adjusted earnings (loss) before income tax expense.

	Three Months Ended March 31,	
	2025	2024
GAAP diluted EPS attributable to Centene	\$ 2.63	\$ 2.16
Amortization of acquired intangible assets	0.35	0.32
Acquisition and divestiture related expenses	—	0.11
Other adjustments ⁽¹⁾	0.01	(0.18)
Income tax effects of adjustments ⁽²⁾	(0.09)	(0.15)
Adjusted diluted EPS	<u>\$ 2.90</u>	<u>\$ 2.26</u>

⁽¹⁾ Other adjustments include the following pre-tax items:

2025:

- (a) A reduction to the previously reported gain on the sale of Magellan Rx of \$10 million or \$0.02 per share (\$0.02 after-tax) and net gain on real estate transactions of \$7 million, or \$0.01 per share (\$0.01 after-tax).

2024:

- (a) Net gain on the previously reported divestiture of Magellan Specialty Health due to the achievement of contingent consideration and finalization of working capital adjustments of \$81 million, or \$0.15 per share (\$0.11 after-tax), net gain on the sale of property of \$24 million, or \$0.04 per share (\$0.03 after-tax), Health Net Federal Services asset impairment due to the 2024 final ruling on the TRICARE Managed Care Support Contract of \$14 million, or \$0.03 per share (\$0.02 after-tax), gain on the previously reported divestiture of Circle Health Group (Circle Health) of \$10 million, or \$0.02 per share (\$0.10 after-tax), severance costs due to a restructuring of \$9 million, or \$0.01 per share (\$0.01 after-tax) and gain on the previously reported divestiture of HealthSmart due to the finalization of working capital adjustments of \$7 million, or \$0.01 per share (\$0.01 after-tax).

⁽²⁾ The income tax effects of adjustments are based on the effective income tax rates applicable to each adjustment.

Current and Future Operating Drivers

The following items contributed to our results of operations as compared to the previous year:

Medicaid

- In February 2025, our subsidiary, Sunshine Health, commenced the expanded Statewide Medicaid Managed Care program, including integrated Managed Medical Assistance, Long-Term Care services, Serious Mental Illness, Child Welfare and HIV specialty products. The contract has a six-year term.
- In January 2025, our subsidiary, Sunflower Health Plan, commenced the contract to continue providing managed health care services through KanCare, the State of Kansas' Medicaid and Children's Health Insurance Program. The contract has a three-year term, with two optional one-year extensions, for a total of five possible contract years.
- In October 2024, our subsidiary, Meridian Health Plan of Michigan, commenced the contract awarded by the Michigan Department of Health and Human Services (MDHHS) to continue serving as a Medicaid health plan for the Comprehensive Health Care Program. The contract has a five-year term, with three optional one-year extensions, for a total of eight possible contract years.
- In September 2024, our subsidiary, Superior HealthPlan (Superior), commenced the contract awarded by the Texas Health and Human Services Commission to continue to provide healthcare coverage to the aged, blind or disabled (ABD) population in the state's STAR+PLUS program. The contract has a six-year term with a maximum of three additional two-year extensions.
- In September 2024, our subsidiary, NH Healthy Families, commenced the contract awarded by the New Hampshire Department of Health and Human Services to continue providing physical health, behavioral health and pharmacy services for New Hampshire's Medicaid managed care program, known as Medicaid Care Management. The contract has a five-year term.
- In July 2024, our subsidiaries, Carolina Complete Health and WellCare of North Carolina, began coordinating physical and other health services with Local Management Entities/Managed Care Organizations under the state's new Tailored Plan program. The Tailored Plans are integrated health plans designed for individuals with significant behavioral health needs or intellectual/developmental disabilities.
- In June 2024, our subsidiary, Western Sky Community Care, concluded serving members upon the expiration of its New Mexico Medicaid managed care contract.
- In April 2024, our subsidiary, Oklahoma Complete Health, commenced the statewide contracts to provide managed care for the SoonerSelect and SoonerSelect Children's Specialty Plan programs. The new contracts have a one-year term with five, one-year renewal options.
- In January 2024, our subsidiary, Nebraska Total Care, commenced the statewide Medicaid managed care contract to continue serving the state's Medicaid Managed Care Program, known as Heritage Health. The initial contract term is five years and includes the option for two subsequent, one-year renewals, for a potential total of seven years.
- In January 2024, our California health plan commenced direct Medicaid contracts in 10 counties (Los Angeles, Sacramento, Amador, Calaveras, Inyo, Mono, San Joaquin, Stanislaus, Tulare and Tuolumne). In Los Angeles, a portion of the membership is subcontracted. Prior to January 2024, our California health plan previously served the state's Medicaid Managed Care population with contracts in 13 counties, including San Diego.
- In April 2023, eligibility redeterminations related to the PHE began. States have substantially completed their unwinding processes as of December 2024. We continue to work with our state partners to match rates to acuity post-redeterminations.

Medicare

- Given our strong bid positioning, PDP membership increased 22% year-over-year. Additionally, the IRA changes effective for 2025 result in a meaningful shift in cost-sharing responsibilities between members, drug companies, CMS, and PDPs and have led to a significant increase in our premiums in consideration for our PDPs responsibility for a larger portion of total Part D benefit costs. These changes also result in a change to the quarterly progression of the Medicare segment HBR.
- In 2025, Wellcare is offering Medicare Advantage plans in 32 states, including its newest state, Iowa. Wellcare discontinued offering Medicare Advantage products in Alabama, Massachusetts, New Hampshire, New Mexico, Rhode Island and Vermont in 2025. Consistent with our strategic positioning and bid strategy, Medicare Advantage membership declined 9% year-over-year.

Commercial

- In 2025, our Health Insurance Marketplace product, Ambetter Health, expanded its geographic footprint, adding 60 new counties across 10 states, which includes expansion into Iowa. Additionally, Marketplace membership increased 29% year-over-year due to the expanded footprint, strong product positioning and open enrollment results, as well as overall market growth.

Other

- In December 2024, Health Net Federal Services concluded serving members upon the expiration of its TRICARE Managed Care Support Contract.
- In October 2024, we completed the sale of Collaborative Health Systems, a management services organization.
- In July 2024, our subsidiary, Magellan Health, commenced the Idaho Behavioral Health Plan contract.

The benefits of successful execution of our value creation initiatives have impacted our current results of operations and will continue to impact future results of operations, including the implementation of our new third-party pharmacy benefits management (PBM) contract, which commenced in January 2024.

We expect the following items to impact our future results of operations, subject to the resolution of various third-party protests within the Medicaid segment:

Medicaid

- In April 2025, our subsidiary, SilverSummit Healthplan, Inc., was selected by the Nevada Department of Health and Human Services to continue to provide services for its Medicaid managed care program. For the first time the program will include expansion of Medicaid Managed Care into rural and frontier service areas, communities that were previously fee-for-service. Subject to state approval, the contract is expected to begin in January 2026 and has a five-year term, with the option of a two-year extension, for a total of seven possible contract years.
- In September 2024, our subsidiary, Health Net Community Solutions, was selected by the California Department of Health Care Services to provide managed dental health care services to beneficiaries of Medi-Cal, the State's Medicaid program, in Los Angeles and Sacramento counties. The new 54-month contract is expected to commence in July 2025.
- In September 2024, our subsidiary, Iowa Total Care, was selected by the Iowa Department of Health and Human Services to continue providing Medicaid managed care services under the Iowa Health Link program. The contract is expected to begin in July 2025 and has a four-year term, with an optional two-year extension, for a total of six possible contract years.
- In August 2024, our subsidiary, PA Health and Wellness, was selected by the Pennsylvania Department of Human Services to continue to administer Pennsylvania's Community HealthChoices program, the Medicaid managed care program that covers adults who are dually eligible for Medicare and Medicaid or who qualify to receive Medicaid long-term services and supports due to a need for the level of care provided in a nursing facility. The contract is expected to begin in January 2026 and has a five-year term, with three optional one-year extensions, for a total of eight possible contract years.

- In December 2023, our subsidiary, Arizona Complete Health, was selected by the Arizona Health Care Cost Containment System – Arizona's single state Medicaid agency – to provide managed care for the Arizona Long Term Care System (ALTCS). The program supports Arizonans who are elderly and/or have a physical disability (E/PD) with physical and behavioral healthcare, as well as provides pharmacy benefits and home and community-based services. The new ALTCS-E/PD contract is expected to begin in October 2025 and has a three-year term, with four optional one-year extensions, for a total of seven possible contract years.
- In August 2022, our subsidiary, Magnolia Health Plan (Magnolia), was awarded the Mississippi Division of Medicaid contract. Under the new contract, Magnolia will continue serving the state's Coordinated Care Organization Program, which will consist of the Mississippi Coordinated Access Network and the Mississippi CHIP. The contract is expected to begin in July 2025 and has a four-year term, with two optional one-year extensions, for a total of six possible contract years.

Medicare

- In March 2025, our subsidiary, Meridian Health Plan of Illinois, Inc., was selected by the Illinois Department of Healthcare and Family Services to continue providing Medicare and Medicaid services for dually eligible Illinoisans through a Fully Integrated Dual Eligible Special Needs Plan (FIDE SNP). The contract is expected to begin in January 2026 and has a four-year term, with optional extensions of six months to five and a half years.
- In November 2024, our subsidiary, Buckeye Health Plan, was selected by the Ohio Department of Medicaid to continue providing Medicare and Medicaid services for dually eligible individuals through a FIDE SNP. The three-year contract is expected to commence in January 2026.
- In October 2024, our subsidiary, Meridian Health Plan of Michigan, Inc., was selected by the MDHHS to provide highly integrated Medicare and Medicaid services for dually eligible Michiganders through a Highly Integrated Dual Eligible Special Needs Plan. The plan is expected to launch on January 1, 2026 and has a seven-year term, with three optional one-year extensions, for a total of 10 possible contract years.
- In October 2024, CMS issued 2025 Medicare Advantage Star Ratings on the Medicare Plan Finder. Based on the data as well as our successful appeal of the initial scoring of our TTY (Text-to-Voice teletypewriter services for the hearing impaired), we had approximately 55% of our Medicare Advantage membership enrolled in plans rated 3.5 stars or higher – compared to approximately 23% in the prior year. This represents meaningful progress despite higher than industry-anticipated cut point changes.

In addition, we are in the process of protesting the results of Medicaid procurement awards in Georgia and Texas. If these protests are not successful, our future results of operations would be impacted.

MEMBERSHIP

From March 31, 2024 to March 31, 2025, our managed care membership decreased by 479 thousand, or (2)%. The following table sets forth our membership by line of business:

	March 31, 2025	December 31, 2024	March 31, 2024
Traditional Medicaid ⁽¹⁾	11,369,400	11,408,100	11,750,000
High Acuity Medicaid ⁽²⁾	1,589,400	1,595,400	1,547,600
Total Medicaid	12,958,800	13,003,500	13,297,600
Individual Marketplace	5,626,000	4,382,100	4,348,800
Commercial Group and Individual ⁽³⁾	448,200	431,400	422,700
Total Commercial	6,074,200	4,813,500	4,771,500
Medicare ⁽⁴⁾	1,043,200	1,110,900	1,146,800
Medicare PDP	7,867,800	6,925,700	6,438,900
Total at-risk membership	27,944,000	25,853,600	25,654,800
TRICARE eligibles	—	2,747,000	2,768,000
Total	27,944,000	28,600,600	28,422,800

⁽¹⁾ Membership includes Temporary Assistance for Needy Families (TANF), Medicaid Expansion, Children's Health Insurance Program (CHIP), Foster Care, and Behavioral Health.

⁽²⁾ Membership includes Aged, Blind, or Disabled (ABD), Intellectual and Developmental Disabilities (IDD), Long-Term Services and Supports (LTSS) and Medicare-Medicaid Plans (MMP) Duals.

⁽³⁾ Membership includes Commercial Group, Individual Coverage Health Reimbursement Arrangement (ICHRA) and Other Off-Exchange Individual.

⁽⁴⁾ Membership includes Medicare Advantage and Medicare Supplement.

RESULTS OF OPERATIONS

The following discussion and analysis is based on our Consolidated Statements of Operations, which reflect our results of operations for the three months ended March 31, 2025 and 2024, prepared in accordance with generally accepted accounting principles in the United States (GAAP).

Summarized comparative financial data for the three months ended March 31, 2025 and 2024 is as follows (\$ in millions, except per share data in dollars):

	Three Months Ended March 31,		
	2025	2024	% Change
Premium	\$ 41,712	\$ 35,529	17 %
Service	777	808	(4)%
Premium and service revenues	42,489	36,337	17 %
Premium tax	4,131	4,070	1 %
Total revenues	46,620	40,407	15 %
Medical costs	36,503	30,932	18 %
Cost of services	698	669	4 %
Selling, general and administrative expenses	3,353	3,218	4 %
Depreciation expense	142	135	5 %
Amortization of acquired intangible assets	173	173	0 %
Premium tax expense	4,217	4,161	1 %
Impairment	—	13	n.m.
Earnings from operations	1,534	1,106	39 %
Investment and other income	382	545	(30)%
Interest expense	(170)	(178)	(4)%
Earnings before income tax	1,746	1,473	19 %
Income tax expense	432	315	37 %
Net earnings	1,314	1,158	13 %
(Earnings) loss attributable to noncontrolling interests	(3)	5	(160)%
Net earnings attributable to Centene Corporation	\$ 1,311	\$ 1,163	13 %
Diluted earnings per common share attributable to Centene Corporation	\$ 2.63	\$ 2.16	22 %

n.m.: not meaningful

Three Months Ended March 31, 2025 Compared to Three Months Ended March 31, 2024**Total Revenues**

Total revenues increased 15% in the three months ended March 31, 2025, over the corresponding period in 2024, primarily driven by premium and membership growth in the PDP business along with strong product positioning and overall market growth in the Marketplace business.

Operating Expenses***Medical Costs/HBR***

The HBR for the three months ended March 31, 2025, was 87.5%, compared to 87.1% in the same period in 2024. The increase was primarily driven by a higher Medicaid HBR due to influenza-and-like illnesses. Further, the Medicaid HBR in the first quarter of 2024 was not meaningfully impacted by the redetermination-related acuity pressure, which escalated in the second quarter of 2024. The increase in HBR was partially offset by a decrease in Medicare due to program changes in the Part D business as a result of the IRA compared to the first quarter of 2024 and the resulting change in the quarterly progression of the Medicare segment HBR.

Cost of Services

Cost of services increased by \$29 million in the three months ended March 31, 2025, compared to the corresponding period in 2024. The cost of service ratio for the three months ended March 31, 2025, was 89.8%, compared to 82.8% in the same period in 2024.

Selling, General & Administrative Expenses

The SG&A expense ratio was 7.9% for the first quarter of 2025, compared to 8.9% in the first quarter of 2024. The adjusted SG&A expense ratio was 7.9% for the first quarter of 2025, compared to 8.7% in the first quarter of 2024. The decreases were primarily driven by continued leveraging of expenses over higher revenues and growth in the PDP business. The decreases were partially offset by growth in the Marketplace business, which operates at a meaningfully higher SG&A expense ratio as compared to the overall company. The SG&A expense ratio in the first quarter of 2024 was also impacted by acquisition and divestitures related expenses and severance costs due to a restructuring.

Other Income (Expense)

The following table summarizes the components of other income (expense) for the three months ended March 31, (\$ in millions):

	2025	2024
Investment and other income	\$ 382	\$ 545
Interest expense	(170)	(178)
Other income (expense), net	\$ 212	\$ 367

Investment and other income. Investment and other income decreased by \$163 million in the three months ended March 31, 2025, compared to the corresponding period in 2024. The three months ended March 31, 2024 included net gains on divestitures. The decrease was also driven by lower interest rates and lower average investment balances during the quarter.

Interest expense. Interest expense decreased by \$8 million in the three months ended March 31, 2025, compared to the corresponding period in 2024.

Income Tax Expense

For the three months ended March 31, 2025, we recorded income tax expense of \$432 million on pre-tax earnings of \$1.7 billion, or an effective tax rate of 24.7%. For the first quarter of 2025, our effective tax rate on adjusted earnings was 24.7%.

For the three months ended March 31, 2024, we recorded an income tax expense of \$315 million on pre-tax earnings of \$1.5 billion, or an effective tax rate of 21.4%. The effective tax rate for the first quarter of 2024 reflects the tax effects of the Circle Health divestiture. For the first quarter of 2024, our effective tax rate on adjusted earnings was 24.6%.

Segment Results

The following table summarizes our consolidated operating results by segment for the three months ended March 31, (\$ in millions):

	2025	2024	% Change
Total Revenues			
Medicaid	\$ 26,430	\$ 25,530	4 %
Medicare	8,759	5,935	48 %
Commercial	10,149	7,751	31 %
Other	1,282	1,191	8 %
Consolidated total	\$ 46,620	\$ 40,407	15 %
Gross Margin ⁽¹⁾			
Medicaid	\$ 1,432	\$ 1,944	(26)%
Medicare	1,204	546	121 %
Commercial	2,542	2,071	23 %
Other	110	175	(37)%
Consolidated total	\$ 5,288	\$ 4,736	12 %

⁽¹⁾ Gross margin represents premium and service revenues less medical costs and cost of services.

Medicaid

Total revenues increased 4% in the three months ended March 31, 2025, compared to the corresponding period in 2024. Gross margin decreased \$512 million in the three months ended March 31, 2025, compared to the corresponding period in 2024. The increase in total revenues was primarily driven by rate increases, partially offset by lower membership primarily due to redeterminations. Gross margin decreased due to higher costs associated with influenza-and-like illnesses coupled with higher acuity post-redeterminations as we continue to work with our state partners to fully match rates to the changes in acuity. Gross margin in the first quarter of 2024 was not meaningfully impacted by the redetermination-related acuity pressure, which escalated in the second quarter of 2024.

Medicare

Total revenues increased 48% in the three months ended March 31, 2025, compared to the corresponding period in 2024 primarily driven by increased PDP premium and membership, partially offset by lower Medicare Advantage membership. Gross margin increased \$658 million in the three months ended March 31, 2025, compared to the corresponding period in 2024, primarily driven by premium and membership growth in the PDP business, including changes from the IRA impacting the quarterly progression of medical costs.

Commercial

Total revenues increased 31% in the three months ended March 31, 2025, compared to the corresponding period in 2024. Gross margin increased \$471 million in the three months ended March 31, 2025, compared to the corresponding period in 2024. Increases were primarily driven by 29% membership growth in the Marketplace business.

Other

Total revenues increased 8% in the three months ended March 31, 2025, compared to the corresponding period in 2024, primarily driven by the behavioral health business. Gross margin decreased \$65 million in the three months ended March 31, 2025, compared to the corresponding period in 2024 driven by the Circle Health divestiture in the first quarter of 2024 along with the expiration of the TRICARE Managed Care Support Contract in December 2024.

LIQUIDITY AND CAPITAL RESOURCES

Shown below is a condensed schedule of cash flows used in the discussion of liquidity and capital resources (\$ in millions).

	Three Months Ended March 31,	
	2025	2024
Net cash provided by (used in) operating activities	\$ 1,510	\$ (456)
Net cash (used in) provided by investing activities	(529)	852
Net cash (used in) provided by financing activities	(250)	23
Effect of exchange rate changes on cash and cash equivalents	—	6
Net increase in cash, cash equivalents and restricted cash and cash equivalents	\$ 731	\$ 425

Cash Flows Provided by (Used in) Operating Activities

Normal operations are funded primarily through operating cash flows and borrowings under our Revolving Credit Facility. Operating activities provided cash of \$1.5 billion in the three months ended March 31, 2025, compared to using cash of \$456 million in the comparable period in 2024.

Cash flows provided by operations in 2025 were primarily driven by net earnings and an increase in medical claims liabilities, partially offset by a delay in premium payments from one of our state partners subsequently received in April 2025. Cash flows used in operations in 2024 were driven by net earnings, more than offset by timing of experience rebate payments, a delay in premium payments from one of our state partners subsequently received in April 2024 and pharmacy remittance timing as we transitioned to the new third-party PBM, which commenced in January 2024.

Cash Flows (Used in) Provided by Investing Activities

Investing activities used cash of \$529 million in the three months ended March 31, 2025, compared to providing cash of \$852 million in the comparable period in 2024. Cash flows used in investing activities in the first quarter of 2025 were driven primarily by net additions to the investment portfolio of our regulated subsidiaries (including transfers from cash and cash equivalents to long-term investments) and capital expenditures. Cash flows provided by investing activities in the first quarter of 2024 primarily consisted of divestiture proceeds.

We spent \$135 million and \$151 million in the three months ended March 31, 2025 and 2024, respectively, on capital expenditures, the majority of which was driven by system enhancements and computer hardware.

As of March 31, 2025, our investment portfolio consisted primarily of fixed-income securities with an average duration of 3.5 years. At March 31, 2025, we had unregulated cash and investments of \$1.0 billion, including \$198 million of cash and cash equivalents and \$844 million of investments. Unregulated cash and investments at December 31, 2024 was \$1.1 billion, including \$248 million of cash and cash equivalents and \$823 million of investments.

Cash Flows (Used in) Provided by Financing Activities

Financing activities used cash of \$250 million in the three months ended March 31, 2025, compared to providing cash of \$23 million in the comparable period in 2024. Financing activities in 2025 were driven by net decreases in debt of \$219 million and stock repurchases of \$41 million, which related to income tax withholding upon the vesting of previously awarded stock grants.

Financing activities in 2024 were driven by net increases in debt of \$163 million, partially offset by stock repurchases of \$151 million.

Liquidity Metrics

We have a stock repurchase program authorizing us to repurchase common stock from time to time on the open market or through privately negotiated transactions. In 2023, the Company's Board of Directors authorized up to a cumulative total of \$10.0 billion of repurchases under the program.

We have \$2.2 billion remaining under the program for repurchases as of March 31, 2025. No duration has been placed on the repurchase program. We reserve the right to discontinue the repurchase program at any time. Refer to Note 7. *Stockholders' Equity* for further information on stock repurchases.

As of March 31, 2025, we had an aggregate principal amount of \$15.7 billion of senior notes issued and outstanding. The indentures governing our various maturities of senior notes contain restrictive covenants. As of March 31, 2025, we were in compliance with all covenants.

As part of our capital allocation strategy, we may decide to repurchase debt or raise capital through the issuance of debt in the form of senior notes. In 2022, the Company's Board of Directors also authorized a \$1.0 billion senior note debt repurchase program. No repurchases were made during the quarter ended March 31, 2025. As of March 31, 2025, there was \$700 million available under the senior note debt repurchase program.

The credit agreement underlying our Revolving Credit Facility, in the principal amount of \$4.0 billion, and Term Loan Facility, in the principal amount of \$2.0 billion, contains customary covenants as well as financial covenants including a debt-to-capital ratio. Our maximum debt-to-capital ratio under the credit agreement may not exceed 0.60 to 1.00. As of March 31, 2025, we had \$750 million of borrowing outstanding under our Revolving Credit Facility, \$2.0 billion of borrowings under our Term Loan Facility, and we were in compliance with all covenants. As of March 31, 2025, there were no limitations on the availability of our Revolving Credit Facility as a result of the debt-to-capital ratio.

We had outstanding letters of credit of \$141 million as of March 31, 2025, which were not part of our Revolving Credit Facility. The letters of credit bore weighted interest of 0.7% as of March 31, 2025. In addition, we had outstanding surety bonds of \$806 million as of March 31, 2025.

At March 31, 2025, our debt-to-capital ratio, defined as total debt divided by the sum of total debt and total equity, was 39.5%, compared to 41.2% at December 31, 2024. The debt-to-capital ratio decrease was primarily driven by net earnings, which increased total stockholders' equity. We utilize the debt-to-capital ratio as a measure, among others, of our leverage and financial flexibility.

At March 31, 2025, we had working capital, defined as current assets less current liabilities, of \$4.1 billion, compared to \$3.7 billion at December 31, 2024. We manage our short-term and long-term investments aiming to ensure a sufficient portion of the portfolio is highly liquid and can be sold to fund short-term requirements as needed.

2025 Expectations

During the remainder of 2025, we expect to receive net dividends from our insurance subsidiaries of approximately \$2.2 billion and spend approximately \$615 million in additional capital expenditures.

Based on our operating plan, we expect that our available cash, cash equivalents and investments, cash from our operations and cash available under our Revolving Credit Facility will be sufficient to finance our general operations and capital expenditures for at least 12 months from the date of this filing. While we are currently in a strong liquidity position and believe we have adequate access to capital, we may elect to increase borrowings on our Revolving Credit Facility, which matures in March 2030. Additionally, our senior notes mature between December 2027 and August 2031. From time to time, we may elect to raise additional funds for working capital and other purposes, either through issuance of debt or equity, the sale of investment securities or otherwise, as appropriate. In addition, we may strategically pursue refinancing or redemption opportunities to extend maturities and/or improve terms of our indebtedness if we believe such opportunities are favorable to us.

We intend to continue to target initiatives to improve productivity, efficiencies and reduced organizational costs, as well as capital deployment activities, including stock repurchases, portfolio optimization and the evaluation of refinancing opportunities. In addition to creating shareholder value, these actions encompass a larger organizational mission to enhance our member and provider experience, improve outcomes for our members and innovate to ensure that Centene is a great partner in all aspects of our operations.

REGULATORY CAPITAL AND DIVIDEND RESTRICTIONS

Our operations are conducted through our subsidiaries. As managed care organizations, most of our subsidiaries are subject to state regulations and other requirements that, among other things, require the maintenance of minimum levels of statutory capital, as defined by each state, and restrict the timing, payment and amount of dividends and other distributions that may be paid to us. Generally, the amount of dividend distributions that may be paid by a regulated subsidiary without prior approval by state regulatory authorities is limited based on the entity's level of statutory net income and statutory capital and surplus.

Our regulated subsidiaries are required to maintain minimum capital requirements prescribed by various regulatory authorities in each of the states in which we operate. During the three months ended March 31, 2025, we received dividends of \$251 million from and made \$520 million of capital contributions to our regulated subsidiaries. For our subsidiaries that file with the National Association of Insurance Commissioners (NAIC), the aggregate risk-based capital (RBC) level as of December 31, 2024, which was the most recent date for which reporting was required, was in excess of 350% of the Authorized Control Level. We intend to continue to maintain an aggregate RBC level in excess of 350% of the Authorized Control Level during 2025.

Under the California Knox-Keene Health Care Service Plan Act of 1975, as amended (Knox-Keene), certain of our California subsidiaries must comply with tangible net equity (TNE) requirements. Under these Knox-Keene TNE requirements, actual net worth less certain unsecured receivables and intangible assets must be more than the greater of (i) a fixed minimum amount, (ii) a minimum amount based on premiums or (iii) a minimum amount based on healthcare expenditures, excluding capitated amounts.

Under the New York State Department of Health Codes, Rules and Regulations Title 10, Part 98, our New York subsidiary must comply with contingent reserve requirements. Under these requirements, net worth based upon admitted assets must equal or exceed a minimum amount based on annual net premium income.

The NAIC has adopted rules which set minimum RBC requirements for insurance companies, managed care organizations and other entities bearing risk for healthcare coverage. As of March 31, 2025, each of our health plans was in compliance with the RBC requirements enacted in those states.

As a result of the above requirements and other regulatory requirements, certain of our subsidiaries are subject to restrictions on their ability to make dividend payments, loans or other transfers of cash to their parent companies. Such restrictions, unless amended or waived or unless regulatory approval is granted, limit the use of any cash generated by these subsidiaries to pay our obligations. The maximum amount of dividends that can be paid by our insurance company subsidiaries without prior approval of the applicable state insurance departments is subject to restrictions relating to statutory surplus, statutory income and unassigned surplus.

CRITICAL ACCOUNTING ESTIMATES

Please see "*Critical Accounting Estimates in Item 7 - Management's Discussion and Analysis of Financial Condition and Results of Operations*" included in our 2024 Annual Report on Form 10-K for a description of our Critical Accounting Estimates.

Item 3. Quantitative and Qualitative Disclosures About Market Risk.**INVESTMENTS AND DEBT**

As of March 31, 2025, we had short-term investments of \$2.5 billion and long-term investments of \$19.7 billion, including restricted deposits of \$1.4 billion. The short-term investments generally consist of highly liquid securities with maturities between three and 12 months. The long-term investments consist of municipal, corporate and U.S. Treasury securities, government-sponsored obligations, life insurance contracts, asset-backed securities, and equity securities, and have maturities greater than one year. Restricted deposits consist of investments required by various state statutes to be deposited or pledged to state agencies. Due to the nature of the states' requirements, these investments are classified as long-term regardless of the contractual maturity date. Substantially all of our investments are subject to interest rate risk and will decrease in value if market rates increase. Assuming a hypothetical and immediate 1% increase in market interest rates at March 31, 2025, the fair value of our fixed income investments would decrease by approximately \$706 million.

For a discussion of the interest rate risk that our investments are subject to, refer to our Annual Report on Form 10-K for the fiscal year ended December 31, 2024, Part 1, Item 1A, "Risk Factors – *Our investment portfolio may suffer losses which could materially and adversely affect our results of operations or liquidity.*"

Item 4. Controls and Procedures.

Evaluation of Disclosure Controls and Procedures - We maintain disclosure controls and procedures as defined in Rules 13a-15(e) and 15d-15(e) under the Securities Exchange Act of 1934 (the Exchange Act) that are designed to provide reasonable assurance that information required to be disclosed by us in reports that we file or submit under the Exchange Act is (i) recorded, processed, summarized and reported within the time periods specified in SEC rules and forms; and (ii) accumulated and communicated to our management, including our principal executive officer and principal financial officer, as appropriate to allow timely decisions regarding required disclosure.

In connection with the filing of this Form 10-Q, management evaluated, under the supervision and with the participation of our Chief Executive Officer and Chief Financial Officer, the effectiveness of the design and operation of our disclosure controls and procedures as of March 31, 2025. Based upon that evaluation, our Chief Executive Officer and Chief Financial Officer concluded that our disclosure controls and procedures were effective as of March 31, 2025.

Changes in Internal Control Over Financial Reporting - No change in our internal control over financial reporting (as defined in Rules 13a-15(f) and 15d-15(f) under the Exchange Act) occurred during the quarter ended March 31, 2025 that has materially affected, or is reasonably likely to materially affect, our internal control over financial reporting.

PART II OTHER INFORMATION

Item 1. *Legal Proceedings.*

A description of the legal proceedings to which the Company and its subsidiaries are a party is contained in Note 10. *Contingencies* to the consolidated financial statements included in Part I of this Quarterly Report on Form 10-Q, and is incorporated herein by reference.

Item 1A. *Risk Factors.*

Other than the risk factor listed below, there have been no material changes to the risk factors disclosed in our 2024 Annual Report on Form 10-K.

The imposition of tariffs by the U.S. government and any retaliatory tariffs imposed in response could have a material adverse effect on our results of operations, financial condition and cash flows.

The imposition of tariffs by the U.S. government and any retaliatory tariffs imposed in response is uncertain, including in the amount, applicability and duration of such tariffs. Such tariffs could increase the costs of healthcare, including pharmaceutical drugs, medical devices and other healthcare supplies and equipment. Given the uncertain nature of the impact of tariffs on our costs, we may not be able to accurately predict the effect of these increases in medical expenses. Our revenue from government-sponsored health programs are most often priced annually, which may limit our ability to adjust for any tariff-related impacts timely. Any significant variation from our expectations regarding healthcare costs, including due to tariffs or other assumptions utilized in setting adequate premium rates, could have a material adverse effect on our results of operations, financial condition and cash flows.

Furthermore, disruptions in the supply of products for any of our specialty pharmacies due to tariffs could affect our ability to process and dispense prescriptions in a timely manner, which could materially and adversely affect our results of operations, financial condition and cash flows.

Item 2. Unregistered Sales of Equity Securities and Use of Proceeds

In November 2005, the Company's Board of Directors announced a stock repurchase program, which was most recently increased in December 2023. The Company is authorized to repurchase up to \$10.0 billion, inclusive of past authorizations, of which \$2.2 billion remains as of March 31, 2025.

The stock repurchase program is effected primarily through regular open-market purchases (which may include repurchase plans designed to comply with Rule 10b5-1 and accelerated share repurchases), the amounts and timing of which are subject to the Company's discretion as part of its capital allocation strategy, and may be based upon general market conditions and the prevailing price and trading volumes of its common stock. No duration has been placed on the repurchase program. The Company reserves the right to discontinue the repurchase program at any time.

Issuer Purchases of Equity Securities First Quarter 2025 (Shares in thousands)

Period	Total Number of Shares Purchased ⁽¹⁾	Average Price Paid per Share	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs	Approximate Dollar Value of Shares that May Yet Be Purchased Under the Plans or Programs (\$ in millions) ⁽²⁾
January 1, 2025 - January 31, 2025	14	\$ 62.70	—	\$ 2,230
February 1, 2025 - February 28, 2025	57	64.65	—	2,230
March 1, 2025 - March 31, 2025	634	58.19	—	2,230
Total	705	\$ 58.80	—	\$ 2,230

⁽¹⁾ Represents 705 thousand shares relinquished to the Company by certain employees for payment of taxes.

⁽²⁾ A remaining amount of \$2.2 billion is available under the stock repurchase program as of March 31, 2025.

Item 5. Other Information

(a) None.

(b) None.

(c) During the three months ended March 31, 2025, no director or officer of the Company adopted or terminated a "Rule 10b5-1 trading arrangement" or "non-Rule 10b5-1 trading arrangement," as each term is defined in Item 408(a) of Regulation S-K.

Item 6. Exhibits.

EXHIBIT NUMBER	DESCRIPTION
10.1	* Form of Restricted Stock Unit Agreement #1
10.2	* Form of Performance Based Restricted Stock Unit Agreement #1
10.3	* Performance Based Restricted Stock Unit Agreement for Andrew Asher
19.1	Policy on Inside Information and Insider Trading
31.1	Certification of Chief Executive Officer pursuant to Rule 13(a)-14(a) under the Securities Exchange Act of 1934, as amended.
31.2	Certification of Executive Vice President and Chief Financial Officer pursuant to Rule 13(a)-14(a) under the Securities Exchange Act of 1934, as amended.
32.1	# Certification of Chief Executive Officer pursuant to 18 U.S.C. Section 1350, as Adopted Pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
32.2	# Certification of Executive Vice President and Chief Financial Officer pursuant to 18 U.S.C. Section 1350, as Adopted Pursuant to Section 906 of the Sarbanes-Oxley Act of 2002.
101	The following materials from the Centene Corporation Quarterly Report on Form 10-Q for the quarter ended March 31, 2025, formatted in Inline Extensible Business Reporting Language (iXBRL): (i) the Consolidated Balance Sheets; (ii) the Consolidated Statements of Operations; (iii) the Consolidated Statements of Comprehensive Earnings (Loss); (iv) the Consolidated Statements of Stockholders' Equity; (v) the Consolidated Statements of Cash Flows and (vi) related notes.
104	Cover Page Interactive Data File, formatted in iXBRL and contained in Exhibit 101.

* Indicates a management contract or compensatory plan or arrangement.

This certification is deemed not filed for purposes of Section 18 of the Securities Exchange Act of 1934, as amended (the Exchange Act), or otherwise subject to the liability of that section, nor shall it be deemed incorporated by reference into any filing under the Securities Act of 1933, as amended, or the Exchange Act.

SIGNATURES

Pursuant to the requirements of the Securities Exchange Act of 1934, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized as of April 25, 2025.

CENTENE CORPORATION

By: /s/ SARAH M. LONDON
Chief Executive Officer
(principal executive officer)

By: /s/ ANDREW L. ASHER
Executive Vice President, Chief Financial Officer
(principal financial officer)

By: /s/ KATIE N. CASSO
Senior Vice President, Finance, Corporate Controller and Chief
Accounting Officer
(principal accounting officer)

CENTENE CORPORATION

**Restricted Stock Unit Agreement Granted Under
2012 Stock Incentive Plan, As Amended**

THIS AGREEMENT is entered into by Centene Corporation, a Delaware corporation (hereinafter the "Company"), and <<Participant Name>> (hereinafter the "Participant").

WHEREAS, the Participant renders important services to the Company and acquires access to Confidential Information (as defined below) of the Company in connection with the Participant's relationship with the Company; and

WHEREAS, the Company desires to align the long-term interests of its valued employees with those of the Company by providing the ownership interest granted herein;

NOW, THEREFORE, in consideration of the foregoing and the mutual agreements herein contained, the parties hereto hereby agree as follows:

1. Grant of RSUs.

This Agreement evidences the grant by the Company on <<Grant Date>> (or the "Grant Date") to <<Participant Name>> of <<RSU#>> restricted stock units (each an "RSU," and collectively, the "RSUs") pursuant to the Company's 2012 Stock Incentive Plan, as Amended (the "Plan"), that will settle in shares of common stock, \$.001 par value per share, of the Company ("Common Stock"), as provided in this RSU Agreement (the "Agreement"). The shares of Common Stock that are issuable upon vesting of the RSUs are referred to in this Agreement as "Shares." Capitalized terms not otherwise defined in this Agreement have the meanings ascribed to such terms in the Plan.

2. Vesting.

(a) Subject to Sections 3 and 4 of this Agreement, the table outlined on the last page of this Agreement (the "Appendix") sets forth each date upon which RSUs shall become vested (each such date, a "Vesting Date"); provided that the continuous service of Participant continues through and on the applicable Vesting Date.

#VestingDateandQuantity#

(b) In the event the Participant has an employment agreement, and RSUs qualify for accelerated or continued vesting under such employment agreement, as in effect from time to time, all RSUs shall vest in accordance with the provisions outlined in the Participant's employment agreement; *provided* that such accelerated or continued vesting shall not change the timing of settlement of the RSUs, which shall continue to be governed by this Agreement. Furthermore, if any defined term used herein is also defined in the Participant's employment agreement, then the definition that is more favorable to the Participant will control.

3. Reorganization Event.

The foregoing vesting schedule notwithstanding, if a Change in Control (as defined in the Plan) occurs and the Participant's employment with the Company (and any parent or subsidiary

thereof) is terminated by the Company (or a parent or subsidiary thereof) without Cause (as defined below) or by the Participant for Good Reason (as defined below), and the Participant's date of termination occurs (or in the case of the Participant's termination of employment for Good Reason, the event giving rise to Good Reason occurs) within twenty-four (24) months following the Change in Control, all unvested RSUs shall automatically become 100% vested and shall be paid on the Participant's date of termination ("CIC Termination Payment"). "Cause" shall mean acts or omissions that the Company determines, after affording the Participant an opportunity to be heard, (i) are criminal, dishonest or fraudulent or constitute misconduct that reflects negatively on the reputation of the Company (including any parent, subsidiary, Affiliate or division of the Company); (ii) could expose the Company or any parent, subsidiary, Affiliate or division of the Company to claims of illegal harassment or discrimination in employment; (iii) are material breaches of this Agreement or other agreement with the Company; or (iv) reflect continued and repeated failure to (A) perform substantially the duties of his/her employment (other than any such failure resulting from the Participant's physical or mental impairment or incapacity) or (B) to comply with any material written policy of the Company. "Good Reason" shall mean: (a) if the Participant is a party to the Executive Severance and Change in Control Plan or the Centene Corporation Severance Pay Plan (as may be amended from time to time, as applicable, the "Severance Plan") or an employment or service agreement with the Company or its Affiliates and such agreement provides for a definition of Good Reason, the definition contained therein; or (b) if the Participant is not party to such agreement or if such agreement does not define Good Reason, without the Participant's prior written consent, at or after a Change in Control, (i) a reduction in the Participant's annual base salary or annual target bonus opportunity from those in effect immediately prior to the Change in Control; (ii) a material reduction in the Participant's authority, duties or responsibilities from those in effect immediately prior to the Change in Control, or (iii) a demand by the Company or the entity surviving the transaction that resulted in the Change in Control that the Participant relocate to a primary work location more than fifty (50) miles from the Participant's primary work location immediately prior to such relocation; *provided* that such proposed relocation results in a greater commute for the Participant based on the Participant's residence immediately prior to such relocation. The Participant must provide written notice to the Company of the existence of Good Reason no later than ninety (90) days after its initial existence, and the Company shall have a period of thirty (30) days following its receipt of such written notice during which it may remedy in all material respects the Good Reason condition identified in such written notice. If the Company fails to remedy in all material respects such Good Reason condition, the Participant shall have ninety (90) days to terminate his/her employment for Good Reason.

4. Distribution of Shares.

(a) Timing of Distribution. The Company will distribute to the Participant (or to the Participant's beneficiary in the event of the death of the Participant occurring after a Vesting Date but before distribution of the corresponding Shares), as soon as administratively practicable after each Vesting Date, but no later than the latest date permitted by Treasury Regulation Section 1.409A-3(d), the Shares represented by RSUs that vested on such Vesting Date, except that, payment shall occur earlier and extinguish any further payment on any future Vesting Date in the event that a CIC Termination Payment occurs or payment on death or disability occurs in accordance with Section 4(c).

(b) No Fractional Shares. No fractional Shares shall be issuable pursuant to any RSU. In lieu of any fractional Shares to which the Participant would otherwise be entitled, the

Company may, in its discretion, determine whether to pay, in lieu of such fractional Share, cash in an amount equal to such fractional Share multiplied by the Fair Market Value (as defined in the Plan) of a share of Common Stock, or whether any such fractional Share should be rounded down to the nearest whole Share, forfeited without consideration therefor, or otherwise eliminated.

(c) Termination of Employment.

- (i) If the Participant is party to an employment agreement, upon termination of employment, the employment agreement will control, in accordance with Section 2 of this Agreement. In the event the Participant is not party to an employment agreement or such employment agreement does not provide for treatment of RSUs upon termination of employment, the following shall apply:
- (ii) The RSUs shall cease vesting as of the date of termination if the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated for any reason by the Company or by the Participant other than:
 - (i) by reason of death or disability (within the meaning of Section 409A(a)(2)(c) of the Internal Revenue Code of 1986, as amended (the "Code")), In the event the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated by reason of death or disability (as defined previously in this Section 4(c)), the pro-rata amount of RSUs attributable to the number of completed months employed between the Grant Date and the Termination Date shall immediately vest and be paid on the date of such death or disability (or within thirty (30) days thereafter);
 - (ii) the Participant is covered by the Severance Plan and the RSUs will be treated in accordance with the Severance Plan; or
 - (iii) by reason of Qualified Retirement. In the event the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated by reason of a Qualified Retirement, the RSUs shall cease vesting one year following the date of termination, and any RSUs that vest during such one-year period shall be payable on the applicable Vesting Date on which they otherwise would have been paid in accordance with Section 4(a). A Qualified Retirement is a retirement made pursuant to a bona-fide notice of retirement made 90 days in advance, by a Participant who is at least 55 years old and has been employed at the Company for at least 10 years.

(d) Compliance Restrictions. The Company shall not be obligated to issue to the Participant the Shares upon the vesting of any RSU (or otherwise) unless (i) the Participant has complied with covenants set forth in Section 9 of this Agreement and (ii) the issuance and delivery of such Shares shall comply with all relevant provisions of law and other legal

requirements including any applicable federal or state securities laws and the requirements of any stock exchange or quotation system upon which Common Stock may then be listed or quoted.

5. Restrictions on Transfer.

The RSUs may not be sold, assigned, transferred, pledged or otherwise encumbered by the Participant, either voluntarily or by operation of law, except to the Participant's beneficiary as provided in Section 4(a) in the event of the Participant's death. The Participant's beneficiary can be designated and recorded with the Company's stock plan administrator or, if no election is made with the stock plan administrator, Shares will be distributed to the Participant's beneficiary under the Centene Management Corporation Retirement Plan. In the absence of any such beneficiary designation, benefits remaining unpaid at the Participant's death shall be paid to the Participant's executor, administrator, or legal representative.

6. No Rights as a Stockholder; Dividend Equivalents.

Except as set forth in the Plan, neither the Participant nor any person claiming under or through the Participant shall be, or shall have any rights or privileges of, a stockholder of the Company in respect of any Share issuable pursuant to the RSUs granted hereunder until such Share has been delivered to the Participant. Notwithstanding the foregoing or any provision of the Plan to the contrary, to the extent dividends are paid on shares of Common Stock and such dividends have a record date that is on or after the Grant Date but prior to the distribution of the Shares pursuant to the vesting of the RSUs, then the Participant shall be credited with an amount equivalent to the dividends that would have been paid to the Participant for each RSU granted to the Participant pursuant to this Agreement, as determined by the Compensation Committee in its sole discretion ("Dividend Equivalents"), and such Dividend Equivalents shall be subject to the same vesting and forfeiture restrictions as the RSUs to which they are attributable. Any such Dividend Equivalents shall be paid in cash on any Shares delivered in connection with vested RSUs, subject to applicable tax withholding, no later than thirty (30) days after the RSUs to which such Dividend Equivalents are attributable are distributed; *provided*, that no interest or other earnings will be credited to the Participant with respect to any such Dividend Equivalents.

7. Withholding Taxes; Section 83(b) Election.

(a) No Shares will be delivered pursuant to the vesting of an RSU unless and until the Participant pays to the Company, or makes provision satisfactory to the Company for payment of, the amount required or permitted by federal, state, local and/or foreign tax laws to be withheld with respect to the vesting or settlement of such RSU; *provided*, that, notwithstanding the foregoing, the Participant shall be permitted, with the Company's consent, to satisfy the applicable tax obligations with respect to any shares of RSUs by net share settlement, pursuant to which the Company shall repurchase the largest whole number of shares of RSUs having a Fair Market Value (as defined in the Plan) equal to the applicable tax obligations.

(b) The Participant acknowledges that no election under Section 83(b) of the Code may be filed with respect to the RSUs.

8. Provisions of the Plan.

The RSUs are subject to the provisions of the Plan, a copy of which is being furnished to the Participant with this Agreement.

9. Participant's Covenants.

As a material inducement to the Company granting Participant RSUs hereunder, and in exchange for the Company providing Participant access to Company confidential information, Participant agrees to the following, subject to the limitations set forth in Section 9(k):

- (a) Non-Competition. During Participant's employment with the Company or any Affiliate of the Company, and for a period of six (6) months after the date Participant's employment ends for any reason (whether voluntarily or involuntarily and whether with or without Cause) (the "Termination Date"), Participant shall not, directly or indirectly, for Participant's own benefit, or on behalf of any other person or entity, (x) become employed by or provide services to any Competitor in a Competing Position within the Restricted Area, or (y) become an owner or holder of any stock or other ownership interest in any competitor, other than as an owner of less than 1% of the outstanding stock of a publicly traded company. Participant shall obtain the Company's written consent prior to accepting a role with a Competitor in a Competing Position by contacting Participant's HR Business Partner at the Company. For the purposes of this Section 9(a), the following definitions shall apply:
- (i) The term "Competitor" means any business engaged in any area of business that is the same or substantially similar to any area(s) of business in which the Company and/or any of its Affiliates are engaged as of the Termination Date.
- (ii) The term "Competing Position" means a position involving job duties in any segment(s) or area(s) of the Competitor's business that is the same or substantially similar to the segment(s) or area(s) of the Company's or its Affiliates' business (A) in which Participant was involved or had job duties at any time during the last twenty-four (24) months of Participant's employment, or (B) about which Participant learned Confidential Information at any time during the last twenty-four (24) months of Participant's employment.
- (iii) The term "Restricted Area" means any state in which the Company or any of its Affiliates conducts business and (A) in which Participant provided services in the last twenty-four (24) months of Participant's employment, or (B) about which Participant learned Confidential Information concerning the Company's or its Affiliates' business in such state in the last twenty-four (24) months of Participant's employment. Without limiting the foregoing, if Participant's job duties in the last twenty-four (24) months of employment materially involved duties pertaining to the business nationwide, the term "Restricted Area" means the entire United States.
- (b) Non-Solicitation. Without limiting Participant's obligations in Section 9(a) above, during Participant's employment with the Company or any Affiliate, and for a period of one (1) year after the Termination Date, Participant shall not, directly or indirectly, for Participant's own benefit, or on behalf of any other person or entity:

- (i) solicit or accept business from or otherwise divert from Company or any Affiliate any Customers for products or services that are similar to or competitive with products or services offered or sold by the Company or any Affiliate as of the Termination Date;
 - (ii) attempt to attract any Vendor away from the Company or any Affiliate, or use information regarding the Company's or any Affiliate's Vendors in any way that would detrimentally affect the Company or any Affiliate;
 - (iii) solicit, hire, recruit, divert or take away: (A) from the Company or any Affiliate the services of any of the employees or agents of the Company or any Affiliate, or induce in any way any non-performance of any of the obligations of such employees or agents to the Company or Affiliate; or (B) from any Vendor providing services to the Company or any Affiliate, any employees or agents of such Vendor if such employees or agents of Vendor are providing services to the Company or any Affiliate through such Vendor.
- (c) For the purposes of this Agreement, the following definitions shall apply:
- (i) The term "Customers" means any customers of the Company or its Affiliates (1) with which Participant had contact and with which the Company or any Affiliate conducted business in the twenty-four (24)-month period preceding the Termination Date, or (2) about which Participant learned Confidential Information in the twenty-four (24)-month period preceding the Termination Date.
 - (ii) The phrase "employees or agents" as used in Section 9(b)(iii) above means employees or agents with whom Participant had contact or with whom Participant communicated in the last twenty-four (24) months of Participant's employment with the Company or Affiliate.
 - (iii) The term "Vendors" means any vendors or suppliers of the Company or its Affiliates (1) with which Participant had contact and with which the Company or any Affiliate conducted business in the twenty-four (24)-month period preceding the Termination Date, or (2) about which Participant learned Confidential Information in the twenty-four (24)-month period preceding the Termination.
 - (iv) The term "Affiliate" or "Affiliates" means any company controlled by, or under common control with, the Company, including all direct and indirect subsidiaries of the Company.
- (d) Confidential Information. Participant agrees, during their employment with the Company or any Affiliate of the Company and at all times after the date Participant's employment ends for any reason, not to use, copy, duplicate, or disclose any Confidential Information owned by or entrusted to Company or its Affiliate(s). For the purposes of this Section 9(d), the following definitions shall apply:
- (i) "Confidential Information" shall mean the Company's and any Affiliate's trade secrets and other non-public proprietary information relating to the Company or the business of the Company or any Affiliate, including, but not limited to, information

relating to financial statements, customer lists and identities, potential customers, customer contacts, employee skills and compensation, employee data, suppliers, acquisition targets, servicing methods, equipment, programs, strategies and information, analyses, marketing plans and strategies, profit margins, financial, promotional, marketing, training or operational information, and other information developed or used by the Company or any Affiliate that is not known generally to the public or the industry. Confidential Information shall not include any information that is in the public domain or becomes known in the public domain through no wrongful act on the part of Participant.

- (e) Subject to Exhibit A, to the extent Participant has agreed or does agree to any post-employment restrictions in any other agreement with the Company or its Affiliates, including the Severance Plan (“Other Agreement”), the post-employment restrictions set forth herein (i.e., Sections 9(a), 9(b) and 9(d)) will run concurrently with the restrictions in the Other Agreement. If there are any inconsistencies between the restrictions in this Agreement and the restrictions in such Other Agreement, the more restrictive restrictions shall still apply.
- (f) Defend Trade Secrets Act Notice to Participant. Notwithstanding the foregoing, Participant will not be held criminally or civilly liable under any Federal or State trade secret law for the disclosure of a trade secret that: (i) is made (A) in confidence to a Federal, State, or local government official, either directly or indirectly, or to an attorney, and (B) solely for the purpose of reporting or investigating a suspected violation of law; or (ii) is made in a complaint or other document filed in a lawsuit or other proceeding, if such filing is made under seal. In addition, if Participant files a lawsuit for retaliation by Company for reporting a suspected violation of law, Participant may disclose the trade secret to Participant’s attorney and use the trade secret information in the court proceeding if Participant files any document containing the trade secret under seal and does not disclose the trade secret except pursuant to court order.
- (g) Return of Information. Any Confidential Information and other business information shall be and remain solely and exclusively the property of Company (or its Affiliate(s), as applicable). Upon the termination of Participant’s employment (regardless of whether such termination is with Cause or without Cause or voluntary or involuntary), Participant shall promptly deliver the Confidential Information, along with any and all other documents and electronic files obtained by Participant in the course of Participant’s employment with Company or its Affiliate(s) (irrespective of whether such documents and files contain Confidential Information, but excluding documents pertaining to Participant’s compensation and benefits), without retaining any copies, notes, or excerpts thereof. Participant shall not remove from the property or premises of Company or its Affiliate(s) any Confidential Information or any other documents or data relating to the business, work, services or sales of Company and/or of its Affiliates, or copies thereof. All Confidential Information, other business information or copies, whether made by Participant or by others, are acknowledged by Participant to be the property of Company and/or its Affiliate(s), and not to be used for the benefit of Participant or for any other person’s benefit.
- (h) Tolling of Restrictions. Should Participant violate any of the terms of Sections 9(a), 9(b) or 9(d) of this Agreement, the duration of the restrictions contained in Sections 9(a), 9(b)

and 9(d) shall be extended by the duration of time during which Participant was in violation of the same.

- (i) Assignment of Inventions and other Developments. Participant agrees that his or her duties may include the development, refinement, and/or documentation of Confidential Information or other sensitive business information, including any ideas, inventions, products, programs, and/or works of authorship for the current and intended business and prospects of Company or any of its Affiliates (collectively, "Developments"), all for the exclusive benefit of Company or applicable Affiliate(s). Participant agrees to assign and hereby assigns to Company all rights, titles, and interests Participant may have in or to any invention, innovation, computer program, software, database, discovery, idea, writing, improvement, process, technique or other works (collectively "Intellectual Property") created or conceived by Participant, either alone or jointly with others, during Participant's employment, whether patentable or unpatentable, that: (i) relates in any manner to the actual or anticipated business, research, or development of Company; (ii) results from work assigned to or performed by Participant for Company; and/or (iii) is conceived of or made with the use of Company systems, equipment, supplies, materials, facilities, computer programs, confidential information and/or trade secret information (collectively "Company Resources"). This assignment does not apply to Intellectual Property that meets all of the following criteria: (i) no Company Resources were used in its creation; (ii) the Intellectual Property was developed entirely on Participant's own time; (iii) at the time of conception or reduction to practice the Intellectual Property does not relate to Company's business, actual or anticipated research or development; and (iv) the Intellectual Property does not result from any work performed by Participant for Company. Participant shall disclose to Company all Intellectual Property developed during Participant's employment so that Company may determine any rights it may have in such Intellectual Property.
- (j) Future Cooperation. Participant agrees to cooperate and be available to the Company on a reasonable basis and at reasonable times to timely respond to questions from the Company that arise out of Participant's former responsibilities with the Company. Additionally, Participant agrees to cooperate and be available to assist in the defense of, and serve as a witness in, any administrative proceeding or litigation faced by the Company concerning matters in which Participant was involved or had knowledge while an employee of the Company.
- (k) State-Law Addendum: Modifications and Exceptions. Notwithstanding the restrictions set forth above in this Section 9, if at the time of the Grant Date or the date Participant executes this Agreement Participant resides in a state listed in Exhibit A hereto, then the modifications and/or exceptions set forth for such state in Exhibit A shall apply to Participant. In addition, as a general matter, the Company will only seek to enforce this Agreement to the extent permitted under the applicable law of the state where Participant resided or worked for the Company at the time of the Grant Date or the date Participant executed the Agreement. Furthermore, with respect to a Participant who is an attorney and employed by the Company or an Affiliate in his or her capacity as an attorney, this Section 9 shall only apply to the extent permissible under provisions of the applicable Rules of Professional Conduct applicable to attorneys in the state where Participant resides.

(l) Remedies for Breach.

- (i) Because the Participant's services are unique and because the Participant has access to the Company's Confidential Information, the parties agree that any breach or threatened breach of any of the terms of this Section 9 will cause irreparable harm to the Company and that money damages alone would be an inadequate remedy. The parties therefore agree that, in the event of any breach or threatened breach of this Section 9, and in addition to all other rights and remedies available to it, the Company may apply to any court of competent jurisdiction for specific performance and/or injunctive or other relief, without a bond, in order to enforce or prevent any violations of the provisions of this Section 9.
- (ii) In the event Participant breaches any of the terms of this Section 9, Participant shall immediately forfeit all unvested RSUs, and shall be required to immediately pay to the Company a cash sum in the principal amount equal to the Fair Market Value (FMV) of all RSUs in which Participant vested in the twenty-four (24)-month period preceding Participant's first breach of Section 9 and of all RSUs vested after Participant's first breach of Section 9, less \$2,500, which Participant shall retain as consideration for Participant's continued obligations under Section 9 of this Agreement. For the purposes of this provision, "Fair Market Value" shall mean the stock price for Centene's stock (symbol: CNC) on the New York Stock Exchange (NYSE) as of the closing of the date on which the Shares in question vested (multiplied by the number of Shares vested).
- (iii) The rights and remedies set forth above shall be cumulative and in addition to any other rights or remedies to which the Company and its Affiliates may be entitled under any agreement or under the law.
- (iv) Nothing in this Agreement, or any other agreement between the Participant and the Company or any of its Affiliates, or otherwise, limits the Participant's ability to communicate directly with and provide information, including documents, not otherwise protected from disclosure by any applicable law or privilege to the U.S. Securities and Exchange Commission (the "SEC") or any other federal, state, local or foreign governmental agency or commission ("Government Agency") or self-regulatory organization regarding possible legal violations, without disclosure to the Company. The Company may not retaliate against the Participant for any of these activities, and nothing in this Agreement requires the Participant to waive any monetary award or other payment that the Participant might become entitled to from the SEC or any other Government Agency or self-regulatory organization. Further, nothing in this Agreement precludes the Participant from filing a charge of discrimination with the U.S. Equal Employment Opportunity Commission or a like charge or complaint with a state or local fair employment practice agency. However, once this Agreement becomes effective, you may not receive a monetary award or any other form of personal relief from the Company in connection with any such charge or complaint that you filed or is filed on your behalf.
- (m) Survival. The provisions of this Section 9 shall survive and continue in full force in accordance with their terms notwithstanding any forfeiture, termination or expiration of

this Agreement in accordance with its terms or any termination of the Participant's employment for any reason (whether voluntary or involuntary).

10. Miscellaneous.

(a) Severability. The invalidity or unenforceability of any provision of this Agreement shall not affect the validity or enforceability of any other provision of this Agreement, and each other provision of this Agreement shall be severable and enforceable to the extent permitted by law. If a court of competent jurisdiction should determine that any of the geographic, durational or other provisions of Section 9 of this Agreement are overbroad or otherwise unenforceable because of the scope of such provisions, to the extent allowed by law, such court shall modify such provisions in a manner to render them enforceable, and such provisions, as may be modified, shall be fully enforceable as though set forth herein. Any such modification shall not affect the other provisions or clauses of this Agreement in any respect.

(b) Waiver. Any provision for the benefit of the Company contained in this Agreement may be waived, either generally or in any particular instance, by the Board of Directors of the Company.

(c) Binding Effect. This Agreement shall be binding upon and inure to the benefit of the Company and the Participant and their respective heirs, executors, administrators, legal representatives, successors and assigns, subject to the restrictions on transfer set forth in Section 5 of this Agreement.

(d) Notice. All notices required or permitted hereunder shall be in writing and deemed effectively given upon personal delivery or five days after delivery to a United States Post Office, by registered or certified mail, postage prepaid, addressed to the other party hereto at the address shown beneath his or its respective signature to this Agreement, or at such other address or addresses as either party shall designate to the other in accordance with this subparagraph (d).

(e) Entire Agreement. This Agreement and the Plan constitute the entire agreement between the parties, and supersede all prior agreements and understandings, relating to the RSUs.

(f) Participant's Acknowledgments. The Participant acknowledges that he or she: (i) has read this Agreement; (ii) has been represented in the preparation, negotiation, and execution of this Agreement by legal counsel of the Participant's own choice or has voluntarily declined to seek such counsel; (iii) understands the terms and consequences of this Agreement; and (iv) is fully aware of the legal and binding effect of this Agreement.

(g) Unfunded Rights. The right of the Participant to receive Common Stock pursuant to this Agreement is an unfunded and unsecured obligation of the Company. The Participant shall have no rights under this Agreement other than those of an unsecured general creditor of the Company.

(h) Deferral. Neither the Company nor the Participant may defer delivery of any Shares issuable under unvested RSUs except to the extent that such deferral complies with the provisions of Section 409A of the Code (“Section 409A”).

(i) Clawback. By accepting the grant of the RSUs hereunder, the Participant is agreeing to be bound by the Company’s clawback policies and procedures, as in effect or as may be adopted and/or modified from time to time by the Company in its discretion (including, without limitation, to comply with applicable law or stock exchange listing requirements).

(j) Section 409A.

(i) This Agreement is intended to comply with the requirements of Section 409A, including the exceptions thereto, and shall be construed and administered in accordance with such intent. Notwithstanding any other provision of this Agreement, payments provided under this Agreement may only be made upon an event and in a manner that complies with Section 409A or an applicable exemption. For purposes of Section 409A, each installment payment provided under this Agreement shall be treated as a separate payment. Any payments to be made under this Agreement in connection with a termination of employment shall only be made if such termination of employment constitutes a “separation from service” under Section 409A. Notwithstanding the foregoing, the Company makes no representations that the payments and benefits provided under this Agreement comply with Section 409A and in no event shall the Company be liable for all or any portion of any taxes, penalties, interest or other expenses that may be incurred by the Participant on account of non-compliance with Section 409A.

(ii) If any provision of this Agreement or the Plan shall be invalid or unenforceable, in whole or in part, or as applied to any circumstance, under the laws of any jurisdiction that may govern for such purpose, or if any provision of this Agreement or the Plan needs to be interpreted to comply with the requirements of Section 409A, then such provision shall be deemed to be modified or restricted, or so interpreted, to the extent and in the manner necessary to render the same valid and enforceable, or to the extent and in the manner necessary to be interpreted in compliance with such requirements of the Code, either generally or as applied to such circumstance, or shall be deemed excised from this Agreement or the Plan, as the case may require, and this Agreement or the Plan shall be construed and enforced to the maximum extent permitted by law as if such provision had been originally incorporated herein as so modified or restricted, or as if such provision had not been originally incorporated herein, as the case may be.

(iii) Notwithstanding any other provision of this Agreement, if at the time of the Participant’s termination of employment, the Participant is a “specified employee,” determined in accordance with Section 409A, any payments and benefits provided under this Agreement that constitute “nonqualified deferred compensation” subject to Section 409A that are provided to the Participant on account of separation from service shall not be paid until the first payroll date to occur following the six (6)-month anniversary of the Participant’s Termination Date (“Specified Employee Payment Date”). The aggregate amount of any payments that would otherwise have been made during such six (6)-month period shall be paid in a lump sum on the Specified Employee Payment Date without interest. If the Participant

dies before the Specified Employee Payment Date, any delayed payments shall be paid to the Participant's beneficiary in a lump sum within upon the Participant's death.

(k) Provisions Related to Golden Parachute Excise Tax.

(i) Change in Control When the Shares are Not Publicly Traded. Notwithstanding anything to the contrary contained in this Agreement, to the extent that, upon a Change in Control prior to the time at which the Shares have become publicly traded, any of the payments and benefits provided for under the Plan, any award agreement or any other agreement or arrangement between the Company or any of its Affiliates and the Participant (collectively, the "Payments") would constitute a "parachute payment" within the meaning of Section 280G of the Code (a "Parachute Payment"), the amount of such Payments shall be reduced to the amount (the "Safe Harbor Amount") that would result in no portion of the Payments being treated as an excess parachute payment pursuant to Section 280G of the Code (the "Excise Tax"). If, upon a Change in Control prior to the time at which the Shares have become publicly traded, the Parachute Payments that would otherwise be reduced or eliminated, as the case may be, pursuant to this Section 10(k)(i) could be paid without the loss of a deduction under Section 280G of the Code if the shareholder approval exception to treatment as a Parachute Payment can be and is satisfied, then the Company shall use its reasonable best efforts to cause such Parachute Payments to be submitted for such approval in accordance with Section 280G(b)(5)(B) prior to the Change in Control giving rise to such Parachute Payments. If such approval is received, any reduction or forfeiture pursuant to this Section 10(k)(i) shall be reversed, and the subject amount shall be payable to the Participant without regard to this Section 10(k).

(ii) Change in Control When the Shares are Publicly Traded. If upon a Change in Control occurring at any time that the Shares are publicly traded, any Payments would constitute Parachute Payments, then, if and solely to the extent that reducing the benefits payable hereunder would result in the Participant's receiving a greater amount, on an after-tax basis, taking into account any Excise Tax and all applicable income, employment and other taxes payable on such amounts, the amounts payable hereunder shall be reduced or eliminated, as the case may be, so that the total amount of Parachute Payments received by the Participant do not exceed the Safe Harbor Amount.

(iii) Order of Reduction in Payments. Any reduction in the amount of compensation or benefits effected pursuant to this Section 10(k) shall first come, in order and, in each case, solely to the extent necessary, from any cash severance benefits payable to the Participant, then from any other payments which are treated in their entirety as Parachute Payments and then from any other Parachute Payments payable to the Participant with the later possible payment or Vesting Date being reduced or eliminated before a payment or benefit with an earlier payment or Vesting Date; *provided* that if the foregoing order of reduction or elimination would violate Section 409A, then the reduction shall be made pro-rata among the payments or benefits otherwise due or payable to the Participant.

(l) Consent to Electronic Delivery; Electronic Signature.

In lieu of receiving documents in paper format, the Participant accepts the electronic delivery of any documents by the Company, or any third party involved in administering the Plan that the Company may designate, may deliver in connection with this Award (including

the Plan, this Agreement, account statements, or other communications or information) whether via the Company's intranet or the internet site of such third party or via email or such other means of electronic delivery specified by the Company. The Participant hereby consents to receive such documents by electronic delivery and agrees to participate in the Plan through an on-line or electronic system established and maintained by the Company or any third party involved in administering the Plan that the Company may designate and agrees that the Participant's electronic signature is the same as, and shall have the same force and effect as, the Participant's manual signature.

ELECTRONIC ACCEPTANCE

By the Participant's electronic acceptance hereof, the Participant and the Company agree that this Award is granted and governed by the terms and conditions of the Plan and this Agreement.

By the Participant's electronic acceptance hereof, the Participant agrees that in lieu of receiving documents in paper format, the Participant accepts the electronic delivery of any documents by the Company, or any third party involved in administering the Plan that the Company may designate, may deliver in connection with this Award (including the Plan, this Agreement, account statements, or other communications or information) whether via the Company's intranet or the internet site of such third party or via email or such other means of electronic delivery specified by the Company. The Participant hereby consents to receive such documents by electronic delivery and agrees to participate in the Plan through an on-line or electronic system established and maintained by the Company or any third party involved in administering the Plan that the Company may designate.

Exhibit A

State Law Addendum:

Modifications and Exceptions to Restrictions in Restricted Stock Unit Agreement

If Participant is a resident of one of the following states as of the date Participant executes this Restricted Stock Unit Agreement (“Effective Date”) (to which this Exhibit A is attached) (the “Agreement”), the following exceptions and acknowledgments applicable to such state shall apply to Participant, notwithstanding anything to the contrary in this Agreement or the Plan:

****ARKANSAS.** If Participant is a resident of Arkansas as of the Effective Date and Participant is a person holding a professional license under Arkansas Code Title 17, Subtitle 3, Section 9(a) will not apply to Participant.

In addition, the duration of the restriction in Section 9(d) shall be during Participant’s employment and for a period of five (5) years after the date Participant’s employment ends for any reason for Confidential Information that does not constitute a “trade secret” under applicable state or federal law, and during Participant’s employment and at all times after the date Participant’s employment ends for any reason for Confidential Information that does constitute a “trade secret” under applicable state or federal law.

****CALIFORNIA.** If Participant is a resident of California as of the Effective Date, or during any period of time during which Participant is a resident of California:

Section 9(a) and (b) will only apply to Participant during Participant’s employment. In addition, California law shall apply to Participant’s rights and obligations under the Agreement and, unless preempted by federal law, under the Plan.

Participant understands and acknowledges that any provision in this Agreement requiring the Participant to assign (or otherwise providing for ownership by the Company of) rights to an invention does not apply to any invention that qualifies fully under the provisions of California Labor Code Section 2870 (a copy of which is attached below), including any idea or invention that is developed entirely on Participant’s own time without using the Company’s equipment, supplies, facilities or trade secret information, and that does not either (i) relate to the Company’s business, or actual or demonstrably anticipated research or development of the Company or (ii) result from any work performed by the Participant for the Company.

****COLORADO.** If Participant is a resident of Colorado as of the Effective Date: (1) Participant acknowledges that Participant was provided a copy of this Agreement at least 14 days before the earlier of the effective date of the RSU Agreement and Sections 9(a) and (b) contained therein; and (2) Colorado law shall apply to Participant’s rights and obligations under Section 9 of the RSU Agreement.

****FLORIDA.** If Participant is a resident of Florida as of the Effective Date, and in order to comply with applicable Florida statutory law: The duration of the restriction in Section 9(d) shall be during Participant’s employment and for a period of five (5) years after the date Participant’s employment ends for any reason for Confidential Information that does not constitute a “trade secret” under applicable state or federal law, and during Participant’s employment and for a period of ten (10) years after the date Participant’s employment ends for any reason for Confidential Information that does constitute a “trade secret” under applicable state or federal law.

****ILLINOIS.** If Participant is a resident of Illinois as of the Effective Date: (1) Participant shall have at least 14 calendar days to review and consider this Agreement from the date Participant received this document; *provided, however*, Participant is permitted to accept this Award before the expiration of the foregoing 14-day period; and (2) the Company hereby advises Participant to consult with an attorney prior to accepting and entering into the Agreement (however, any such legal consultation shall be at Participant's own expense).

****LOUISIANA.** If Participant is a resident of Louisiana as of the Effective Date, after the termination of Participant's employment Sections 9(a) and 9(b) shall apply only in the following parishes in the State of Louisiana: Acadia, Allen, Ascension, Assumption, Avoyelles, Beauregard, Bienville, Bossier, Caddo, Calcasieu, Caldwell, Cameron, Catahoula, Claiborne, Concordia, De Soto, East Baton Rouge, East Carroll, East Feliciana, Evangeline, Franklin, Grant, Iberia, Iberville, Jackson, Jefferson, Jefferson Davis, La Salle, Lafayette, Lafourche, Lincoln, Livingston, Madison, Morehouse, Natchitoches, Orleans, Ouachita, Plaquemines, Pointe Coupee, Rapides, Red River, Richland, Sabine, St. Bernard, St. Charles, St. Helena, St. James, St. John The Baptist, St. Landry, St. Martin, St. Mary, St. Tammany, Tangipahoa, Tensas, Terrebonne, Union, Vermilion, Vernon, Washington, Webster, West Baton Rouge, West Carroll, West Feliciana, and Winn.

****MAINE.** If Participant is a resident of Maine as of the Effective Date: (1) the terms of Section 9(a) of this Agreement regarding Participant's post-termination obligations do not take effect until the later of (a) one (1) year of Participant's employment with the Company or (b) a period of six (6) months from the date that Participant accepted the RSU Agreement; (2) Participant acknowledges that Participant was provided with at least 3 days to review this Agreement from the date Participant received the Award document; *provided, however*, that Participant is permitted to accept this Agreement earlier than the expiration of such (3) day review period.

****MASSACHUSETTS.** If Participant is a resident of Massachusetts as of the Effective Date: (1) Participant acknowledges that Participant was provided with at least 10 business days to review this Agreement from the date Participant received this document; *provided, however*, Participant is permitted to accept this Agreement earlier than the expiration of such 10 day review period; (2) Participant understands that Participant has the right to consult with an attorney prior to accepting the Agreement, but that any legal consultation is at Participant's own expense; (3) Participant acknowledges that Participant has had an adequate opportunity to consult with an attorney, Participant has read and understands this Agreement, and is voluntarily accepting the Agreement; (4) the terms of this Agreement, including the benefits of the Plan, are being provided as consideration for Participant's agreement to the restrictions in Section 9(a) of the Agreement; (5) Section 9(a) will not apply if Participant is terminated without Cause or laid off, unless the Parties enter into a separation or severance agreement, pursuant to which Participant receives severance pay (in which case the non-compete restriction in Section 9(a) shall be limited to the duration of the severance pay).

****MINNESOTA.** If Participant is a resident of Minnesota as of the Effective Date, Section 9(a) will only apply to Participant during Participant's employment. In addition, Minnesota law shall apply to Participant's rights and obligations under Section 9 of the Agreement.

****NEBRASKA.** If Participant is a resident of Nebraska as of the Effective Date, Section 9(a) will not apply after the termination of Participant's employment.

****NEVADA.** If Participant is a resident of Nevada as of the Effective Date: (1) after the termination of Participant's employment Sections 9(a) and 9(b) will not prohibit Participant from

providing service to a former provider or customer of the Company if Participant can demonstrate that (a) Participant did not solicit the former provider or customer, (b) the former provider or customer voluntarily chose to leave the Company and seek services from Participant, and (c) Participant is otherwise complying with the limitations in this Agreement other than any limitation on providing services to a former provider or customer who seeks the services of Participant without any contact instigated by Participant; and (2) if Participant's employment is terminated as a result of a reduction of force, reorganization, or similar restructuring, Section 9(a) will only apply during the period Company is paying the Participant's salary, benefits, or equivalent compensation including, without limitation, severance pay.

****NORTH DAKOTA.** If Participant is a resident of North Dakota as of the Effective Date, Sections 9(a) and 9(b) will apply to Participant only during Participant's employment and will not apply after Participant's employment ends.

****OKLAHOMA.** If Participant is a resident of Oklahoma as of the Effective Date: (1) Section 9(a) will not apply after the termination of Participant's employment; and (2) Section 9(b) with respect to providers and customers, will apply after Participant's employment only with respect to providers or customers of the Company that are "established customers" of the Company per Okla. Stat. Ann. tit. 15, § 219A.

****OREGON.** If Participant is a resident of Oregon as of the Effective Date, Section 9(a) will only apply to Participant during Participant's employment.

California Labor Code § 2870.

Employment agreements; assignment of rights

(a) Any provision in an employment agreement which provides that an employee shall assign, or offer to assign, any of his or her rights in an invention to his or her employer shall not apply to an invention that the employee developed entirely on his or her own time without using the employer's equipment, supplies, facilities, or trade secret information except for those inventions that either:

(1) Relate at the time of conception or reduction to practice of the invention to the employer's business, or actual or demonstrably anticipated research or development of the employer; or

(2) Result from any work performed by the employee for the employer.

(b) To the extent a provision in an employment agreement purports to require an employee to assign an invention otherwise excluded from being required to be assigned under subdivision (a), the provision is against the public policy of this state and is unenforceable.

CENTENE CORPORATION

**Performance-Based Restricted Stock Unit Agreement Granted Under
2012 Stock Incentive Plan, As Amended**

THIS AGREEMENT is entered into by Centene Corporation, a Delaware corporation (hereinafter the “Company”), and <<Participant Name>> (hereinafter the “Participant”).

WHEREAS, the Participant renders important services to the Company and acquires access to Confidential Information (as defined below) of the Company in connection with the Participant’s relationship with the Company; and

WHEREAS, the Company desires to align the long-term interests of its valued employees with those of the Company by providing the ownership interest granted herein;

NOW, THEREFORE, in consideration of the foregoing and the mutual agreements herein contained, the parties hereto hereby agree as follows:

1. Grant of RSUs.

This Agreement evidences the grant by the Company on <<Grant Date>> (or the “Grant Date”) to <<Participant Name>> of <<PSU Target>> restricted stock units (each an “RSU,” and collectively, the “RSUs”) pursuant to the Company’s 2012 Stock Incentive Plan, as Amended (the “Plan”), that will settle in shares of common stock, \$.001 par value per share, of the Company (“Common Stock”), as provided in this RSU Agreement (the “Agreement”). The shares of Common Stock that are issuable upon vesting of the RSUs are referred to in this Agreement as “Shares.” Capitalized terms not otherwise defined in this Agreement have the meanings ascribed to such terms in the Plan.

2. Performance Condition and Vesting.

(a) Subject to Sections 3 and 4 of this Agreement, the RSUs vest on **March 15, 2028** (the “Vesting Date”), subject to satisfying the performance conditions set forth on Exhibit A and on the Participant’s continued employment with the Company through the Vesting Date. For each RSU earned as set forth on Exhibit A, the Participant will be entitled to receive between zero and two Shares, based upon the level of achievement of the applicable performance conditions in the manner set forth on Exhibit A.

(b) In the event the Participant has an employment agreement, and RSUs qualify for accelerated or continued vesting under such employment agreement, as in effect from time to time, all RSUs shall vest in accordance with the provisions outlined in the Participant’s employment agreement; *provided* that such accelerated or continued vesting shall not change the timing of settlement of the RSUs, which shall continue to be governed by this Agreement, and unless specifically provided in the Participant’s employment agreement, the level of achievement of the applicable performance conditions shall remain subject to Exhibit A. Furthermore, if any defined term used herein is also defined in the Participant’s employment agreement, then the definition that is more favorable to the Participant will control.

3. Reorganization Event.

The foregoing vesting schedule notwithstanding, if a Change in Control (as defined in the Plan) occurs and the Participant’s employment with the Company (and any parent or subsidiary thereof) is terminated by the Company (or a parent or subsidiary thereof) without Cause (as defined below) or by the Participant for Good Reason (as defined below), and the Participant’s

date of termination occurs (or in the case of the Participant's termination of employment for Good Reason, the event giving rise to Good Reason occurs) within twenty-four (24) months following the Change in Control, all of the RSUs that are not vested at the time of the Participant's termination shall vest at the greater of the actual performance level at the time of the Change in Control event or at target performance level, and other vesting criteria shall be deemed met as of the date of the Participant's termination. "Cause" shall mean acts or omissions that the Company determines, after affording the Participant an opportunity to be heard, (i) are criminal, dishonest or fraudulent or constitute misconduct that reflects negatively on the reputation of the Company (including any parent, subsidiary, Affiliate or division of the Company); (ii) could expose the Company or any parent, subsidiary, Affiliate or division of the Company to claims of illegal harassment or discrimination in employment; (iii) are material breaches of this Agreement or other agreement with the Company; or (iv) reflect continued and repeated failure to (A) perform substantially the duties of his/her employment (other than any such failure resulting from the Participant's physical or mental impairment or incapacity) or (B) to comply with any material written policy of the Company. "Good Reason" shall mean: (a) if the Participant is a party to the Executive Severance and Change in Control Plan or the Centene Corporation Severance Pay Plan (as may be amended from time to time, as applicable, the "Severance Plan) or an employment or service agreement with the Company or its Affiliates and such agreement provides for a definition of Good Reason, the definition contained therein; or (b) if the Participant is not party to such agreement or if such agreement does not define Good Reason, without the Participant's prior written consent, at or after a Change in Control, (i) a reduction in the Participant's annual base salary or annual target bonus opportunity from those in effect immediately prior to the Change in Control; (ii) a material reduction in the Participant's authority, duties or responsibilities from those in effect immediately prior to the Change in Control, or (iii) a demand by the Company or the entity surviving the transaction that resulted in the Change in Control that the Participant relocate to a primary work location more than fifty (50) miles from the Participant's primary work location immediately prior to such relocation; *provided* that such proposed relocation results in a greater commute for the Participant based on the Participant's residence immediately prior to such relocation. The Participant must provide written notice to the Company of the existence of Good Reason no later than ninety (90) days after its initial existence, and the Company shall have a period of thirty (30) days following its receipt of such written notice during which it may remedy in all material respects the Good Reason condition identified in such written notice. If the Company fails to remedy in all material respects such Good Reason condition, the Participant shall have ninety (90) days to terminate his/her employment for Good Reason.

4. Distribution of Shares.

(a) **Timing of Distribution.** The Company will distribute to the Participant (or to the Participant's beneficiary in the event of the death of the Participant occurring after a Vesting Date but before distribution of the corresponding Shares), as soon as administratively practicable after the Vesting Date (but in no event later than March 15 of the year following the year vesting occurs or, if the RSUs are "nonqualified deferred compensation" within the meaning of Section 409A of the Internal Revenue Code of 1986, as amended (the "Code," and collectively, "Section 409A")), but no later than the latest date permitted by Treasury Regulation Section 1.409A-3(d)), the Shares represented by RSUs that vested on such Vesting Date.

(b) **No Fractional Shares.** No fractional Shares shall be issuable pursuant to any RSU. In lieu of any fractional Shares to which the Participant would otherwise be entitled, the Company may, in its discretion, determine whether to pay, in lieu of such fractional Share, cash in an amount equal to such fractional Share multiplied by the Fair Market Value (as defined in the Plan) of a share of Common Stock, or whether any such fractional Share should be rounded down to the nearest whole Share, forfeited without consideration therefor, or otherwise eliminated.

(c) Termination of Employment.

- If the Participant is party to an employment agreement, upon termination of employment, the employment agreement will control, in accordance with Section 2 of this Agreement. In the event the Participant is not party to an employment agreement or such employment agreement does not provide for treatment of RSUs upon termination of employment, the following shall apply:
- The RSUs shall cease vesting as of the date of termination if the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated for any reason by the Company or by the Participant other than:
 - (i) by reason of death or disability (within the meaning of Section 409A(a)(2)(c) of the Code). In the event the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated by reason of death or disability (as defined previously in this Section 4(c)), the pro-rata amount of RSUs at target performance level, based on the number of full months employed with the Company during the period commencing on the Grant Date and ending on the Vesting Date, shall immediately vest and be payable.
 - (ii) by reason of Qualified Retirement (as defined below). In the event the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated by reason of a Qualified Retirement, the pro-rata amount of RSUs, based on the number of full months employed with the Company during the vesting period, shall remain eligible to vest based on the Company's performance during the performance period compared to the metrics as described in Exhibit A. Any such RSUs which are earned shall be distributed in accordance with Section 4(a) above. A Qualified Retirement is a retirement made pursuant to a bona-fide notice of retirement made ninety (90) days in advance by a Participant who is at least fifty-five (55) years old and has been employed at the Company for at least ten (10) years.
 - (iii) If the Participant is covered by the Severance Plan, the RSUs will be treated in accordance with the Severance Plan.

(d) Compliance Restrictions. The Company shall not be obligated to issue to the Participant the Shares upon the vesting of any RSU (or otherwise) unless (i) the Participant has complied with covenants set forth in Section 9 of this Agreement and (ii) the issuance and delivery of such Shares shall comply with all relevant provisions of law and other legal requirements including any applicable federal or state securities laws and the requirements of any stock exchange or quotation system upon which Common Stock may then be listed or quoted.

5. Restrictions on Transfer.

The RSUs may not be sold, assigned, transferred, pledged or otherwise encumbered by the Participant, either voluntarily or by operation of law, except to the Participant's beneficiary as provided in Section 4(a) in the event of the Participant's death. The Participant's beneficiary can be designated and recorded with the Company's stock plan administrator or, if no election is made with the stock plan administrator, Shares will be distributed to the Participant's beneficiary under the Centene Management Corporation Retirement Plan. In the absence of any such

beneficiary designation, benefits remaining unpaid at the Participant's death shall be paid to the Participant's executor, administrator, or legal representative.

6. No Rights as a Stockholder; Dividend Equivalents.

Except as set forth in the Plan, neither the Participant nor any person claiming under or through the Participant shall be, or shall have any rights or privileges of, a stockholder of the Company in respect of any Share issuable pursuant to the RSUs granted hereunder until such Share has been delivered to the Participant. Notwithstanding the foregoing or any provision of the Plan to the contrary, to the extent dividends are paid on shares of Common Stock and such dividends have a record date that is on or after the Grant Date but prior to the distribution of the Shares pursuant to the vesting of the RSUs, then the Participant shall be credited with an amount equivalent to the dividends that would have been paid to the Participant for each RSU granted to the Participant pursuant to this Agreement (assuming maximum performance), as determined by the Compensation Committee in its sole discretion ("Dividend Equivalents"), and such Dividend Equivalents shall be subject to the same vesting and forfeiture restrictions as the RSUs to which they are attributable. Any such Dividend Equivalents shall be paid in cash on any Shares delivered in connection with vested RSUs, subject to applicable tax withholding, no later than thirty (30) days after the RSUs to which such Dividend Equivalents are attributable are distributed; *provided*, that no interest or other earnings will be credited to the Participant with respect to any such Dividend Equivalents.

7. Withholding Taxes; Section 83(b) Election.

(a) No Shares will be delivered pursuant to the vesting of an RSU unless and until the Participant pays to the Company, or makes provision satisfactory to the Company for payment of, the amount required or permitted by federal, state, local and/or foreign tax laws to be withheld with respect to the vesting or settlement of such RSU; *provided*, that, notwithstanding the foregoing, the Participant shall be permitted, with the Company's consent, to satisfy the applicable tax obligations with respect to any shares of RSUs by net share settlement, pursuant to which the Company shall repurchase the largest whole number of shares of RSUs having a Fair Market Value (as defined in the Plan) equal to the applicable tax obligations.

(b) The Participant acknowledges that no election under Section 83(b) of the Code may be filed with respect to the RSUs.

8. Provisions of the Plan.

The RSUs are subject to the provisions of the Plan, a copy of which is being furnished to the Participant with this Agreement.

9. Participant's Covenants.

As a material inducement to the Company granting Participant RSUs hereunder, and in exchange for the Company providing Participant access to Company confidential information, Participant agrees to the following, subject to the limitations set forth in Section 9(k):

(a) Non-Competition. During Participant's employment with the Company or any Affiliate of the Company, and for a period of nine (9) months after the date Participant's employment ends for any reason (whether voluntarily or involuntarily and whether with or without Cause) (the "Termination Date"), Participant shall not, directly or indirectly, for Participant's own benefit, or on behalf of any other person or entity, (x) become employed by or provide services to any Competitor in a Competing Position within the Restricted Area, or (y) become an owner or holder of any stock or other ownership interest in any competitor, other than

as an owner of less than 1% of the outstanding stock of a publicly traded company. Participant shall obtain the Company's written consent prior to accepting a role with a Competitor in a Competing Position by contacting Participant's HR Business Partner at the Company. For the purposes of this Section 9(a), the following definitions shall apply:

(i) The term "Competitor" means any business engaged in any area of business that is the same or substantially similar to any area(s) of business in which the Company and/or any of its Affiliates are engaged as of the Termination Date.

(ii) The term "Competing Position" means a position involving job duties in any segment(s) or area(s) of the Competitor's business that is the same or substantially similar to the segment(s) or area(s) of the Company's or its Affiliates' business (A) in which Participant was involved or had job duties at any time during the last twenty-four (24) months of Participant's employment, or (B) about which Participant learned Confidential Information at any time during the last twenty-four (24) months of Participant's employment.

(iii) The term "Restricted Area" means any state in which the Company or any of its Affiliates conducts business and (A) in which Participant provided services in the last twenty-four (24) months of Participant's employment, or (B) about which Participant learned Confidential Information concerning the Company's or its Affiliates' business in such state in the last twenty-four (24) months of Participant's employment. Without limiting the foregoing, if Participant's job duties in the last twenty-four (24) months of employment materially involved duties pertaining to the business nationwide, the term "Restricted Area" means the entire United States.

(b) Non-Solicitation. Without limiting Participant's obligations in Section 9(a) above, during Participant's employment with the Company or any Affiliate, and for a period of one (1) year after the Termination Date, Participant shall not, directly or indirectly, for Participant's own benefit, or on behalf of any other person or entity:

(i) solicit or accept business from or otherwise divert from Company or any Affiliate any Customers for products or services that are similar to or competitive with products or services offered or sold by the Company or any Affiliate as of the Termination Date;

(ii) attempt to attract any Vendor away from the Company or any Affiliate, or use information regarding the Company's or any Affiliate's Vendors in any way that would detrimentally affect the Company or any Affiliate;

(iii) solicit, hire, recruit, divert or take away: (A) from the Company or any Affiliate the services of any of the employees or agents of the Company or any Affiliate, or induce in any way any non-performance of any of the obligations of such employees or agents to the Company or Affiliate; or (B) from any Vendor providing services to the Company or any Affiliate, any employees or agents of such Vendor if such employees or agents of Vendor are providing services to the Company or any Affiliate through such Vendor.

(c) For the purposes of this Agreement, the following definitions shall apply:

(i) The term "Customers" means any customers of the Company or its Affiliates (1) with which Participant had contact and with which the Company or any Affiliate conducted business in the twenty-four (24)-month period preceding the Termination Date, or (2) about which Participant learned Confidential Information in the twenty-four (24)-month period preceding the Termination Date.

(ii) The phrase “employees or agents” as used in Section 9(b)(iii) above means employees or agents with whom Participant had contact or with whom Participant communicated in the last twenty-four (24) months of Participant’s employment with the Company or Affiliate.

(iii) The term “Vendors” means any vendors or suppliers of the Company or its Affiliates (1) with which Participant had contact and with which the Company or any Affiliate conducted business in the twenty-four (24)-month period preceding the Termination Date, or (2) about which Participant learned Confidential Information in the twenty-four (24)-month period preceding the Termination.

(iv) The term “Affiliate” or “Affiliates” means any company controlled by, or under common control with, the Company, including all direct and indirect subsidiaries of the Company.

(d) Confidential Information. Participant agrees, during their employment with the Company or any Affiliate of the Company and at all times after the date Participant’s employment ends for any reason, not to use, copy, duplicate, or disclose any Confidential Information owned by or entrusted to Company or its Affiliate(s). For the purposes of this Section 9(d), the following definitions shall apply:

(i) “Confidential Information” shall mean the Company’s and any Affiliate’s trade secrets and other non-public proprietary information relating to the Company or the business of the Company or any Affiliate, including, but not limited to, information relating to financial statements, customer lists and identities, potential customers, customer contacts, employee skills and compensation, employee data, suppliers, acquisition targets, servicing methods, equipment, programs, strategies and information, analyses, marketing plans and strategies, profit margins, financial, promotional, marketing, training or operational information, and other information developed or used by the Company or any Affiliate that is not known generally to the public or the industry. Confidential Information shall not include any information that is in the public domain or becomes known in the public domain through no wrongful act on the part of Participant.

(e) Subject to Exhibit B, to the extent Participant has agreed or does agree to any post-employment restrictions in any other agreement with the Company or its Affiliates, including the Severance Plan (“Other Agreement”), the post-employment restrictions set forth herein (i.e., Sections 9(a), 9(b) and 9(d)) will run concurrently with the restrictions in the Other Agreement. If there are any inconsistencies between the restrictions in this Agreement and the restrictions in such Other Agreement, the more restrictive restrictions shall still apply.

(f) Defend Trade Secrets Act Notice to Participant. Notwithstanding the foregoing, Participant will not be held criminally or civilly liable under any Federal or State trade secret law for the disclosure of a trade secret that: (i) is made (A) in confidence to a Federal, State, or local government official, either directly or indirectly, or to an attorney, and (B) solely for the purpose of reporting or investigating a suspected violation of law; or (ii) is made in a complaint or other document filed in a lawsuit or other proceeding, if such filing is made under seal. In addition, if Participant files a lawsuit for retaliation by Company for reporting a suspected violation of law, Participant may disclose the trade secret to Participant’s attorney and use the trade secret information in the court proceeding if Participant files any document containing the trade secret under seal and does not disclose the trade secret except pursuant to court order.

(g) Return of Information. Any Confidential Information and other business information shall be and remain solely and exclusively the property of Company (or its Affiliate(s), as applicable). Upon the termination of Participant’s employment (regardless of

whether such termination is with Cause or without Cause or voluntary or involuntary), Participant shall promptly deliver the Confidential Information, along with any and all other documents and electronic files obtained by Participant in the course of Participant's employment with Company or its Affiliate(s) (irrespective of whether such documents and files contain Confidential Information, but excluding documents pertaining to Participant's compensation and benefits), without retaining any copies, notes, or excerpts thereof. Participant shall not remove from the property or premises of Company or its Affiliate(s) any Confidential Information or any other documents or data relating to the business, work, services or sales of Company and/or of its Affiliates, or copies thereof. All Confidential Information, other business information or copies, whether made by Participant or by others, are acknowledged by Participant to be the property of Company and/or its Affiliate(s), and not to be used for the benefit of Participant or for any other person's benefit.

(h) Tolling of Restrictions. Should Participant violate any of the terms of Sections 9(a), 9(b) or 9(d) of this Agreement, the duration of the restrictions contained in Sections 9(a), 9(b) and 9(d) shall be extended by the duration of time during which Participant was in violation of the same.

(i) Assignment of Inventions and other Developments. Participant agrees that his or her duties may include the development, refinement, and/or documentation of Confidential Information or other sensitive business information, including any ideas, inventions, products, programs, and/or works of authorship for the current and intended business and prospects of Company or any of its Affiliates (collectively, "Developments"), all for the exclusive benefit of Company or applicable Affiliate(s). Participant agrees to assign and hereby assigns to Company all rights, titles, and interests Participant may have in or to any invention, innovation, computer program, software, database, discovery, idea, writing, improvement, process, technique or other works (collectively "Intellectual Property") created or conceived by Participant, either alone or jointly with others, during Participant's employment, whether patentable or unpatentable, that: (i) relates in any manner to the actual or anticipated business, research, or development of Company; (ii) results from work assigned to or performed by Participant for Company; and/or (iii) is conceived of or made with the use of Company systems, equipment, supplies, materials, facilities, computer programs, confidential information and/or trade secret information (collectively "Company Resources"). This assignment does not apply to Intellectual Property that meets all of the following criteria: (i) no Company Resources were used in its creation; (ii) the Intellectual Property was developed entirely on Participant's own time; (iii) at the time of conception or reduction to practice the Intellectual Property does not relate to Company's business, actual or anticipated research or development; and (iv) the Intellectual Property does not result from any work performed by Participant for Company. Participant shall disclose to Company all Intellectual Property developed during Participant's employment so that Company may determine any rights it may have in such Intellectual Property.

(j) Future Cooperation. Participant agrees to cooperate and be available to the Company on a reasonable basis and at reasonable times to timely respond to questions from the Company that arise out of Participant's former responsibilities with the Company. Additionally, Participant agrees to cooperate and be available to assist in the defense of, and serve as a witness in, any administrative proceeding or litigation faced by the Company concerning matters in which Participant was involved or had knowledge while an employee of the Company.

(k) State-Law Addendum: Modifications and Exceptions. Notwithstanding the restrictions set forth above in this Section 9, if at the time of the Grant Date or the date Participant executes this Agreement Participant resides in a state listed in Exhibit B hereto, then the modifications and/or exceptions set forth for such state in Exhibit B shall apply to Participant. In addition, as a general matter, the Company will only seek to enforce this Agreement to the extent permitted under the applicable law of the state where Participant resided

or worked for the Company at the time of the Grant Date or the date Participant executed the Agreement. Furthermore, with respect to a Participant who is an attorney and employed by the Company or an Affiliate in his or her capacity as an attorney, this Section 9 shall only apply to the extent permissible under provisions of the applicable Rules of Professional Conduct applicable to attorneys in the state where Participant resides.

(l) Remedies for Breach.

(i) Because the Participant's services are unique and because the Participant has access to the Company's Confidential Information, the parties agree that any breach or threatened breach of any of the terms of this Section 9 will cause irreparable harm to the Company and that money damages alone would be an inadequate remedy. The parties therefore agree that, in the event of any breach or threatened breach of this Section 9, and in addition to all other rights and remedies available to it, the Company may apply to any court of competent jurisdiction for specific performance and/or injunctive or other relief, without a bond, in order to enforce or prevent any violations of the provisions of this Section 9.

(ii) In the event Participant breaches any of the terms of this Section 9, Participant shall immediately forfeit all unvested RSUs, and shall be required to immediately pay to the Company a cash sum in the principal amount equal to the Fair Market Value (FMV) of all RSUs in which Participant vested in the twenty-four (24)-month period preceding Participant's first breach of Section 9 and of all RSUs vested after Participant's first breach of Section 9, less \$2,500, which Participant shall retain as consideration for Participant's continued obligations under Section 9 of this Agreement. For the purposes of this provision, "Fair Market Value" shall mean the stock price for Centene's stock (symbol: CNC) on the New York Stock Exchange (NYSE) as of the closing of the date on which the Shares in question vested (multiplied by the number of Shares vested).

(iii) The rights and remedies set forth above shall be cumulative and in addition to any other rights or remedies to which the Company and its Affiliates may be entitled under any agreement or under the law.

(iv) Nothing in this Agreement, or any other agreement between the Participant and the Company or any of its Affiliates, or otherwise, limits the Participant's ability to communicate directly with and provide information, including documents, not otherwise protected from disclosure by any applicable law or privilege to the U.S. Securities and Exchange Commission (the "SEC") or any other federal, state, local or foreign governmental agency or commission ("Government Agency") or self-regulatory organization regarding possible legal violations, without disclosure to the Company. The Company may not retaliate against the Participant for any of these activities, and nothing in this Agreement requires the Participant to waive any monetary award or other payment that the Participant might become entitled to from the SEC or any other Government Agency or self-regulatory organization. Further, nothing in this Agreement precludes the Participant from filing a charge of discrimination with the U.S. Equal Employment Opportunity Commission or a like charge or complaint with a state or local fair employment practice agency. However, once this Agreement becomes effective, you may not receive a monetary award or any other form of personal relief from the Company in connection with any such charge or complaint that you filed or is filed on your behalf.

(m) Survival. The provisions of this Section 9 shall survive and continue in full force in accordance with their terms notwithstanding any forfeiture, termination or expiration of this Agreement in accordance with its terms or any termination of the Participant's employment for any reason (whether voluntary or involuntary).

10. Miscellaneous.

(a) Severability. The invalidity or unenforceability of any provision of this Agreement shall not affect the validity or enforceability of any other provision of this Agreement, and each other provision of this Agreement shall be severable and enforceable to the extent permitted by law. If a court of competent jurisdiction should determine that any of the geographic, durational or other provisions of Section 9 of this Agreement are overbroad or otherwise unenforceable because of the scope of such provisions, to the extent allowed by law, such court shall modify such provisions in a manner to render them enforceable, and such provisions, as may be modified, shall be fully enforceable as though set forth herein. Any such modification shall not affect the other provisions or clauses of this Agreement in any respect.

(b) Waiver. Any provision for the benefit of the Company contained in this Agreement may be waived, either generally or in any particular instance, by the Board of Directors of the Company.

(c) Binding Effect. This Agreement shall be binding upon and inure to the benefit of the Company and the Participant and their respective heirs, executors, administrators, legal representatives, successors and assigns, subject to the restrictions on transfer set forth in Section 5 of this Agreement.

(d) Notice. All notices required or permitted hereunder shall be in writing and deemed effectively given upon personal delivery or five days after delivery to a United States Post Office, by registered or certified mail, postage prepaid, addressed to the other party hereto at the address shown beneath his or its respective signature to this Agreement, or at such other address or addresses as either party shall designate to the other in accordance with this subparagraph (d).

(e) Entire Agreement. This Agreement and the Plan constitute the entire agreement between the parties, and supersede all prior agreements and understandings, relating to the RSUs.

(f) Participant's Acknowledgments. The Participant acknowledges that he or she: (i) has read this Agreement; (ii) has been represented in the preparation, negotiation, and execution of this Agreement by legal counsel of the Participant's own choice or has voluntarily declined to seek such counsel; (iii) understands the terms and consequences of this Agreement; and (iv) is fully aware of the legal and binding effect of this Agreement.

(g) Unfunded Rights. The right of the Participant to receive Common Stock pursuant to this Agreement is an unfunded and unsecured obligation of the Company. The Participant shall have no rights under this Agreement other than those of an unsecured general creditor of the Company.

(h) Deferral. Neither the Company nor the Participant may defer delivery of any Shares issuable under unvested RSUs except to the extent that such deferral complies with the provisions of Section 409A.

(i) Clawback. By accepting the grant of the RSUs hereunder, the Participant is agreeing to be bound by the Company's clawback policies and procedures, as in effect or as may be adopted and/or modified from time to time by the Company in its discretion (including, without limitation, to comply with applicable law or stock exchange listing requirements).

(j) Section 409A.

(i) This Agreement is intended to comply with the requirements of Section 409A, including the exceptions thereto, and shall be construed and administered in accordance

with such intent. Notwithstanding any other provision of this Agreement, payments provided under this Agreement may only be made upon an event and in a manner that complies with Section 409A or an applicable exemption. For purposes of Section 409A, each installment payment provided under this Agreement shall be treated as a separate payment. Any payments to be made under this Agreement in connection with a termination of employment shall only be made if such termination of employment constitutes a "separation from service" under Section 409A. Notwithstanding the foregoing, the Company makes no representations that the payments and benefits provided under this Agreement comply with Section 409A and in no event shall the Company be liable for all or any portion of any taxes, penalties, interest or other expenses that may be incurred by the Participant on account of non-compliance with Section 409A.

(ii) If any provision of this Agreement or the Plan shall be invalid or unenforceable, in whole or in part, or as applied to any circumstance, under the laws of any jurisdiction that may govern for such purpose, or if any provision of this Agreement or the Plan needs to be interpreted to comply with the requirements of Section 409A, then such provision shall be deemed to be modified or restricted, or so interpreted, to the extent and in the manner necessary to render the same valid and enforceable, or to the extent and in the manner necessary to be interpreted in compliance with such requirements of the Code, either generally or as applied to such circumstance, or shall be deemed excised from this Agreement or the Plan, as the case may require, and this Agreement or the Plan shall be construed and enforced to the maximum extent permitted by law as if such provision had been originally incorporated herein as so modified or restricted, or as if such provision had not been originally incorporated herein, as the case may be.

(iii) Notwithstanding any other provision of this Agreement, if at the time of the Participant's termination of employment, the Participant is a "specified employee," determined in accordance with Section 409A, any payments and benefits provided under this Agreement that constitute "nonqualified deferred compensation" subject to Section 409A that are provided to the Participant on account of separation from service shall not be paid until the first payroll date to occur following the six (6)-month anniversary of the Participant's Termination Date ("Specified Employee Payment Date"). The aggregate amount of any payments that would otherwise have been made during such six (6)-month period shall be paid in a lump sum on the Specified Employee Payment Date without interest. If the Participant dies before the Specified Employee Payment Date, any delayed payments shall be paid to the Participant's beneficiary in a lump sum within upon the Participant's death.

(k) Provisions Related to Golden Parachute Excise Tax.

(i) Change in Control When the Shares are Not Publicly Traded. Notwithstanding anything to the contrary contained in this Agreement, to the extent that, upon a Change in Control prior to the time at which the Shares have become publicly traded, any of the payments and benefits provided for under the Plan, any award agreement or any other agreement or arrangement between the Company or any of its Affiliates and the Participant (collectively, the "Payments") would constitute a "parachute payment" within the meaning of Section 280G of the Code (a "Parachute Payment"), the amount of such Payments shall be reduced to the amount (the "Safe Harbor Amount") that would result in no portion of the Payments being treated as an excess parachute payment pursuant to Section 280G of the Code (the "Excise Tax"). If, upon a Change in Control prior to the time at which the Shares have become publicly traded, the Parachute Payments that would otherwise be reduced or eliminated, as the case may be, pursuant to this Section 10(k)(i) could be paid without the loss of a deduction under Section 280G of the Code if the shareholder approval exception to treatment as a Parachute Payment can be and is satisfied, then the Company shall use its reasonable best efforts to cause such Parachute Payments to be submitted for such approval in accordance with Section 280G(b)(5)(B) prior to the Change in Control giving rise to such Parachute Payments. If such approval is received, any reduction or forfeiture pursuant to this Section 10(k)(i) shall be

reversed, and the subject amount shall be payable to the Participant without regard to this Section 10(k).

(ii) Change in Control When the Shares are Publicly Traded. If upon a Change in Control occurring at any time that the Shares are publicly traded, any Payments would constitute Parachute Payments, then, if and solely to the extent that reducing the benefits payable hereunder would result in the Participant's receiving a greater amount, on an after-tax basis, taking into account any Excise Tax and all applicable income, employment and other taxes payable on such amounts, the amounts payable hereunder shall be reduced or eliminated, as the case may be, so that the total amount of Parachute Payments received by the Participant do not exceed the Safe Harbor Amount.

(iii) Order of Reduction in Payments. Any reduction in the amount of compensation or benefits effected pursuant to this Section 10(k) shall first come, in order and, in each case, solely to the extent necessary, from any cash severance benefits payable to the Participant, then from any other payments which are treated in their entirety as Parachute Payments and then from any other Parachute Payments payable to the Participant with the later possible payment or Vesting Date being reduced or eliminated before a payment or benefit with an earlier payment or Vesting Date; *provided* that if the foregoing order of reduction or elimination would violate Section 409A, then the reduction shall be made pro-rata among the payments or benefits otherwise due or payable to the Participant.

11. Consent to Electronic Delivery; Electronic Signature. In lieu of receiving documents in paper format, the Participant accepts the electronic delivery of any documents by the Company, or any third party involved in administering the Plan that the Company may designate, may deliver in connection with this Award (including the Plan, this Agreement, account statements, or other communications or information) whether via the Company's intranet or the internet site of such third party or via email or such other means of electronic delivery specified by the Company. The Participant hereby consents to receive such documents by electronic delivery and agrees to participate in the Plan through an on-line or electronic system established and maintained by the Company or any third party involved in administering the Plan that the Company may designate, and agrees that the Participant's electronic signature is the same as, and shall have the same force and effect as, the Participant's manual signature.

ELECTRONIC ACCEPTANCE

By the Participant's electronic acceptance hereof, the Participant and the Company agree that this Award is granted and governed by the terms and conditions of the Plan and this Agreement.

By the Participant's electronic acceptance hereof, the Participant agrees that in lieu of receiving documents in paper format, the Participant accepts the electronic delivery of any documents by the Company, or any third party involved in administering the Plan that the Company may designate, may deliver in connection with this Award (including the Plan, this Agreement, account statements, or other communications or information) whether via the Company's intranet or the internet site of such third party or via email or such other means of electronic delivery specified by the Company. The Participant hereby consents to receive such documents by electronic delivery and agrees to participate in the Plan through an on-line or electronic system established and maintained by the Company or any third party involved in administering the Plan that the Company may designate.

Exhibit A

Performance Period: January 1, XXXX through (and including) December 31, 20XXX

Metric	Threshold	Target	Maximum
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Exhibit B
State Law Addendum:

Modifications and Exceptions to Restrictions in Performance-Based Restricted Stock Unit Agreement

If Participant is a resident of one of the following states as of the date Participant executes this Restricted Stock Unit Agreement (“Effective Date”) (to which this Exhibit B is attached) (the “Agreement”), the following exceptions and acknowledgments applicable to such state shall apply to Participant, notwithstanding anything to the contrary in this Agreement or the Plan:

****ARKANSAS.** If Participant is a resident of Arkansas as of the Effective Date and Participant is a person holding a professional license under Arkansas Code Title 17, Subtitle 3, Section 9(a) will not apply to Participant.

In addition, the duration of the restriction in Section 9(d) shall be during Participant’s employment and for a period of five (5) years after the date Participant’s employment ends for any reason for Confidential Information that does not constitute a “trade secret” under applicable state or federal law, and during Participant’s employment and at all times after the date Participant’s employment ends for any reason for Confidential Information that does constitute a “trade secret” under applicable state or federal law.

****CALIFORNIA.** If Participant is a resident of California as of the Effective Date, or during any period of time during which Participant is a resident of California:
Section 9(a) and (b) will only apply to Participant during Participant’s employment. In addition, California law shall apply to Participant’s rights and obligations under the Agreement and, unless preempted by federal law, under the Plan.

Participant understands and acknowledges that any provision in this Agreement requiring the Participant to assign (or otherwise providing for ownership by the Company of) rights to an invention does not apply to any invention that qualifies fully under the provisions of California Labor Code Section 2870 (a copy of which is attached below), including any idea or invention that is developed entirely on Participant’s own time without using the Company’s equipment, supplies, facilities or trade secret information, and that does not either (i) relate to the Company’s business, or actual or demonstrably anticipated research or development of the Company or (ii) result from any work performed by the Participant for the Company.

****COLORADO.** If Participant is a resident of Colorado as of the Effective Date: (1) Participant acknowledges that Participant was provided a copy of this Agreement at least 14 days before the earlier of the effective date of the RSU Agreement and Sections 9(a) and (b) contained therein; and (2) Colorado law shall apply to Participant’s rights and obligations under Section 9 of the RSU Agreement.

****FLORIDA.** If Participant is a resident of Florida as of the Effective Date, and in order to comply with applicable Florida statutory law: The duration of the restriction in Section 9(d) shall be during Participant’s employment and for a period of five (5) years after the date Participant’s employment ends for any reason for Confidential Information that does not constitute a “trade secret” under applicable state or federal law, and during Participant’s employment and for a period of ten (10) years after the date Participant’s employment ends for any reason for Confidential Information that does constitute a “trade secret” under applicable state or federal law.

****ILLINOIS.** If Participant is a resident of Illinois as of the Effective Date: (1) Participant shall have at least 14 calendar days to review and consider this Agreement from the date Participant received this document; *provided, however*, Participant is permitted to accept this Award before the expiration of the foregoing 14-day period; and (2) the Company hereby advises Participant to

consult with an attorney prior to accepting and entering into the Agreement (however, any such legal consultation shall be at Participant's own expense).

****LOUISIANA.** If Participant is a resident of Louisiana as of the Effective Date, after the termination of Participant's employment Sections 9(a) and 9(b) shall apply only in the following parishes in the State of Louisiana: Acadia, Allen, Ascension, Assumption, Avoyelles, Beauregard, Bienville, Bossier, Caddo, Calcasieu, Caldwell, Cameron, Catahoula, Claiborne, Concordia, De Soto, East Baton Rouge, East Carroll, East Feliciana, Evangeline, Franklin, Grant, Iberia, Iberville, Jackson, Jefferson, Jefferson Davis, La Salle, Lafayette, Lafourche, Lincoln, Livingston, Madison, Morehouse, Natchitoches, Orleans, Ouachita, Plaquemines, Pointe Coupee, Rapides, Red River, Richland, Sabine, St. Bernard, St. Charles, St. Helena, St. James, St. John The Baptist, St. Landry, St. Martin, St. Mary, St. Tammany, Tangipahoa, Tensas, Terrebonne, Union, Vermilion, Vernon, Washington, Webster, West Baton Rouge, West Carroll, West Feliciana, and Winn.

****MAINE.** If Participant is a resident of Maine as of the Effective Date: (1) the terms of Section 9(a) of this Agreement regarding Participant's post-termination obligations do not take effect until the later of (a) one (1) year of Participant's employment with the Company or (b) a period of six (6) months from the date that Participant accepted the RSU Agreement; (2) Participant acknowledges that Participant was provided with at least 3 days to review this Agreement from the date Participant received the Award document; *provided, however*, that Participant is permitted to accept this Agreement earlier than the expiration of such (3) day review period.

****MASSACHUSETTS.** If Participant is a resident of Massachusetts as of the Effective Date: (1) Participant acknowledges that Participant was provided with at least 10 business days to review this Agreement from the date Participant received this document; *provided, however*, Participant is permitted to accept this Agreement earlier than the expiration of such 10 day review period; (2) Participant understands that Participant has the right to consult with an attorney prior to accepting the Agreement, but that any legal consultation is at Participant's own expense; (3) Participant acknowledges that Participant has had an adequate opportunity to consult with an attorney, Participant has read and understands this Agreement, and is voluntarily accepting the Agreement; (4) the terms of this Agreement, including the benefits of the Plan, are being provided as consideration for Participant's agreement to the restrictions in Section 9(a) of the Agreement; (5) Section 9(a) will not apply if Participant is terminated without Cause or laid off, unless the Parties enter into a separation or severance agreement, pursuant to which Participant receives severance pay (in which case the non-compete restriction in Section 9(a) shall be limited to the duration of the severance pay).

****MINNESOTA.** If Participant is a resident of Minnesota as of the Effective Date, Section 9(a) will only apply to Participant during Participant's employment. In addition, Minnesota law shall apply to Participant's rights and obligations under Section 9 of the Agreement.

****NEBRASKA.** If Participant is a resident of Nebraska as of the Effective Date, Section 9(a) will not apply after the termination of Participant's employment.

****NEVADA.** If Participant is a resident of Nevada as of the Effective Date: (1) after the termination of Participant's employment Sections 9(a) and 9(b) will not prohibit Participant from providing service to a former provider or customer of the Company if Participant can demonstrate that (a) Participant did not solicit the former provider or customer, (b) the former provider or customer voluntarily chose to leave the Company and seek services from Participant, and (c) Participant is otherwise complying with the limitations in this Agreement other than any limitation on providing services to a former provider or customer who seeks the services of Participant without any contact instigated by Participant; and (2) if Participant's employment is terminated as a result of a reduction of force, reorganization, or similar restructuring, Section

9(a) will only apply during the period Company is paying the Participant's salary, benefits, or equivalent compensation including, without limitation, severance pay.

****NORTH DAKOTA.** If Participant is a resident of North Dakota as of the Effective Date, Sections 9(a) and 9(b) will apply to Participant only during Participant's employment and will not apply after Participant's employment ends.

****OKLAHOMA.** If Participant is a resident of Oklahoma as of the Effective Date: (1) Section 9(a) will not apply after the termination of Participant's employment; and (2) Section 9(b) with respect to providers and customers, will apply after Participant's employment only with respect to providers or customers of the Company that are "established customers" of the Company per Okla. Stat. Ann. tit. 15, § 219A.

****OREGON.** If Participant is a resident of Oregon as of the Effective Date, Section 9(a) will only apply to Participant during Participant's employment.

California Labor Code § 2870.

Employment agreements; assignment of rights

(a) Any provision in an employment agreement which provides that an employee shall assign, or offer to assign, any of his or her rights in an invention to his or her employer shall not apply to an invention that the employee developed entirely on his or her own time without using the employer's equipment, supplies, facilities, or trade secret information except for those inventions that either:

(1) Relate at the time of conception or reduction to practice of the invention to the employer's business, or actual or demonstrably anticipated research or development of the employer; or

(2) Result from any work performed by the employee for the employer.

(b) To the extent a provision in an employment agreement purports to require an employee to assign an invention otherwise excluded from being required to be assigned under subdivision (a), the provision is against the public policy of this state and is unenforceable.

CENTENE CORPORATION

**Performance-Based Restricted Stock Unit Agreement Granted Under
2012 Stock Incentive Plan, As Amended**

THIS AGREEMENT is entered into by Centene Corporation, a Delaware corporation (hereinafter the “Company”), and <<Participant Name>> (hereinafter the “Participant”).

WHEREAS, the Participant renders important services to the Company and acquires access to Confidential Information (as defined below) of the Company in connection with the Participant’s relationship with the Company; and

WHEREAS, the Company desires to align the long-term interests of its valued employees with those of the Company by providing the ownership interest granted herein;

NOW, THEREFORE, in consideration of the foregoing and the mutual agreements herein contained, the parties hereto hereby agree as follows:

1. Grant of RSUs.

This Agreement evidences the grant by the Company on <<Grant Date>> (or the “Grant Date”) to <<Participant Name>> of <<PSU Target>> restricted stock units (each an “RSU,” and collectively, the “RSUs”) pursuant to the Company’s 2012 Stock Incentive Plan, as Amended (the “Plan”), that will settle in shares of common stock, \$.001 par value per share, of the Company (“Common Stock”), as provided in this RSU Agreement (the “Agreement”). The shares of Common Stock that are issuable upon vesting of the RSUs are referred to in this Agreement as “Shares.” Capitalized terms not otherwise defined in this Agreement have the meanings ascribed to such terms in the Plan.

2. Performance Condition and Vesting.

(a) Subject to Sections 3 and 4 of this Agreement, the RSUs vest on March 15, 2028 (the “Vesting Date”), subject to satisfying the performance conditions set forth on Exhibit A and on the Participant’s continued employment with the Company through the Vesting Date. For each RSU earned as set forth on Exhibit A, the Participant will be entitled to receive between zero and two Shares, based upon the level of achievement of the applicable performance conditions in the manner set forth on Exhibit A.

3. Reorganization Event.

The foregoing vesting schedule notwithstanding, if a Change in Control (as defined in the Plan) occurs and the Participant’s employment with the Company (and any parent or subsidiary thereof) is terminated by the Company (or a parent or subsidiary thereof) without Cause (as defined below) or by the Participant for Good Reason (as defined below), and the Participant’s date of termination occurs (or in the case of the Participant’s termination of employment for Good Reason, the event giving rise to Good Reason occurs) within twenty-four (24) months following the Change in Control, all of the RSUs that are not vested at the time of the Participant’s termination shall vest at the greater of the actual performance level at the time of the Change in Control event or at target performance level, and other vesting criteria shall be deemed met as of the date of the Participant’s termination. “Cause” shall mean acts or omissions

that the Company determines, after affording the Participant an opportunity to be heard, (i) are criminal, dishonest or fraudulent or constitute misconduct that reflects negatively on the reputation of the Company (including any parent, subsidiary, Affiliate or division of the Company); (ii) could expose the Company or any parent, subsidiary, Affiliate or division of the Company to claims of illegal harassment or discrimination in employment; (iii) are material breaches of this Agreement or other agreement with the Company; or (iv) reflect continued and repeated failure to (A) perform substantially the duties of his/her employment (other than any such failure resulting from the Participant's physical or mental impairment or incapacity) or (B) to comply with any material written policy of the Company. "Good Reason" shall mean: (a) if the Participant is a party to the Executive Severance and Change in Control Plan or the Centene Corporation Severance Pay Plan (as may be amended from time to time, as applicable, the "Severance Plan) or an employment or service agreement with the Company or its Affiliates and such agreement provides for a definition of Good Reason, the definition contained therein; or (b) if the Participant is not party to such agreement or if such agreement does not define Good Reason, without the Participant's prior written consent, at or after a Change in Control, (i) a reduction in the Participant's annual base salary or annual target bonus opportunity from those in effect immediately prior to the Change in Control; (ii) a material reduction in the Participant's authority, duties or responsibilities from those in effect immediately prior to the Change in Control, or (iii) a demand by the Company or the entity surviving the transaction that resulted in the Change in Control that the Participant relocate to a primary work location more than fifty (50) miles from the Participant's primary work location immediately prior to such relocation; *provided* that such proposed relocation results in a greater commute for the Participant based on the Participant's residence immediately prior to such relocation. The Participant must provide written notice to the Company of the existence of Good Reason no later than ninety (90) days after its initial existence, and the Company shall have a period of thirty (30) days following its receipt of such written notice during which it may remedy in all material respects the Good Reason condition identified in such written notice. If the Company fails to remedy in all material respects such Good Reason condition, the Participant shall have ninety (90) days to terminate his/her employment for Good Reason.

4. Distribution of Shares.

(a) **Timing of Distribution.** The Company will distribute to the Participant (or to the Participant's beneficiary in the event of the death of the Participant occurring after a Vesting Date but before distribution of the corresponding Shares), as soon as administratively practicable after the Vesting Date (but in no event later than March 15 of the year following the year vesting occurs or, if the RSUs are "nonqualified deferred compensation" within the meaning of Section 409A of the Internal Revenue Code of 1986, as amended (the "Code," and collectively, "Section 409A")), but no later than the latest date permitted by Treasury Regulation Section 1.409A-3(d)), the Shares represented by RSUs that vested on such Vesting Date.

(b) **No Fractional Shares.** No fractional Shares shall be issuable pursuant to any RSU. In lieu of any fractional Shares to which the Participant would otherwise be entitled, the Company may, in its discretion, determine whether to pay, in lieu of such fractional Share, cash in an amount equal to such fractional Share multiplied by the Fair Market Value (as defined in the Plan) of a share of Common Stock, or whether any such fractional Share should be rounded down to the nearest whole Share, forfeited without consideration therefor, or otherwise eliminated.

(c) Termination of Employment. Notwithstanding any provision in the Participant's employment agreement or any provision in the Severance Plan, and except as otherwise set forth in Section 3 of this Agreement, upon termination of employment, the Participant's RSUs will be treated as follows. If the Participant's employment with the Company (and any parent or subsidiary thereof) is terminated by the Company without Cause, all outstanding RSUs shall continue to vest, subject to Company performance and be payable as of the Vesting Date. If Participant's employment is terminated by reason of death or disability (within the meaning of Section 409A(a)(2)(c) of the Code), the RSUs shall vest in accordance with his employment agreement. If Participant's employment with the Company (and any parent or subsidiary thereof) is terminated by Participant for any reason (including, for the avoidance of doubt, by reason of a Qualified Retirement (as defined in the Participant's employment agreement)), the Participant is not entitled to any accelerated or continued vesting of outstanding RSUs and any unvested RSUs will be immediately forfeited.

(d) Compliance Restrictions. The Company shall not be obligated to issue to the Participant the Shares upon the vesting of any RSU (or otherwise) unless (i) the Participant has complied with covenants set forth in Section 9 of this Agreement and (ii) the issuance and delivery of such Shares shall comply with all relevant provisions of law and other legal requirements including any applicable federal or state securities laws and the requirements of any stock exchange or quotation system upon which Common Stock may then be listed or quoted.

5. Restrictions on Transfer.

The RSUs may not be sold, assigned, transferred, pledged or otherwise encumbered by the Participant, either voluntarily or by operation of law, except to the Participant's beneficiary as provided in Section 4(a) in the event of the Participant's death. The Participant's beneficiary can be designated and recorded with the Company's stock plan administrator or, if no election is made with the stock plan administrator, Shares will be distributed to the Participant's beneficiary under the Centene Management Corporation Retirement Plan. In the absence of any such beneficiary designation, benefits remaining unpaid at the Participant's death shall be paid to the Participant's executor, administrator, or legal representative.

6. No Rights as a Stockholder; Dividend Equivalents.

Except as set forth in the Plan, neither the Participant nor any person claiming under or through the Participant shall be, or shall have any rights or privileges of, a stockholder of the Company in respect of any Share issuable pursuant to the RSUs granted hereunder until such Share has been delivered to the Participant. Notwithstanding the foregoing or any provision of the Plan to the contrary, to the extent dividends are paid on shares of Common Stock and such dividends have a record date that is on or after the Grant Date but prior to the distribution of the Shares pursuant to the vesting of the RSUs, then the Participant shall be credited with an amount equivalent to the dividends that would have been paid to the Participant for each RSU granted to the Participant pursuant to this Agreement (assuming maximum performance), as determined by the Compensation Committee in its sole discretion ("Dividend Equivalents"), and such Dividend Equivalents shall be subject to the same vesting and forfeiture restrictions as the RSUs to which they are attributable. Any such Dividend Equivalents shall be paid in cash on any Shares delivered in connection with vested RSUs, subject to applicable tax withholding, no later than thirty (30) days after the RSUs to which such Dividend Equivalents are attributable are distributed; *provided*, that no interest or other earnings will be credited to the Participant with respect to any such Dividend Equivalents.

7. Withholding Taxes; Section 83(b) Election.

(a) No Shares will be delivered pursuant to the vesting of an RSU unless and until the Participant pays to the Company, or makes provision satisfactory to the Company for payment of, the amount required or permitted by federal, state, local and/or foreign tax laws to be withheld with respect to the vesting or settlement of such RSU; *provided*, that, notwithstanding the foregoing, the Participant shall be permitted, with the Company's consent, to satisfy the applicable tax obligations with respect to any shares of RSUs by net share settlement, pursuant to which the Company shall repurchase the largest whole number of shares of RSUs having a Fair Market Value (as defined in the Plan) equal to the applicable tax obligations.

(b) The Participant acknowledges that no election under Section 83(b) of the Code may be filed with respect to the RSUs.

8. Provisions of the Plan.

The RSUs are subject to the provisions of the Plan, a copy of which is being furnished to the Participant with this Agreement.

9. Participant's Covenants.

As a material inducement to the Company granting Participant RSUs hereunder, and in exchange for the Company providing Participant access to Company confidential information, Participant agrees to the following, subject to the limitations set forth in Section 9(k):

(a) Non-Competition. During Participant's employment with the Company or any Affiliate of the Company, and for a period of nine (9) months after the date Participant's employment ends for any reason (whether voluntarily or involuntarily and whether with or without Cause) (the "Termination Date"), Participant shall not, directly or indirectly, for Participant's own benefit, or on behalf of any other person or entity, (x) become employed by or provide services to any Competitor in a Competing Position within the Restricted Area, or (y) become an owner or holder of any stock or other ownership interest in any competitor, other than as an owner of less than 1% of the outstanding stock of a publicly traded company. Participant shall obtain the Company's written consent prior to accepting a role with a Competitor in a Competing Position by contacting Participant's HR Business Partner at the Company. For the purposes of this Section 9(a), the following definitions shall apply:

(i) The term "Competitor" means any business engaged in any area of business that is the same or substantially similar to any area(s) of business in which the Company and/or any of its Affiliates are engaged as of the Termination Date.

(ii) The term "Competing Position" means a position involving job duties in any segment(s) or area(s) of the Competitor's business that is the same or substantially similar to the segment(s) or area(s) of the Company's or its Affiliates' business (A) in which Participant was involved or had job duties at any time during the last twenty-four (24) months of Participant's employment, or (B) about which Participant learned Confidential Information at any time during the last twenty-four (24) months of Participant's employment.

(iii) The term "Restricted Area" means any state in which the Company or any of its Affiliates conducts business and (A) in which Participant provided services in the last

twenty-four (24) months of Participant's employment, or (B) about which Participant learned Confidential Information concerning the Company's or its Affiliates' business in such state in the last twenty-four (24) months of Participant's employment. Without limiting the foregoing, if Participant's job duties in the last twenty-four (24) months of employment materially involved duties pertaining to the business nationwide, the term "Restricted Area" means the entire United States.

(b) Non-Solicitation. Without limiting Participant's obligations in Section 9(a) above, during Participant's employment with the Company or any Affiliate, and for a period of one (1) year after the Termination Date, Participant shall not, directly or indirectly, for Participant's own benefit, or on behalf of any other person or entity:

(i) solicit or accept business from or otherwise divert from Company or any Affiliate any Customers for products or services that are similar to or competitive with products or services offered or sold by the Company or any Affiliate as of the Termination Date;

(ii) attempt to attract any Vendor away from the Company or any Affiliate, or use information regarding the Company's or any Affiliate's Vendors in any way that would detrimentally affect the Company or any Affiliate;

(iii) solicit, hire, recruit, divert or take away: (A) from the Company or any Affiliate the services of any of the employees or agents of the Company or any Affiliate, or induce in any way any non-performance of any of the obligations of such employees or agents to the Company or Affiliate; or (B) from any Vendor providing services to the Company or any Affiliate, any employees or agents of such Vendor if such employees or agents of Vendor are providing services to the Company or any Affiliate through such Vendor.

(c) For the purposes of this Agreement, the following definitions shall apply:

(i) The term "Customers" means any customers of the Company or its Affiliates (1) with which Participant had contact and with which the Company or any Affiliate conducted business in the twenty-four (24)-month period preceding the Termination Date, or (2) about which Participant learned Confidential Information in the twenty-four (24)-month period preceding the Termination Date.

(ii) The phrase "employees or agents" as used in Section 9(b)(iii) above means employees or agents with whom Participant had contact or with whom Participant communicated in the last twenty-four (24) months of Participant's employment with the Company or Affiliate.

(iii) The term "Vendors" means any vendors or suppliers of the Company or its Affiliates (1) with which Participant had contact and with which the Company or any Affiliate conducted business in the twenty-four (24)-month period preceding the Termination Date, or (2) about which Participant learned Confidential Information in the twenty-four (24)-month period preceding the Termination.

(iv) The term "Affiliate" or "Affiliates" means any company controlled by, or under common control with, the Company, including all direct and indirect subsidiaries of the Company.

(d) Confidential Information. Participant agrees, during their employment with the Company or any Affiliate of the Company and at all times after the date Participant's employment ends for any reason, not to use, copy, duplicate, or disclose any Confidential Information owned by or entrusted to Company or its Affiliate(s). For the purposes of this Section 9(d), the following definitions shall apply:

(i) "Confidential Information" shall mean the Company's and any Affiliate's trade secrets and other non-public proprietary information relating to the Company or the business of the Company or any Affiliate, including, but not limited to, information relating to financial statements, customer lists and identities, potential customers, customer contacts, employee skills and compensation, employee data, suppliers, acquisition targets, servicing methods, equipment, programs, strategies and information, analyses, marketing plans and strategies, profit margins, financial, promotional, marketing, training or operational information, and other information developed or used by the Company or any Affiliate that is not known generally to the public or the industry. Confidential Information shall not include any information that is in the public domain or becomes known in the public domain through no wrongful act on the part of Participant.

(e) Subject to Exhibit B, to the extent Participant has agreed or does agree to any post-employment restrictions in any other agreement with the Company or its Affiliates, including the Severance Plan ("Other Agreement"), the post-employment restrictions set forth herein (i.e., Sections 9(a), 9(b) and 9(d)) will run concurrently with the restrictions in the Other Agreement. If there are any inconsistencies between the restrictions in this Agreement and the restrictions in such Other Agreement, the more restrictive restrictions shall still apply.

(f) Defend Trade Secrets Act Notice to Participant. Notwithstanding the foregoing, Participant will not be held criminally or civilly liable under any Federal or State trade secret law for the disclosure of a trade secret that: (i) is made (A) in confidence to a Federal, State, or local government official, either directly or indirectly, or to an attorney, and (B) solely for the purpose of reporting or investigating a suspected violation of law; or (ii) is made in a complaint or other document filed in a lawsuit or other proceeding, if such filing is made under seal. In addition, if Participant files a lawsuit for retaliation by Company for reporting a suspected violation of law, Participant may disclose the trade secret to Participant's attorney and use the trade secret information in the court proceeding if Participant files any document containing the trade secret under seal and does not disclose the trade secret except pursuant to court order.

(g) Return of Information. Any Confidential Information and other business information shall be and remain solely and exclusively the property of Company (or its Affiliate(s), as applicable). Upon the termination of Participant's employment (regardless of whether such termination is with Cause or without Cause or voluntary or involuntary), Participant shall promptly deliver the Confidential Information, along with any and all other documents and electronic files obtained by Participant in the course of Participant's employment with Company or its Affiliate(s) (irrespective of whether such documents and files contain Confidential Information, but excluding documents pertaining to Participant's compensation and benefits), without retaining any copies, notes, or excerpts thereof. Participant shall not remove from the property or premises of Company or its Affiliate(s) any Confidential Information or any other documents or data relating to the business, work, services or sales of Company and/or of its Affiliates, or copies thereof. All Confidential Information, other business information or copies, whether made by Participant or by others, are acknowledged by Participant to be the property of

Company and/or its Affiliate(s), and not to be used for the benefit of Participant or for any other person's benefit.

(h) Tolling of Restrictions. Should Participant violate any of the terms of Sections 9(a), 9(b) or 9(d) of this Agreement, the duration of the restrictions contained in Sections 9(a), 9(b) and 9(d) shall be extended by the duration of time during which Participant was in violation of the same.

(i) Assignment of Inventions and other Developments. Participant agrees that his or her duties may include the development, refinement, and/or documentation of Confidential Information or other sensitive business information, including any ideas, inventions, products, programs, and/or works of authorship for the current and intended business and prospects of Company or any of its Affiliates (collectively, "Developments"), all for the exclusive benefit of Company or applicable Affiliate(s). Participant agrees to assign and hereby assigns to Company all rights, titles, and interests Participant may have in or to any invention, innovation, computer program, software, database, discovery, idea, writing, improvement, process, technique or other works (collectively "Intellectual Property") created or conceived by Participant, either alone or jointly with others, during Participant's employment, whether patentable or unpatentable, that: (i) relates in any manner to the actual or anticipated business, research, or development of Company; (ii) results from work assigned to or performed by Participant for Company; and/or (iii) is conceived of or made with the use of Company systems, equipment, supplies, materials, facilities, computer programs, confidential information and/or trade secret information (collectively "Company Resources"). This assignment does not apply to Intellectual Property that meets all of the following criteria: (i) no Company Resources were used in its creation; (ii) the Intellectual Property was developed entirely on Participant's own time; (iii) at the time of conception or reduction to practice the Intellectual Property does not relate to Company's business, actual or anticipated research or development; and (iv) the Intellectual Property does not result from any work performed by Participant for Company. Participant shall disclose to Company all Intellectual Property developed during Participant's employment so that Company may determine any rights it may have in such Intellectual Property.

(j) Future Cooperation. Participant agrees to cooperate and be available to the Company on a reasonable basis and at reasonable times to timely respond to questions from the Company that arise out of Participant's former responsibilities with the Company. Additionally, Participant agrees to cooperate and be available to assist in the defense of, and serve as a witness in, any administrative proceeding or litigation faced by the Company concerning matters in which Participant was involved or had knowledge while an employee of the Company.

(k) State-Law Addendum: Modifications and Exceptions. Notwithstanding the restrictions set forth above in this Section 9, if at the time of the Grant Date or the date Participant executes this Agreement Participant resides in a state listed in Exhibit B hereto, then the modifications and/or exceptions set forth for such state in Exhibit B shall apply to Participant. In addition, as a general matter, the Company will only seek to enforce this Agreement to the extent permitted under the applicable law of the state where Participant resided or worked for the Company at the time of the Grant Date or the date Participant executed the Agreement. Furthermore, with respect to a Participant who is an attorney and employed by the Company or an Affiliate in his or her capacity as an attorney, this Section 9 shall only apply to the extent permissible under provisions of the applicable Rules of Professional Conduct applicable to attorneys in the state where Participant resides.

(l) Remedies for Breach.

(i) Because the Participant's services are unique and because the Participant has access to the Company's Confidential Information, the parties agree that any breach or threatened breach of any of the terms of this Section 9 will cause irreparable harm to the Company and that money damages alone would be an inadequate remedy. The parties therefore agree that, in the event of any breach or threatened breach of this Section 9, and in addition to all other rights and remedies available to it, the Company may apply to any court of competent jurisdiction for specific performance and/or injunctive or other relief, without a bond, in order to enforce or prevent any violations of the provisions of this Section 9.

(ii) In the event Participant breaches any of the terms of this Section 9, Participant shall immediately forfeit all unvested RSUs, and shall be required to immediately pay to the Company a cash sum in the principal amount equal to the Fair Market Value (FMV) of all RSUs in which Participant vested in the twenty-four (24)-month period preceding Participant's first breach of Section 9 and of all RSUs vested after Participant's first breach of Section 9, less \$2,500, which Participant shall retain as consideration for Participant's continued obligations under Section 9 of this Agreement. For the purposes of this provision, "Fair Market Value" shall mean the stock price for Centene's stock (symbol: CNC) on the New York Stock Exchange (NYSE) as of the closing of the date on which the Shares in question vested (multiplied by the number of Shares vested).

(iii) The rights and remedies set forth above shall be cumulative and in addition to any other rights or remedies to which the Company and its Affiliates may be entitled under any agreement or under the law.

(iv) Nothing in this Agreement, or any other agreement between the Participant and the Company or any of its Affiliates, or otherwise, limits the Participant's ability to communicate directly with and provide information, including documents, not otherwise protected from disclosure by any applicable law or privilege to the U.S. Securities and Exchange Commission (the "SEC") or any other federal, state, local or foreign governmental agency or commission ("Government Agency") or self-regulatory organization regarding possible legal violations, without disclosure to the Company. The Company may not retaliate against the Participant for any of these activities, and nothing in this Agreement requires the Participant to waive any monetary award or other payment that the Participant might become entitled to from the SEC or any other Government Agency or self-regulatory organization. Further, nothing in this Agreement precludes the Participant from filing a charge of discrimination with the U.S. Equal Employment Opportunity Commission or a like charge or complaint with a state or local fair employment practice agency. However, once this Agreement becomes effective, you may not receive a monetary award or any other form of personal relief from the Company in connection with any such charge or complaint that you filed or is filed on your behalf.

(m) Survival. The provisions of this Section 9 shall survive and continue in full force in accordance with their terms notwithstanding any forfeiture, termination or expiration of this Agreement in accordance with its terms or any termination of the Participant's employment for any reason (whether voluntary or involuntary).

10. Miscellaneous.

(a) Severability. The invalidity or unenforceability of any provision of this Agreement shall not affect the validity or enforceability of any other provision of this Agreement, and each other provision of this Agreement shall be severable and enforceable to the extent permitted by law. If a court of competent jurisdiction should determine that any of the geographic, durational or other provisions of Section 9 of this Agreement are overbroad or otherwise unenforceable because of the scope of such provisions, to the extent allowed by law, such court shall modify such provisions in a manner to render them enforceable, and such provisions, as may be modified, shall be fully enforceable as though set forth herein. Any such modification shall not affect the other provisions or clauses of this Agreement in any respect.

(b) Waiver. Any provision for the benefit of the Company contained in this Agreement may be waived, either generally or in any particular instance, by the Board of Directors of the Company.

(c) Binding Effect. This Agreement shall be binding upon and inure to the benefit of the Company and the Participant and their respective heirs, executors, administrators, legal representatives, successors and assigns, subject to the restrictions on transfer set forth in Section 5 of this Agreement.

(d) Notice. All notices required or permitted hereunder shall be in writing and deemed effectively given upon personal delivery or five days after delivery to a United States Post Office, by registered or certified mail, postage prepaid, addressed to the other party hereto at the address shown beneath his or its respective signature to this Agreement, or at such other address or addresses as either party shall designate to the other in accordance with this subparagraph (d).

(e) Entire Agreement. This Agreement and the Plan constitute the entire agreement between the parties, and supersede all prior agreements and understandings, relating to the RSUs.

(f) Participant's Acknowledgments. The Participant acknowledges that he or she: (i) has read this Agreement; (ii) has been represented in the preparation, negotiation, and execution of this Agreement by legal counsel of the Participant's own choice or has voluntarily declined to seek such counsel; (iii) understands the terms and consequences of this Agreement; and (iv) is fully aware of the legal and binding effect of this Agreement.

(g) Unfunded Rights. The right of the Participant to receive Common Stock pursuant to this Agreement is an unfunded and unsecured obligation of the Company. The Participant shall have no rights under this Agreement other than those of an unsecured general creditor of the Company.

(h) Deferral. Neither the Company nor the Participant may defer delivery of any Shares issuable under unvested RSUs except to the extent that such deferral complies with the provisions of Section 409A.

(i) Clawback. By accepting the grant of the RSUs hereunder, the Participant is agreeing to be bound by the Company's clawback policies and procedures, as in effect or as may be adopted and/or modified from time to time by the Company in its discretion (including, without limitation, to comply with applicable law or stock exchange listing requirements).

(j) Section 409A.

(i) This Agreement is intended to comply with the requirements of Section 409A, including the exceptions thereto, and shall be construed and administered in accordance with such intent. Notwithstanding any other provision of this Agreement, payments provided under this Agreement may only be made upon an event and in a manner that complies with Section 409A or an applicable exemption. For purposes of Section 409A, each installment payment provided under this Agreement shall be treated as a separate payment. Any payments to be made under this Agreement in connection with a termination of employment shall only be made if such termination of employment constitutes a “separation from service” under Section 409A. Notwithstanding the foregoing, the Company makes no representations that the payments and benefits provided under this Agreement comply with Section 409A and in no event shall the Company be liable for all or any portion of any taxes, penalties, interest or other expenses that may be incurred by the Participant on account of non-compliance with Section 409A.

(ii) If any provision of this Agreement or the Plan shall be invalid or unenforceable, in whole or in part, or as applied to any circumstance, under the laws of any jurisdiction that may govern for such purpose, or if any provision of this Agreement or the Plan needs to be interpreted to comply with the requirements of Section 409A, then such provision shall be deemed to be modified or restricted, or so interpreted, to the extent and in the manner necessary to render the same valid and enforceable, or to the extent and in the manner necessary to be interpreted in compliance with such requirements of the Code, either generally or as applied to such circumstance, or shall be deemed excised from this Agreement or the Plan, as the case may require, and this Agreement or the Plan shall be construed and enforced to the maximum extent permitted by law as if such provision had been originally incorporated herein as so modified or restricted, or as if such provision had not been originally incorporated herein, as the case may be.

(iii) Notwithstanding any other provision of this Agreement, if at the time of the Participant’s termination of employment, the Participant is a “specified employee,” determined in accordance with Section 409A, any payments and benefits provided under this Agreement that constitute “nonqualified deferred compensation” subject to Section 409A that are provided to the Participant on account of separation from service shall not be paid until the first payroll date to occur following the six (6)-month anniversary of the Participant’s Termination Date (“Specified Employee Payment Date”). The aggregate amount of any payments that would otherwise have been made during such six (6)-month period shall be paid in a lump sum on the Specified Employee Payment Date without interest. If the Participant dies before the Specified Employee Payment Date, any delayed payments shall be paid to the Participant’s beneficiary in a lump sum within upon the Participant’s death.

(k) Provisions Related to Golden Parachute Excise Tax.

(i) Change in Control When the Shares are Not Publicly Traded. Notwithstanding anything to the contrary contained in this Agreement, to the extent that, upon a Change in Control prior to the time at which the Shares have become publicly traded, any of the payments and benefits provided for under the Plan, any award agreement or any other agreement or arrangement between the Company or any of its Affiliates and the Participant (collectively, the “Payments”) would constitute a “parachute payment” within the meaning of Section 280G of the Code (a “Parachute Payment”), the amount of such Payments shall be reduced to the amount (the “Safe Harbor Amount”) that would result in no portion of the Payments being treated as an excess parachute payment pursuant to Section 280G of the Code

(the "Excise Tax"). If, upon a Change in Control prior to the time at which the Shares have become publicly traded, the Parachute Payments that would otherwise be reduced or eliminated, as the case may be, pursuant to this Section 10(k)(i) could be paid without the loss of a deduction under Section 280G of the Code if the shareholder approval exception to treatment as a Parachute Payment can be and is satisfied, then the Company shall use its reasonable best efforts to cause such Parachute Payments to be submitted for such approval in accordance with Section 280G(b)(5)(B) prior to the Change in Control giving rise to such Parachute Payments. If such approval is received, any reduction or forfeiture pursuant to this Section 10(k)(i) shall be reversed, and the subject amount shall be payable to the Participant without regard to this Section 10(k).

(ii) Change in Control When the Shares are Publicly Traded. If upon a Change in Control occurring at any time that the Shares are publicly traded, any Payments would constitute Parachute Payments, then, if and solely to the extent that reducing the benefits payable hereunder would result in the Participant's receiving a greater amount, on an after-tax basis, taking into account any Excise Tax and all applicable income, employment and other taxes payable on such amounts, the amounts payable hereunder shall be reduced or eliminated, as the case may be, so that the total amount of Parachute Payments received by the Participant do not exceed the Safe Harbor Amount.

(iii) Order of Reduction in Payments. Any reduction in the amount of compensation or benefits effected pursuant to this Section 10(k) shall first come, in order and, in each case, solely to the extent necessary, from any cash severance benefits payable to the Participant, then from any other payments which are treated in their entirety as Parachute Payments and then from any other Parachute Payments payable to the Participant with the later possible payment or Vesting Date being reduced or eliminated before a payment or benefit with an earlier payment or Vesting Date; *provided* that if the foregoing order of reduction or elimination would violate Section 409A, then the reduction shall be made pro-rata among the payments or benefits otherwise due or payable to the Participant.

11. Consent to Electronic Delivery; Electronic Signature. In lieu of receiving documents in paper format, the Participant accepts the electronic delivery of any documents by the Company, or any third party involved in administering the Plan that the Company may designate, may deliver in connection with this Award (including the Plan, this Agreement, account statements, or other communications or information) whether via the Company's intranet or the internet site of such third party or via email or such other means of electronic delivery specified by the Company. The Participant hereby consents to receive such documents by electronic delivery and agrees to participate in the Plan through an on-line or electronic system established and maintained by the Company or any third party involved in administering the Plan that the Company may designate, and agrees that the Participant's electronic signature is the same as, and shall have the same force and effect as, the Participant's manual signature.

ELECTRONIC ACCEPTANCE

By the Participant's electronic acceptance hereof, the Participant and the Company agree that this Award is granted and governed by the terms and conditions of the Plan and this Agreement.

By the Participant's electronic acceptance hereof, the Participant agrees that in lieu of receiving documents in paper format, the Participant accepts the electronic delivery of any documents by the Company, or any third party involved in administering the Plan that the Company may designate, may deliver in connection with this Award (including the Plan, this Agreement, account statements, or other communications or information) whether via the Company's intranet or the internet site of such third party or via email or such other means of electronic delivery specified by the Company. The Participant hereby consents to receive such documents by electronic delivery and agrees to participate in the Plan through an on-line or electronic system established and maintained by the Company or any third party involved in administering the Plan that the Company may designate.

Exhibit A

Performance Period: January 1, 20XX through (and including) December 31, 20XX

Metric	Threshold	Target	Maximum
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Exhibit B

State Law Addendum:

Modifications and Exceptions to Restrictions in Performance-Based Restricted Stock Unit Agreement

If Participant is a resident of one of the following states as of the date Participant executes this Restricted Stock Unit Agreement (“Effective Date”) (to which this Exhibit B is attached) (the “Agreement”), the following exceptions and acknowledgments applicable to such state shall apply to Participant, notwithstanding anything to the contrary in this Agreement or the Plan:

****ARKANSAS.** If Participant is a resident of Arkansas as of the Effective Date and Participant is a person holding a professional license under Arkansas Code Title 17, Subtitle 3, Section 9(a) will not apply to Participant.

In addition, the duration of the restriction in Section 9(d) shall be during Participant’s employment and for a period of five (5) years after the date Participant’s employment ends for any reason for Confidential Information that does not constitute a “trade secret” under applicable state or federal law, and during Participant’s employment and at all times after the date Participant’s employment ends for any reason for Confidential Information that does constitute a “trade secret” under applicable state or federal law.

****CALIFORNIA.** If Participant is a resident of California as of the Effective Date, or during any period of time during which Participant is a resident of California:

Section 9(a) and (b) will only apply to Participant during Participant’s employment. In addition, California law shall apply to Participant’s rights and obligations under the Agreement and, unless preempted by federal law, under the Plan.

Participant understands and acknowledges that any provision in this Agreement requiring the Participant to assign (or otherwise providing for ownership by Company of) rights to an invention does not apply to any invention that qualifies fully under the provisions of California Labor Code Section 2870 (a copy of which is attached below), including any idea or invention that is developed entirely on Participant’s own time without using the Centene’s equipment, supplies, facilities or trade secret information, and that does not either (i) relate to the Company’s business, or actual or demonstrably anticipated research or development of the Company or (ii) result from any work performed by the Participant for the Company.

****COLORADO.** If Participant is a resident of Colorado as of the Effective Date: (1) Participant acknowledges that Participant was provided a copy of this Agreement at least 14 days before the earlier of the effective date of the RSU Agreement and Sections 9(a) and (b) contained therein; and (2) Colorado law shall apply to Participant’s rights and obligations under Section 9 of the RSU Agreement.

****FLORIDA.** If Participant is a resident of Florida as of the Effective Date, and in order to comply with applicable Florida statutory law: The duration of the restriction in Section 9(d) shall be during Participant’s employment and for a period of five (5) years after the date Participant’s employment ends for any reason for Confidential Information that does not constitute a “trade secret” under applicable state or federal law, and during Participant’s employment and for a period of ten (10) years after the date Participant’s employment ends for any reason for Confidential Information that does constitute a “trade secret” under applicable state or federal law.

****ILLINOIS.** If Participant is a resident of Illinois as of the Effective Date: (1) Participant shall have at least 14 calendar days to review and consider this Agreement from the date Participant received this document; *provided, however*, Participant is permitted to accept this Award before the expiration of the foregoing 14-day period; and (2) the Company hereby advises Participant to consult with an attorney prior to accepting and entering into the Agreement (however, any such legal consultation shall be at Participant's own expense).

****LOUISIANA.** If Participant is a resident of Louisiana as of the Effective Date, after the termination of Participant's employment Sections 9(a) and 9(b) shall apply only in the following parishes in the State of Louisiana: Acadia, Allen, Ascension, Assumption, Avoyelles, Beauregard, Bienville, Bossier, Caddo, Calcasieu, Caldwell, Cameron, Catahoula, Claiborne, Concordia, De Soto, East Baton Rouge, East Carroll, East Feliciana, Evangeline, Franklin, Grant, Iberia, Iberville, Jackson, Jefferson, Jefferson Davis, La Salle, Lafayette, Lafourche, Lincoln, Livingston, Madison, Morehouse, Natchitoches, Orleans, Ouachita, Plaquemines, Pointe Coupee, Rapides, Red River, Richland, Sabine, St. Bernard, St. Charles, St. Helena, St. James, St. John The Baptist, St. Landry, St. Martin, St. Mary, St. Tammany, Tangipahoa, Tensas, Terrebonne, Union, Vermilion, Vernon, Washington, Webster, West Baton Rouge, West Carroll, West Feliciana, and Winn.

****MAINE.** If Participant is a resident of Maine as of the Effective Date: (1) the terms of Section 9(a) of this Agreement regarding Participant's post-termination obligations do not take effect until the later of (a) one (1) year of Participant's employment with the Company or (b) a period of six (6) months from the date that Participant accepted the RSU Agreement; (2) Participant acknowledges that Participant was provided with at least 3 days to review this Agreement from the date Participant received the Award document; *provided, however*, that Participant is permitted to accept this Agreement earlier than the expiration of such (3) day review period.

****MASSACHUSETTS.** If Participant is a resident of Massachusetts as of the Effective Date: (1) Participant acknowledges that Participant was provided with at least 10 business days to review this Agreement from the date Participant received this document; *provided, however*, Participant is permitted to accept this Agreement earlier than the expiration of such 10 day review period; (2) Participant understands that Participant has the right to consult with an attorney prior to accepting the Agreement, but that any legal consultation is at Participant's own expense; (3) Participant acknowledges that Participant has had an adequate opportunity to consult with an attorney, Participant has read and understands this Agreement, and is voluntarily accepting the Agreement; (4) the terms of this Agreement, including the benefits of the Plan, are being provided as consideration for Participant's agreement to the restrictions in Section 9(a) of the Agreement; (5) Section 9(a) will not apply if Participant is terminated without Cause or laid off, unless the Parties enter into a separation or severance agreement, pursuant to which Participant receives severance pay (in which case the non-compete restriction in Section 9(a) shall be limited to the duration of the severance pay).

****MINNESOTA.** If Participant is a resident of Minnesota as of the Effective Date, Section 9(a) will only apply to Participant during Participant's employment. In addition, Minnesota law shall apply to Participant's rights and obligations under Section 9 of the Agreement.

****NEBRASKA.** If Participant is a resident of Nebraska as of the Effective Date, Section 9(a) will not apply after the termination of Participant's employment.

****NEVADA.** If Participant is a resident of Nevada as of the Effective Date: (1) after the termination of Participant's employment Sections 9(a) and 9(b) will not prohibit Participant from providing service to a former provider or customer of the Company if Participant can demonstrate that (a) Participant did not solicit the former provider or customer, (b) the former provider or customer voluntarily chose to leave the Company and seek services from Participant, and (c) Participant is otherwise complying with the limitations in this Agreement other than any limitation on providing services to a former provider or customer who seeks the services of Participant without any contact instigated by Participant; and (2) if Participant's employment is terminated as a result of a reduction of force, reorganization, or similar restructuring, Section 9(a) will only apply during the period Company is paying the Participant's salary, benefits, or equivalent compensation including, without limitation, severance pay.

****NORTH DAKOTA.** If Participant is a resident of North Dakota as of the Effective Date, Sections 9(a) and 9(b) will apply to Participant only during Participant's employment and will not apply after Participant's employment ends.

****OKLAHOMA.** If Participant is a resident of Oklahoma as of the Effective Date: (1) Section 9(a) will not apply after the termination of Participant's employment; and (2) Section 9(b) with respect to providers and customers, will apply after Participant's employment only with respect to providers or customers of the Company that are "established customers" of the Company per Okla. Stat. Ann. tit. 15, § 219A.

****OREGON.** If Participant is a resident of Oregon as of the Effective Date, Section 9(a) will only apply to Participant during Participant's employment.

California Labor Code § 2870.

Employment agreements; assignment of rights

(a) Any provision in an employment agreement which provides that an employee shall assign, or offer to assign, any of his or her rights in an invention to his or her employer shall not apply to an invention that the employee developed entirely on his or her own time without using the employer's equipment, supplies, facilities, or trade secret information except for those inventions that either:

(1) Relate at the time of conception or reduction to practice of the invention to the employer's business, or actual or demonstrably anticipated research or development of the employer; or

(2) Result from any work performed by the employee for the employer.

(b) To the extent a provision in an employment agreement purports to require an employee to assign an invention otherwise excluded from being required to be assigned under subdivision (a), the provision is against the public policy of this state and is unenforceable.

CENTENE CORPORATION

Policy on Inside Information and Insider Trading**I. BACKGROUND/PURPOSE:**

Under federal and state securities laws, it is illegal to purchase or sell securities of a company while in possession of material, non-public information related to, affecting or regarding that company or its subsidiaries (such information, “Inside Information”), or to disclose Inside Information to others who then trade in company securities. Insider trading violations are pursued vigorously by the United States Securities and Exchange Commission (the “SEC”) and other governmental agencies and can result in severe penalties. While the regulatory authorities usually concentrate their efforts on the individuals who trade, or who tip material, non-public information to others who trade, the federal securities laws also impose potential liability on companies and other “controlling persons” if they fail to take reasonable steps to prevent insider trading by company personnel.

Centene Corporation (“Centene”) has adopted this Policy on Inside Information and Insider Trading (this “Policy”) both to promote compliance with insider trading laws, rules and regulations, and to help Centene personnel avoid violating insider trading laws, rules and regulations.

II. APPLICABILITY OF POLICY**A. Covered Persons**

This Policy applies to all employees of Centene and its subsidiaries, all members of the Board of Directors of Centene and the boards of directors of Centene’s subsidiaries (collectively, “directors”), consultants, contractors and any persons (including, but not limited to family members) that reside in the same household as any of the foregoing persons as provided herein. This Policy also applies to any person, partnership, trust or other entity or account whose securities trading decisions are influenced or controlled by any of the foregoing persons. The failure of any person subject to this Policy to observe and strictly adhere to the policies and procedures set forth herein at all times will be grounds for disciplinary action, up to and including termination of employment.

In addition, all those listed on Schedule A hereto (as may be amended from time to time by the General Counsel), as well as any other persons (whether Family Members (as defined below) or not) that reside in the same household as those persons are subject to additional restrictions on their ability to engage in purchase or sale transactions involving Centene securities as discussed in Section IV below.

B. Covered Transactions

This Policy applies to all transactions in Centene’s securities, including common stock and any securities that are exercisable for, or convertible or exchangeable into, common stock, and any other securities Centene may issue from time to time whether or not pursuant to any benefit plan adopted by Centene except as provided below.

Rule 10b5-1 Plans. Rule 10b5-1 under the Securities Exchange Act of 1934, as amended (the “Exchange Act”), provides an affirmative defense from insider trading liability under the federal securities laws for written trading plans that meet certain requirements (“10b5-1 plans”). You must act in good faith with respect to a 10b5-1 plan when the plan is adopted and for the duration of the plan, and must not enter into a 10b5-1 plan as part of a plan or scheme to evade the prohibitions of Exchange Act Rule 10b-5. A 10b5-1 plan must be adopted at a time when you are not in possession of Inside Information and must (i) specify the amount of securities to be purchased or sold and the price at which and the date on which the securities are to be purchased or sold, (ii) specify or set an objective formula or algorithm for determining the amount of securities to be purchased or sold and the price at which and the date on which the securities are to be purchased or sold, or (iii) delegate discretion on how, when, or whether to effect purchases or sales to an independent third party. You may not adopt or amend a 10b5-1 plan at a time when you are subject to a black-out period, as discussed below. Once a 10b5-1 plan is adopted, you must not exercise any influence over the amount of securities to be traded, the price at which they are to be traded or the date of the trade.

Centene requires that all 10b5-1 plans, and any amendment, suspension and termination of such plans, be approved in writing in advance by the General Counsel, and meet the requirements of Rule 10b5-1(c) under the Exchange Act, including:

- 10b5-1 plans may not provide for trades (i) if you are a “Section 16 Person” as defined below, until the later of (a) 90 days after the adoption or amendment of the 10b5-1 plan or (b) two business days following Centene’s filing of the Form 10-Q or 10-K for the quarter in which the 10b5-1 plan was adopted or amended, for a maximum of 120 days after the adoption or amendment of the 10b5-1 plan, or (ii) if you are not a Section 16 Person, until at least 30 days following the adoption or amendment of the 10b5-1 plan. The period of delayed effectiveness after adoption or amendment of a 10b5-1 plan is called a “cooling-off period.”
- You may not have more than one 10b5-1 plan in effect for open market purchases or sales of Centene securities, except in the following circumstances:
 - This prohibition does not apply to 10b5-1 plans authorizing a written, irrevocable election (an “election”) to sell a portion of shares as necessary to satisfy statutory tax withholding obligations arising solely from the vesting of compensatory awards (not including options) (“sales to cover”), provided that (i) the election is made outside a black-out period, (ii) at the time of the election, you are not in possession of any Inside Information, (iii) the sales to cover are made in good faith and not as part of a plan or scheme to evade the prohibitions of Exchange Act Rule 10b-5, (iv) you do not have, and will not attempt to exercise, authority, influence or control over any such sales to cover, and (v) the election contains appropriate representations as to clauses (ii)-(iv);¹
 - You may maintain two separate 10b5-1 plans, provided that trading under the later-commencing 10b5-1 plan is not authorized to begin until after all trades under the earlier-commencing 10b5-1 plan are completed or have expired without execution (subject to any applicable cooling-off periods), and provided further that if you terminate an earlier-commencing 10b5-1 plan (i.e., the earlier-commencing plan does not end by its terms and without any action by you), the later-commencing 10b5-1 plan will be subject to a cooling-off period beginning on the termination date of the earlier-commencing plan; and
 - A series of separate contracts with different brokers to execute trades under a 10b5-1 plan may be treated as a single plan, provided that this arrangement and each contract have been pre-cleared in writing by the General Counsel and meet the conditions under Exchange Act Rule 10b5-1, and provided further that any amendment of one contract is treated as an amendment of all of the contracts under the plan.
- In any 12-month period, you may not enter into more than one “single-trade” 10b5-1 plan (i.e., a 10b5-1 plan designed to effect the open market purchase or sale of the total amount of Centene securities subject to the plan as a single transaction). This prohibition does not apply to plans (i) authorizing sales to cover, provided that you do not control the timing of such sale or (ii) that give discretion to an agent over whether to execute the 10b5-1 plan as a single transaction or that provide the agent’s future acts depend on facts not known at the time of the 10b5-1 plan’s adoption and might reasonably result in multiple transactions.
- Any Section 16 Person adopting or modifying a 10b5-1 plan must include in the 10b5-1 plan a written representation certifying that he or she (i) is not aware of Inside Information and (ii) is adopting or modifying the 10b5-1 plan in good faith and not as part of a plan or scheme to evade the prohibitions of Exchange Act Rule 10b-5.
- You may make amendments to 10b5-1 plans without triggering a cooling-off period so long as the amendment does not change the pricing provisions of the 10b5-1 plan, the amount of securities

¹ Note: The Company's equity awards granted to employees generally provide for the forfeiture to Centene of equity to cover tax withholding obligations upon vesting as set forth under “*Equity Grants*”.

covered under the 10b5-1 plan or the timing of trades under the 10b5-1 plan, or where a broker executing trades on your behalf is substituted by a different broker (so long as the purchase or sales instructions remain the same).

Purchases or sales of Centene securities executed pursuant to a valid 10b5-1 plan approved as provided herein are not subject to the trading restrictions covered by this Policy.

Equity Grants. Certain transactions between you and Centene with respect to grants to you under its equity incentive plans (or, to the extent applicable, granted outside such plans) are not subject to the trading restrictions covered by this Policy. Such transactions include, without limitation, the following:

- the exercise of stock options by paying Centene the exercise price, plus an amount equal to the related tax withholding obligations, in cash (generally referred to as an “exercise-and-hold” transaction);
- the exercise of stock options on a “net exercise” basis pursuant to which an optionee either (i) delivers to Centene outstanding shares of Centene stock or (ii) authorizes Centene to withhold from issuance shares of stock issuable upon exercise of the option, in either case, having a fair market value on the date of exercise equal to the aggregate exercise price;
- the forfeiture to Centene of restricted stock, restricted stock units, or performance stock units, to cover withholding tax obligations upon vesting of restricted stock, restricted stock units or performance stock units; or
- purchases of Centene stock pursuant to Centene’s employee stock purchase plan, deferred compensation plan and/or 401(k) plan resulting from your periodic contribution of money to the plan pursuant to an election you make at the time you enroll in the plan, provided that that the trading restrictions contained in this Policy would apply to your election to participate in an employee stock purchase plan for any enrollment period, and to your subsequent sales of Centene stock purchased pursuant to the plan.

Thus, restrictions contained in this Policy would apply to the sale of Centene stock in the open market to pay the exercise price of an option and to the “cashless exercise” affected through a broker or “same day sale” of an option. In addition, any sale of the underlying stock acquired upon the exercise of a stock option is subject to the Policy.

Gifts. Bona fide gifts of Centene securities (e.g., to charities, churches, non-profit organizations) should only be made (i) when you are not in possession of Inside Information and (ii) for Restricted Persons, outside a black-out period. Gifts of Centene securities are otherwise subject to the trading restrictions covered by this Policy. In addition, if you are a “Section 16 Person” as defined below, you will need to obtain pre-clearance for any gifts of Centene securities.

Prohibitions. In addition to the other restrictions set forth in this Policy, the following transactions are strictly prohibited at all times:

- trading in call or put options involving Centene securities and other derivative securities;
- engaging in short sales of Centene securities;
- holding Centene securities in a margin account;
- hedging (directly or indirectly) Centene securities, or otherwise engaging in transactions that hedge or offset, or are designed to hedge or offset, any decrease in the market value of Centene securities, including (but not limited to) collars, equity swaps, exchange funds and prepaid variable forward sale contracts; and
- pledging Centene’s securities, including to secure margin or other loans or to purchase Centene securities on margin.

If you are unsure whether or not a particular transaction is prohibited under this Policy, you should consult with Centene's General Counsel, prior to engaging in, or entering into an agreement, understanding or arrangement to engage in, such transaction.

C. Applicability of Policy to Trading in Other Companies' Securities

You may not place a purchase or sale order (including investment through a retirement account), or recommend that another person place a purchase or sale order, in the securities of another company, including Centene's customers, vendors, suppliers, counterparties or possible acquisition targets, if your trade is based on material, non-public information concerning such company or its securities, which information was obtained in the course of your employment with, or while you are performing other services on behalf of, Centene. For example, it would be a violation of the securities laws if a Centene employee learned through his or her role at Centene that Centene intended to amend or terminate a material vendor or supplier contract and then placed an order to buy or sell stock in that vendor or supplier company because of the likely increase or decrease in the value of its securities. In addition, all employees should treat material non-public information about such other companies with the same care required with respect to information related directly to Centene.

D. Post-Termination Transactions

This Policy continues to apply following termination of employment with, or cessation of service to, Centene as follows: if you are aware of Inside Information when your employment or service relationship terminates, you may not engage in transactions involving Centene securities until that information has become public or is no longer material. In all other respects, the procedures set forth in this Policy will cease to apply to your transactions in Centene securities at the time of your termination of employment or service.

E. Applicability of U.S. Securities Laws to International Transactions

The U.S. securities laws may be applicable to trades in Centene's securities executed outside the United States, as well as to the securities of Centene's subsidiaries or affiliates, even if they are located outside the United States or if you are located outside the United States. Transactions involving securities of subsidiaries or affiliates should be carefully reviewed by counsel for compliance not only with local law but also for possible application of U.S. securities laws.

III. GENERAL POLICY

A. Possession and Use of Information

No director, employee, consultant or contractor of Centene or its subsidiaries who is in possession of Inside Information may, either directly or indirectly (including, without limitation, through a Family Member (as defined below), friend, anyone to whom you provide significant financial support or entity in which you or any of your Family Members is a director, officer or controlling equity holder or beneficiary), (a) purchase or sell Centene's securities, (b) engage in any other action to take advantage of Inside Information or (c) provide Inside Information to any other person outside of Centene, including Family Members and friends. These restrictions do not apply to transactions specifically exempt from this Policy, including transactions made under an approved 10b5-1 plan and transactions between you and Centene with respect to grants under its equity incentive plans (or, to the extent applicable, granted outside such plans). For purposes of this Policy, "Family Members" refers to spouses, domestic partners, and minor children (even if financially independent).

In addition, Centene itself must comply with U.S. securities laws applicable to its own securities trading activities, and will not effect transactions in respect of its securities, or adopt any securities repurchase plans, when it is in possession of Inside Information, other than in compliance with applicable law, subject to the policies and procedures adopted by Centene, if applicable, and the prior approval of the General Counsel.

B. “Tipping” of Information

Persons subject to this Policy may not disclose, convey or “tip” Inside Information to any person by providing him or her with Inside Information other than to disclose on a “need to know” basis to Centene employees or representatives in the course of performing their duties for Centene. When sharing Inside Information with other Centene employees or representatives, such information should be confined to as small a group as possible and the importance of the limited use of such information should be conveyed to the recipient. Unlawful tipping includes passing on Inside Information to friends, family members or acquaintances under circumstances that suggest that persons subject to this Policy were trying to help the recipients of such information make a profit or avoid a loss by trading in Centene securities based on such information.

IV. SPECIFIC POLICIES

A. Black-out Periods

All those listed on Schedule A hereto (as may be amended from time to time by the General Counsel), as well as any other persons (whether Family Members or not) that reside in the same household as those persons (all of the foregoing being “Restricted Persons”) are subject to additional restrictions on their ability to engage in purchase or sale transactions involving Centene securities. Centene believes Restricted Persons are more likely to have access to Inside Information regarding Centene because of their positions with Centene and, as a result, their trades in Centene securities are more likely to be subject to greater scrutiny. Accordingly, except as otherwise provided in this Policy with regard to purchases and/or sales of Centene stock pursuant to an approved 10b5-1 plan, Restricted Persons are prohibited from trading in Centene securities, and from entering into or amending a 10b5-1 plan, during the period beginning on the 7th calendar day prior to the end of each fiscal quarter and ending immediately prior to the opening of the market on the 2nd full trading day following public disclosure of the financial results for that quarter or the full year. For example, if Centene were to publicly disclose its financial results for a quarter on a Tuesday before the market opened, Wednesday would be the first eligible trading day for Restricted Persons.

In addition, from time to time, Centene will impose special black-out periods on Restricted Persons and other employees if, in the judgment of the General Counsel, it is likely that such person or persons have become aware of significant corporate developments that may be material and have not yet been disclosed to the public, even when trading otherwise may be permitted. In the event that certain Restricted Persons or other employees become subject to a special black-out period, such persons are prohibited from (a) trading in Centene securities and (b) disclosing to others the fact they are subject to such special black-out period. These special black-out periods may vary in length and may or may not be broadly communicated to Centene employees. Centene would re-open trading at the beginning of the 2nd day following the date of public disclosure of such significant corporate developments, or when Centene no longer has Inside Information.

B. Pre-clearance

Except as otherwise provided in the following paragraph, members of the Board of Directors of Centene and “officers” (as such term is defined in Rule 16a-1(f) under the Exchange Act) of Centene (each, a “Section 16 Person”) must obtain written pre-clearance from the General Counsel before such Section 16 Person makes any purchases, sales or gifts of Centene’s securities, regardless of whether or not a black-out period is then in effect. The request for pre-clearance must be sent to the General Counsel at least two business days prior to commencing the trade. In evaluating each proposed transaction, the General Counsel will consult as necessary with senior management and/or outside counsel before clearing any proposed trade. Pre-clearance of a proposed transaction is valid for no more than five trading days immediately following receipt by the Section 16 Person of such clearance. If the transaction does not take place during that time, the Section 16 Person must re-request pre-clearance through the same process. The General Counsel is under no obligation to approve a transaction submitted for pre-clearance. If pre-clearance is denied, the fact of such denial must be kept confidential by the Section 16 Person requesting such pre-clearance. The approval of pre-clearance of a transaction is subject to revocation at any time prior to the sale or purchase in the sole discretion of the General Counsel.

Pre-clearance does not constitute legal advice, does not constitute confirmation that you do not possess Inside Information, does not insulate you from liability for insider trading and does not relieve you of your obligations under federal and state securities laws; it is a safeguard that Centene has put in place to help protect you and Centene.

A person subject to this Policy does not need to receive pre-clearance for trades pursuant to an approved 10b5-1 plan, but must receive prior approval from the General Counsel before adopting, amending, suspending or terminating such a plan. In evaluating the proposed 10b5-1 plan, or the amendment, suspension or termination of an existing 10b5-1 plan, the General Counsel will consult as necessary with senior management and/or outside counsel before approving a proposed 10b5-1 plan (or any amendment, suspension or termination of an existing plan). Approval to adopt, amend, suspend or terminate a 10b5-1 plan is valid for no more than the five trading days immediately following receipt by the person requesting such approval. If approval is denied, the fact of such denial must be kept confidential by the person requesting such approval. The prior approval of a 10b5-1 plan is subject to revocation at any time prior to the implementation of the plan in the sole discretion of the General Counsel. The General Counsel is under no obligation to approve a 10b5-1 plan submitted for approval.

Prior approval of a 10b5-1 plan does not constitute legal advice, does not constitute confirmation that you do not possess Inside Information at the time you enter into a 10b5-1 plan, does not insulate you from liability for insider trading and does not relieve you of your obligations under federal and state securities laws.

C. Notification

Section 16 Persons must report, or cause such person's broker to report, within 24 hours following a transaction involving Centene's securities, including purchases, sales, gifts, transfers, pledges and 10b5-1 plan transactions, to Centene's Corporate Controller or Assistant Controller the details of such transaction in writing.

V. COMPLIANCE

All persons subject to this Policy must promptly report to Centene's Compliance Department, pursuant to the procedures set forth in Centene's Business Ethics and Code of Conduct, including through the use of Centene's Ethics & Compliance Helpline at 1-800-345-1642, any trading in Centene's securities by Centene personnel, or any disclosure of Inside Information or material, non-public information concerning other companies by Centene personnel, that such person has reason to believe may violate this Policy or federal or state securities laws.

VI. ADDITIONAL INFORMATION

What is Inside Information?

"Inside information" is material, non-public information related to, affecting or regarding Centene or its subsidiaries. Information generally becomes available to the public when it is made available on a broad-based non-exclusionary basis (e.g., when it has been disclosed by Centene or third parties in a press release or other authorized public statement, including any filing with the SEC). In general, information is considered to have been made available to the public on the second trading day after the formal release of the information. In other words, there is a presumption that the public needs approximately one complete trading day to receive and absorb such information.

Information obtained through the course of employment with, or while performing other services on behalf of, Centene, does not belong to individual insiders who may handle it or otherwise become knowledgeable about it. The information is an asset of Centene. Any person who uses such information for personal benefit or discloses it to others outside Centene in breach of a duty of trust or confidence owed to Centene may be in breach of his or her fiduciary, loyalty or other duties to Centene.

What is Material Information?

As a general rule, information about Centene (or another company) is "material" if it could reasonably be expected to affect someone's decision to buy, hold or sell Centene's securities (or the securities of another company), and if it

could be viewed by a reasonable investor as having significantly altered the ‘total mix’ of information made available. In particular, information is considered to be material if its disclosure to the public would be reasonably likely to affect an investor’s decision to buy, hold or sell the securities of the company to which the information relates, or the market price of that company’s securities. Material information can be favorable or unfavorable. While it is not possible to identify in advance all information that will likely be deemed to be material, some examples of information that may be material would include the following:

- significant changes in financial results and/or financial condition and financial projections;
- news of major new contracts or possible loss of business;
- dividends or stock splits;
- changes in the board, management or control;
- significant mergers, acquisitions, reorganizations, tender offers, dispositions of assets or joint ventures;
- significant litigation or regulatory developments;
- significant data breaches or similar cybersecurity events;
- significant increases or decreases in the amount of outstanding securities or indebtedness;
- changes in debt ratings, or analyst upgrades or downgrades of the issuer or one of its securities;
- significant changes in accounting treatment, write-offs or effective tax rate;
- liquidity problems or impending bankruptcy;
- changes in auditors or auditor notification that the company may no longer rely on an audit report; and
- transactions with directors, officers or principal security holders.

It can sometimes be difficult to know whether information would be considered “material.” The determination whether information is material is almost always clearer after the fact, when the effect of that information on the market may be more susceptible to quantification. Although you may have information about Centene that you do not consider to be material, federal regulators and others may conclude (with the benefit of hindsight) that such information was material. Therefore, trading in Centene securities when you possess non-public information about Centene can be risky. When doubt exists, the information should be presumed to be material. If you are unsure whether you are in possession of material, non-public information, you should consult with Centene’s General Counsel, prior to engaging in, or entering into an agreement, understanding or arrangement to engage in, a purchase or sale transaction involving Centene securities.

Twenty-Twenty Hindsight

If securities transactions ever become the subject of scrutiny, they are likely to be viewed after-the-fact with the benefit of hindsight. As a result, before engaging in any transaction you should carefully consider how your transaction may be construed in the bright light of hindsight. Again, in the event of any questions or uncertainties about the Policy, please consult with Centene’s General Counsel.

What is the Penalty for Insider Trading?

Trading on Inside Information is a crime. The consequences of insider trading and tipping are severe and may, in some cases, be applied to Centene as well as to the individual who illegally trades or tips. Possible consequences include criminal prosecution with the potential for prison terms and additional fines up to three times of the profits earned if convicted, in addition to civil penalties (up to three times of the profits earned), termination of employment and personal embarrassment resulting from adverse publicity.

VII. REVIEW

This Policy is subject to the periodic review of the Audit and Compliance Committee (the “Audit and Compliance Committee”) of the Board. Any proposed changes will be reviewed by the Audit and Compliance Committee and recommended to the Board for its approval.

VIII. CERTIFICATION

The Company shall take reasonable steps designed to ensure that all employees and directors of the Company are educated about, and periodically reminded of, the federal securities law restrictions and Company policies regarding insider trading. Employees and directors shall be required to certify their understanding of, and intent to comply with, this Policy.

If you have any questions with regard to this Policy, you should consult with Centene's General Counsel.

CERTIFICATION

I, Sarah M. London, certify that:

1. I have reviewed this Quarterly Report on Form 10-Q of Centene Corporation;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a. Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b. Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Dated: April 25, 2025

/s/ SARAH M. LONDON
Chief Executive Officer
(principal executive officer)

CERTIFICATION

I, Andrew L. Asher, certify that:

1. I have reviewed this Quarterly Report on Form 10-Q of Centene Corporation;
2. Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
3. Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the registrant as of, and for, the periods presented in this report;
4. The registrant's other certifying officer and I are responsible for establishing and maintaining disclosure controls and procedures (as defined in Exchange Act Rules 13a-15(e) and 15d-15(e)) and internal control over financial reporting (as defined in Exchange Act Rules 13a-15(f) and 15d-15(f)) for the registrant and have:
 - a. Designed such disclosure controls and procedures, or caused such disclosure controls and procedures to be designed under our supervision, to ensure that material information relating to the registrant, including its consolidated subsidiaries, is made known to us by others within those entities, particularly during the period in which this report is being prepared;
 - b. Designed such internal control over financial reporting, or caused such internal control over financial reporting to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles;
 - c. Evaluated the effectiveness of the registrant's disclosure controls and procedures and presented in this report our conclusions about the effectiveness of the disclosure controls and procedures, as of the end of the period covered by this report based on such evaluation; and
 - d. Disclosed in this report any change in the registrant's internal control over financial reporting that occurred during the registrant's most recent fiscal quarter (the registrant's fourth fiscal quarter in the case of an annual report) that has materially affected, or is reasonably likely to materially affect, the registrant's internal control over financial reporting; and
5. The registrant's other certifying officer and I have disclosed, based on our most recent evaluation of internal control over financial reporting, to the registrant's auditors and the audit committee of the registrant's board of directors (or persons performing the equivalent functions):
 - a. All significant deficiencies and material weaknesses in the design or operation of internal control over financial reporting which are reasonably likely to adversely affect the registrant's ability to record, process, summarize and report financial information; and
 - b. Any fraud, whether or not material, that involves management or other employees who have a significant role in the registrant's internal control over financial reporting.

Dated: April 25, 2025

/s/ ANDREW L. ASHER

Executive Vice President, Chief Financial Officer
(principal financial officer)

**CERTIFICATION PURSUANT TO 18 U.S.C. SECTION 1350,
AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002**

In connection with the Quarterly Report on Form 10-Q of Centene Corporation (the Company) for the period ended March 31, 2025, as filed with the Securities and Exchange Commission on the date hereof (the Report), the undersigned, Sarah M. London, Chief Executive Officer of the Company, hereby certifies, pursuant to 18 U.S.C. Section 1350, that:

- (1) the Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) the information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Dated: April 25, 2025

/s/ SARAH M. LONDON

Chief Executive Officer
(principal executive officer)

**CERTIFICATION PURSUANT TO 18 U.S.C. SECTION 1350,
AS ADOPTED PURSUANT TO
SECTION 906 OF THE SARBANES-OXLEY ACT OF 2002**

In connection with the Quarterly Report on Form 10-Q of Centene Corporation (the Company) for the period ended March 31, 2025, as filed with the Securities and Exchange Commission on the date hereof (the Report), the undersigned, Andrew L. Asher, Executive Vice President and Chief Financial Officer of the Company, hereby certifies, pursuant to 18 U.S.C. Section 1350, that:

- (1) the Report fully complies with the requirements of Section 13(a) or 15(d) of the Securities Exchange Act of 1934; and
- (2) the information contained in the Report fairly presents, in all material respects, the financial condition and results of operations of the Company.

Dated: April 25, 2025

/s/ ANDREW L. ASHER

Executive Vice President, Chief Financial Officer
(principal financial officer)